

AMANA TAKAFUL LIFE PLC

The logo for Amana Takaful Life PLC features the word 'AMANA' in a dark blue, 3D block font, positioned above the words 'TAKAFUL LIFE PLC' in a bright green, 3D block font. The entire logo is set against a light blue, cloud-like background.

AMANA TAKAFUL LIFE PLC

Forging a path of sustainable growth with confidence and a visionary approach, we have been able to successfully face challenges, and leverage on opportunities. Our growth strategy involves robust risk management measures, customer-centric outlook and sustainable tools. We believe that a people-friendly strategy would pave the way to create lasting value through unifying our economic, social and environmental impact. In our pursuit of viable growth, the onus has always been on remaining true to our core values of customer centredness, open mindedness, focus on quality & diversity, whilst relying on a data and insight driven approach to effectively manage challenges.

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CHAIRMAN'S MESSAGE

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OPERATIONS REVIEW

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CORPORATE GOVERNANCE

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INDEPENDENT AUDITORS' REPORT



VISION

"Committed to providing peace of mind through World Class Insurance solutions"



MISSION

"We will stand apart from the rest by engaging all stakeholders, crafting unique insurance solutions, in a spirit of mutuality and solidarity"



VALUES

CUSTOMER CENTERED:

Interaction with Customers. We listen to our customers and go the Extra mile to serve them

OPEN MINDEDNESS:

Changing the status quo, seeking new ideas. We foster a culture where ideas and opinions are shared freely

RISE FOR QUALITY:

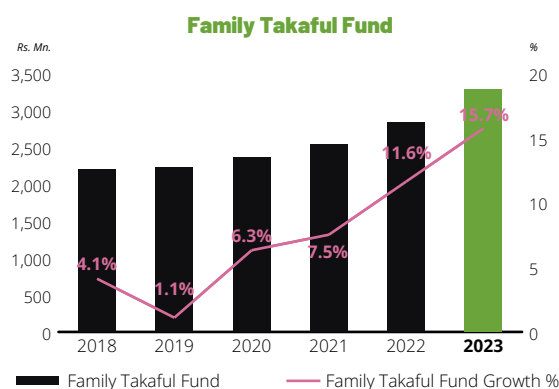
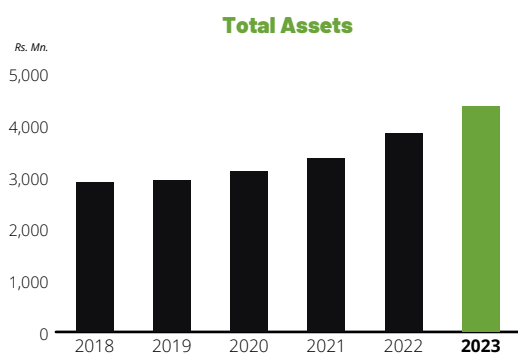
A culture of continuous improvement. We are driven to give all stakeholders a quality service

DIVERSITY:

Our soul and spirit To every Sri Lankan as one

FINANCIAL HIGHLIGHTS

	2023 (Rs Mn)	2022 (Rs Mn)	Growth
Total Gross Written Premium	1,151	1,061	8.47%
Profit/(Loss) After Tax	50	54	(6.97%)
Earnings per share (Rs.)	1.01	1.08	(6.97%)
Financial Investments	3,957	3,475	13.86%
Total Assets	4,340	3,821	13.58%
Net Assets Value per Share (Rs.)	12.21	10.9	12.02%
Return on Equity	0.08	0.11	(25.07%)
Life (Family Takaful) Fund - Family Takaful	304	357	(14.67%)
- Unit Linked	2,970	2,474	20.08%
Total Life (Family Takaful)	3,275	2,830	15.70%
No. of Employees	108	97	11.34%
No. of Agents	567	464	22.20%
No. of Branches/Distribution Centres	27	31	(12.90%)



PRODUCT PORTFOLIO

PROTECTION & SAVINGS

Secure your family's well-being with a suite of versatile Protection & Savings Plans designed to cater to your unique needs. Tailor the plan to match your family's needs, ensuring flexibility and lifestyle continuity, with the added benefit of a maturity value for effective investment. Opt for Amana Life for protection and savings plans that go beyond ordinary coverage.



Your family's well-being is a constant priority, and with the "Amana Life - Family Protection Plan," you ensure a shield of protection for them. This comprehensive plan offers a life cover, per-day hospital cover, and critical illness cover, providing financial security in unforeseen circumstances.

AMANA
LIFE
FAMILY PROTECTION PLAN

Experience the first-of-its-kind life insurance plan in Sri Lanka, tailor-made for your unique needs. At Amana Takaful Life, we recognize that each customer has distinct requirements, and our "Flexi Life Plan" introduces unparalleled flexibility to customize your life insurance, focusing on flexible payment terms, financial returns, and investment choices.

AMANA
LIFE
FLEXI LIFE PLAN

Prioritize safety and peace of mind for your family with the "Amana Life - Platinum Plan." Designed to protect against unexpected events, this plan not only ensures comprehensive coverage but also offers financial stability and flexibility. With extensive protection benefits and the opportunity for a substantial maturity value, the Platinum Plan empowers you to secure your family's future.

AMANA
LIFE
PLATINUM PLAN

PRODUCT PORTFOLIO

EDUCATION

Secure your child's future with the Amana Life Child Education Plan. This unique policy allows you to build a fund for your child's higher education or other needs. With options like policy continuity in unforeseen circumstances, investment choices, additional contributions, and special rewards for achievements, it's a tailor-made solution for a bright future.



Your child's dreams deserve a secure future, and the "Amana Life Child Education Plan" is here to make it a reality. Plan ahead for your child's higher education or any other purpose with this thoughtfully designed education fund.

AMANA
LIFE
CHILD EDUCATION PLAN

HEALTH

Explore a range of unparalleled health plans designed to prioritize the well-being of you and your family. With features like high-value hospitalization cover, cashless facility, and an attractive life insurance cover, these plans ensure comprehensive health and financial security. Embrace life's joys with added benefits for a customized plan that caters to your unique needs, offering unparalleled protection for a life well-lived. Choose Amana Life for health plans that exceed ordinary coverage.



Discover an unparalleled insurance cover that combines flexible life coverage with high-value comprehensive hospitalization. Ensure the well-being of your family with top-notch medical treatment not only in Sri Lanka but also in India, Singapore, and Malaysia, offering coverage for up to 7 members.

AMANA
LIFE
PREMIER HEALTHCARE PLAN

Embrace life's fullest joys with the "Amana Life - Platinum Plus Plan," an all-in-one premium protection plan delivering unlimited life coverage and comprehensive hospitalization for you and your loved ones.

AMANA
LIFE
PLATINUM PLUS PLAN

PRODUCT PORTFOLIO

PURE PROTECTION

Embark on a journey of pure life protection with Amana Life's suite of plans, each catering to unique needs without incorporating a maturity value.



Safeguard your workforce with the "Amana Group Life Plan", a comprehensive solution tailored to cover all employees. This plan offers a bundle of benefits, providing financial assistance in crucial situations such as death, disability, accidents, critical illnesses, and funeral expenses.

Choose Amana Group Life Plan for a holistic employee protection package, providing peace of mind and financial security in challenging times.

AMANA
LIFE
GROUP LIFE PLAN

Secure your dreams of homeownership with "Amana Life's Loan Protection Plan", a single premium policy meticulously crafted to shield borrowers from unforeseen financial challenges in the event of untimely death during the remaining loan repayment period.

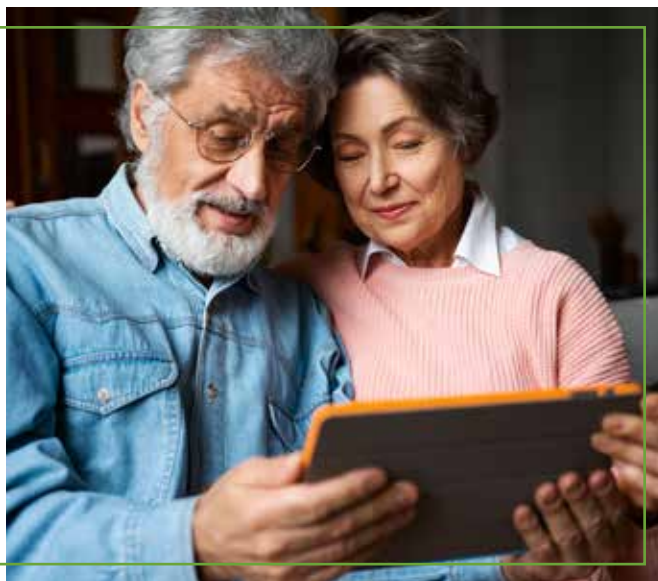
AMANA
LIFE
LOAN PROTECTION PLAN

Embark on a journey of pure life protection with the "Amana Life - Pure Life Plan." Tailored for those who manage their own investments, this plan offers comprehensive coverage against life's uncertainties, critical illnesses, and medical risks. Pure Life Plan ensures your family's financial security with a minimal premium, focusing solely on life protection without the typical investment component.

AMANA
LIFE
PURE LIFE PLAN

RETIREMENT

Ensure a prosperous and gratifying retirement with the Amana Life Retirement Plan. Tailor your post-retirement life by deciding when, how much, and for how long you desire a monthly income, providing an unlimited pathway to a reliable and established life that exceeds expectations.



Plan your post-retirement life wisely with the "Amana Life Retirement Plan". Secure a dignified and fulfilling retirement by deciding when, how much, and for how long you want your monthly income after retirement. This unlimited pathway ensures a reliable and established life, allowing you to live beyond expectations.

AMANA
LIFE
RETIREMENT PLAN

Leadership



CHAIRMAN'S MESSAGE



“Amana Takaful Life Insurance consistently strives to enhance customer service excellence. During the year under review, we combined our interactive stakeholder engagement process and provided our employees with the necessary support to look after our customers’ requirements in a professional, compassionate and comprehensive manner.”

As the global insurance landscape changes shaping pricing, underwriting practices, limits and deductibles, Sri Lanka’s insurance industry had to navigate the troubled waters of an economic downturn. Amana Takaful Life steered forth to achieve company goals effectively, in spite of the challenging external environment. Our core strategy of remaining in line with business growth targets and managing risk through a prudent and responsive approach allowed us to attain stability, perform well and lay the foundation for medium-term growth. In this backdrop, I am pleased to present the Annual Report and the Audited Financial Statements of Amana Takaful Life PLC (ATLPLC) for the financial year on behalf of the Board of Directors.

Operating Context

While much of the social unrest that prevailed during the previous year eased, the economic impact of the

financial crisis continued to negatively impact service-oriented businesses such as insurance. The Government’s efforts to stabilise the financial markets as well as International Monetary Fund assistance began to slowly take the economy on a path of progress. However, the inevitable decrease in disposable income triggered a challenging status quo in the long-

term insurance sector. The long-term insurance sector grew at a moderate pace during the year under review as a result of the depleted real income of households in the aftermath of high inflation. Even though inflation subdued during the second half of the year, new tax policies impacted income, further decreasing the disposable income of households.

“Amana Takaful Life is on a path of progress, mainly driven by our steadfast adherence to the core strategy, business integrity, brand reputation management and risk management. We will continue to seek growth in line with our medium growth targets at the moment to pave the way for sustainable, long-term value creation on behalf of all stakeholders.”

CHAIRMAN'S MESSAGE

Company Performance

In a less than desirable external environment, the long-term insurance industry experienced moderate growth. However, Amana Takaful Life Insurance recorded a GWP growth of 8%, mainly driven by our concentrated efforts on driving agency-based distribution channels as well as bancassurance partnership growth. This pragmatic approach enabled the Company coupled with the robust brand reputation and commendable efforts by our insurance advisor force attracted a considerable volume of new customers. During the year under review, we completed our product portfolio to cater to the existing and future demands of customers.

Our stakeholder management strategy was one of our integral driving forces in the pursuit of sustainable growth. During the year under review, we engaged our stakeholders in a purposeful manner to address their various concerns. Meanwhile, we continued to invest in our employees and insurance advisors by providing them with ample training and development opportunities.

Amana Takaful Life Insurance consistently strives to enhance customer service excellence. During the year under review, we combined our interactive stakeholder engagement process and provided our employees with the necessary support to look after our customers' requirements in a professional, compassionate and comprehensive manner.

Mindful of the fact that the evolving market place requires an all-encompassing, responsive digital platform, we continued to invest in our digital strength.

Corporate Governance

The Company's corporate governance approach creates a well-regulated, accountable and integrity driven organisational framework for operational

and business performance. We consistently adhere to the corporate governance rules under corporate governance by the Insurance Regulatory Commission of Sri Lanka complying with the strict criteria established for all the insurance companies as of 30th June 2021. The Company also follows the rules and regulations for the industry in relation to Anti Money Laundering laws in Sri Lanka and the CSE rules and regulations as a listed Company. As such, Amana Takaful Life's corporate governance framework allows all entities in the Company to conduct business operations from a point of transparency, reliability and personal and collective accountability.

Future outlook

While the country's economy is on the mend, we expect the inevitable spillover effects to continue to negatively impact the insurance industry for the foreseeable future. However, Amana Takaful Life is on a path of progress, mainly driven by our steadfast adherence to the core strategy, business integrity, brand reputation management and risk management. We will continue to seek growth in line with our medium growth targets at the moment to pave the way for sustainable, long-term value creation on behalf of all stakeholders.

Acknowledgement

As we conclude the financial year to begin the next phase of our journey, I remain thankful to all the teams, partners and advisors involved with Amana Takaful Life's success. I am thankful to the visionary guidance of our Board of Directors who tapped into their expertise and experience to guide the Company forward during this challenging period. Our CEO and the senior management team led the Company with dedication and foresight. I am grateful to them. Our insurance advisors and employees provided the Company with their steadfast commitment, strong work ethics and professionalism to successfully move

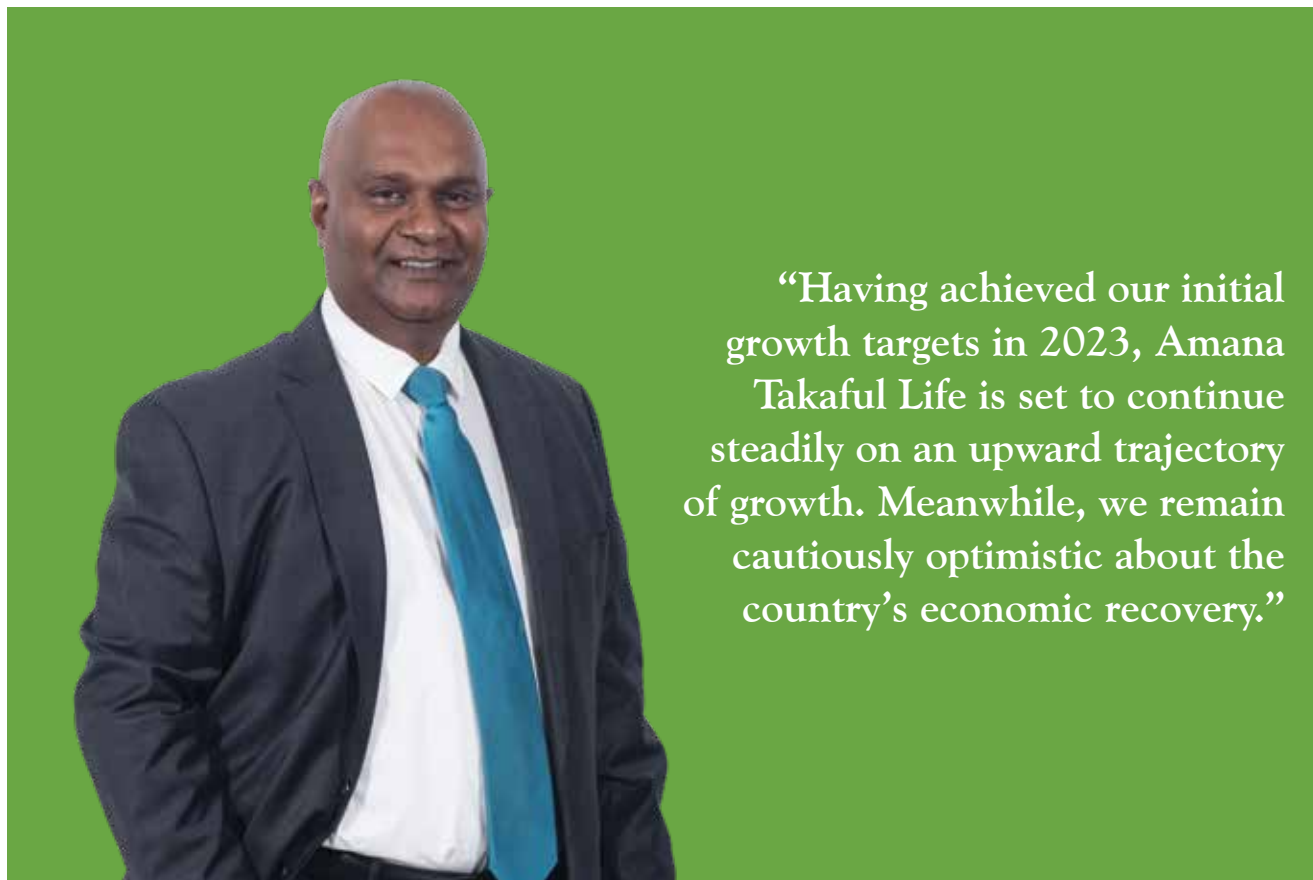
forward in spite of challenges. I wish to express my gratitude to them. I would also like to express my gratitude to the Sharia Advisory Council for their invaluable support. Insurance regulators and reinsurance partners provided us with much needed support to function effectively. I am thankful for their services. In addition, our shareholders and customers supported us by remaining confident in our innate ability to face challenges with resourcefulness and resilience. I am grateful to them for their faith in our ability. Let us continue to pursue growth together.



Osman Kassim
Chairman

15 May 2024
Colombo

CHIEF EXECUTIVE OFFICER'S REVIEW



“Having achieved our initial growth targets in 2023, Amana Takaful Life is set to continue steadily on an upward trajectory of growth. Meanwhile, we remain cautiously optimistic about the country’s economic recovery.”

The year 2023 was a watershed moment for Amana Takaful Life in spite of pressure from the contracting economy. During the year under review, our concentrated focus on the core strategy of business growth allowed the Company to achieve profitability. Our combined approach of sound risk management and straightforward business growth goals not only led to commendable financial performance but also laid the foundation for medium-term growth in line with the overall growth pursuits.

The Operating Context

Driven by slow economic activities and the spillover effects of the financial crisis, Sri Lanka’s economy recorded a downturn of 7.8% during the first half of the financial year 2023. The high cost of living triggered an overall decrease in disposable income while the construction, real estate, manufacturing and financial services industries in

particular suffered. While the monetary policy measures and assistance from the International Monetary Fund provided much needed strength to the economy to revive, the impact of the crisis continued to impact service-oriented industries such as insurance.

Industry vs Amana Takaful Life PLC

The long-term insurance industry continued to face the impact of the economic crisis as disposable income decreased, leading to a decrease in interest in insurance products. In an underperforming economy, long-term insurance products take on a secondary importance in the priority scale as the public focuses more on meeting their day-to-day needs. In this backdrop, the long-term insurance industry’s Gross Written Premium earnings stood at Rs 152,913 Mn posting a growth of 12%. In contrast, Amana Takaful Life recorded GWP earnings of Rs 1,150 Mn,

illustrating a growth of 8%. Meanwhile, Industrywide premium new business growth for the year under review stood at Rs 34,213 Mn. Amana Takaful Life recorded a growth of 6% at Rs 350 Mn.

Achieving Company Goals

As I mentioned earlier, the year 2023 proved to be a turning point in our journey of growth. In the year 2022, a larger volume of our profits was the result of investment earnings. In contrast, this year, Amana Takaful Life generated a larger portion of profits through business growth, signalling the success of our core strategy to enhance our insurance business and attract more customers. To this end, we worked towards strengthening our agency-based distribution channel and securing robust bancassurance partnerships. During the year under review, we effectively broadened our reach through recruiting customers to purchase life, medical and critical illness insurance

CHIEF EXECUTIVE OFFICER'S REVIEW

products. As part of our strategy to cater to different requirements and payment capacities of customers, Amana Takaful Life introduced the innovative 'Flexi-life' insurance cover that allows the insured to enjoy the benefits of life insurance for 20 years, following premium payments of up to 5 years.

In pursuing growth through our core strategy, we employed a gamut of approaches to achieve set goals. While the easing of social unrest allowed us to regain normalcy in business continuity, the Company invested heavily in agency-based distribution growth. Amana Takaful Life further invested in training and development of insurance advisors as well as employees to enhance customer service excellence as well as backend services. During the year under review, we conducted an executive development programme to reinforce the potential and skills of our employees. In addition, we partnered with the Postgraduate Institute of Management (PIM) to launch the 'LEAP' leadership development programme on behalf of our employees. In the meantime, we continued to fuel our digitalization drive to enable better customer care and faster, hassle-free services to match the digital age.

Stakeholder management was yet another aspect of our overall strategy. Amana Takaful Life engaged in a comprehensive and far-reaching stakeholder development programme

to monitor, analyse and respond to stakeholder requirements.

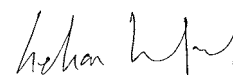
The Way Forward

Having achieved our initial growth targets in 2023, Amana Takaful Life is set to continue steadily on an upward trajectory of growth. Meanwhile, we remain cautiously optimistic about the country's economic recovery. Mindful of the fact that there will be external obstacles to our own growth targets as the economy continues to slowly recover, we will look into robust risk management strategies. We plan to maintain the momentum of growth experienced in 2023 and continue to strengthen agency-based distribution channels, reach out to a larger audience and increase profitability to create lasting value for all stakeholders.

Appreciation

The year 2023 posed a unique set of challenges. We would not have been able to navigate the choppy waters successfully without the prudent and visionary guidance of our Board of Directors. I am grateful to them for their support. Our management team and employees steered the ship with able commitment during the year under review to achieve goals. I would like to express my sincere gratitude to the teams for their dedication. I would also like to express my sincere gratitude to the Sharia Advisory Council

for their contribution throughout the year. I also like to express my gratitude to the Insurance Regulators and our Reinsurance partners for their indispensable support. Our customers and shareholders did not lose faith in our abilities during this trying time. I am thankful for their confidence in Amana Takaful Life. I am also sincerely grateful to the field distribution management team, advisors and team leaders for their invaluable work. Let us continue on this path of success as a united team.



Gehan Rajapakse
Chief Executive Officer

15 May 2024
Colombo

“Industrywide premium new business growth for the year under review stood at Rs 34,213 Mn. Amana Takaful Life recorded a growth of 6% at Rs 350 Mn.”

BOARD OF DIRECTORS PROFILES



OSMAN KASSIM

CHAIRMAN / NON-EXECUTIVE DIRECTOR

Mr. Osman Kassim, the visionary and one of the main promoters of Amana Group of Companies, was the Chairman of Amana Bank PLC, Sri Lanka's first and only licensed commercial bank to conduct all its operations under the principles of Islamic banking. Kassim, a well-versed personality in Islamic banking and finance, was instrumental in introducing Islamic finance to Sri Lanka with the setting up of Amana Investments in 1997, whose assets and liabilities were later transferred to Amana Bank PLC in 2011. He has expanded his directorships in Islamic Finance companies overseas as well, where he is a Director at Amana Takaful Maldives. With over 40 years of senior management experience, Kassim was also the Founder Chairman of the well-established Expolanka Group of Companies which is engaged in diverse business activities. He is the Chairman of Vidullanka PLC, a leading provider of renewable energy to the National Grid and he is also the emeritus Chairman of Aberdeen Holdings (Private) Limited. He also sits on the Board of Ex-Pack Corrugated Cartons (Private) Limited.

He was conferred an Honorary Doctorate from the Staffordshire University in recognition of his achievements as both a global entrepreneur and visionary educationalist.

SHARHAN MUHSEEN

APPOINTED DEPUTY CHAIRMAN
W.E.F 27.04.2023/INDEPENDENT /
NON-EXECUTIVE DIRECTOR

Sharhan Muhseen is a senior Investment Banker with extensive experience in areas of Mergers and Acquisitions, Corporate Finance and Capital Markets. He has served in a senior capacity working with company boards and senior leadership teams of Financial Institutions across Asia to help drive their strategic agenda and roadmap. Sharhan previously worked in best-in-class global investment banks, Credit Suisse, Bank of America Merrill Lynch and JPMorgan in leading regional coverage roles. His most immediate previous role was as Managing Director, Head of Asia Insurance, Head of South East Asia Financial Institutions Group, and Country Manager Sri Lanka at Credit Suisse based in Singapore. In his Investment Banking career spanning over 20 years, Sharhan has completed landmark mergers and capital raising transactions in excess of USD 100 Bn. The Asia FIG sector team at Merrill Lynch and Credit Suisse has won the "FIG Asia House of the Year" award and "Best Sri Lanka Investment Bank" from the Asset magazine and Finance Asia Magazine for multiple years under his leadership. Sharhan is also credited with some leading research reports including reports on Banking sector efficiency, currency depreciation and budget deficit in his role as Head of Sri Lanka Banking sector research coverage and lead Economist at Jardine Flemming. Sharhan has also worked at Standard Chartered Bank in the corporate banking division where he started out as a Management Trainee and at Rodman and Renshaw stock and commodities broker based in Chicago.

He has experiences at the policy level working as a Team Leader at the National Council for Economic Development (NCED) under the Ministry of Finance as well as a Director at the TAFREN presidential task force for rebuilding the economy after the 2004 Tsunami. Sharhan holds a Masters in Economics from the University of Colombo and a Bachelor of Business Administration (Hons) from Western Michigan University. He has completed the Corporate Finance training with JP Morgan in New York and board leadership training at the Singapore Management University. He was recently appointed as the Chairman of the Board of Directors of Commercial Bank of Sri Lanka PLC.

BOARD OF DIRECTORS PROFILES



GEHAN RAJAPAKSE
EXECUTIVE DIRECTOR/CEO

Gehan Rajapakse the incumbent Chief Executive Officer of Amana Takaful Life PLC was appointed to the Board on 3rd June 2020. He counts over 25 years of experience in the Financial Services industry with primary focus on Insurance & Asset Management. He commenced his career with CTC Eagle Fund Management Company Ltd in 1992 as a Management Trainee. He has functioned as a General Manager of both the Asset Management business and later the Banc Assurance arm of Aviva NDB PLC. Prior to his appointment as CEO Amana Life, he served as the CEO of LOLC Insurance PLC. He holds a Master's Degree in Business Administration (MBA) from PIM University of Sri Jayewardenepura and a Bachelor's Degree in Economics (Hon) from the University of Colombo. He is also a Fellow Member of the Chartered Institute of Management Accountants (CIMA) – UK.



AMMAR SHAFIK KASSIM
INDEPENDENT NON-EXECUTIVE
DIRECTOR

Ammar was appointed to the Board on 7th March 2016. He currently holds the position of Executive Director at Fits Aviation, Sri Lanka's largest private airline.

He has managed a programme of aircraft acquisition fleet standardisation across three global hubs for the airline. He holds a BSc in Economics and an MSc in Management Information Systems from New York University.



HASSAN KASSIM
NON-INDEPENDENT NON-EXECUTIVE
DIRECTOR

Hassan Kassim is the Managing Director of Amana Takaful PLC, the parent Company. He is the Deputy Chairman/ Chief Operating Officer at Aberdeen Holdings (Private) Limited and the Founder /Director of Expo Commodities Global (Pvt) Ltd.

He holds a BA (Hons.) Degree in Management Studies from the University of Nottingham, UK. Hassan Kassim also serves as a member of the Board of Directors of Bio Extracts (Pvt) Ltd, Lanka Commodity Holdings (Pvt) Ltd., Expoceylon Pharmaceuticals (Pvt) Ltd, Expo Commodities Global (Pvt) Ltd, Kolonnawa Property Holdings (Pvt) Ltd, Ruhunu Farms (Pvt) Ltd and Roar Digital (Pvt) Ltd.

Hassan Kassim, was awarded the Young Leader Award at the 26th Asia Insurance Industry Awards (AIIA) 2022. The achievement is an unprecedented feat for Amana Insurance and the Sri Lankan insurance industry as a whole, as Hassan is the only Sri Lankan to have won this Young Leader Award of Asia thus far. Furthermore, this was a rare occurrence, where a Sri Lankan company won an award in this forum after nearly 10 years, and the fact that this was achieved amidst an island wide economic crunch provides great reputational value to both Amana Insurance and Sri Lanka as a whole.



K R RAVINDRAN

INDEPENDENT NON-EXECUTIVE
DIRECTOR

K.R. Ravindran, is Co-Founder and CEO of Printcare PLC and serves as a Director in all of the group companies as well as other companies and charitable trusts and Foundations both in Sri Lanka and overseas.

In 2015/16, Ravindran served as the global head of the Chicago headquartered 116 year old Rotary International, one of the world's largest service organisations. He is the only Sri Lankan and the tenth Asian to have ever been elected to this prestigious office. Subsequently he also served as the Chairman of the Board of Trustees of the multibillion dollar Rotary Foundation.

He has been recognised by the Sri Lanka Association of Printers with the signature Lifetime Achievement Award and was conferred with the title of Sri Lanka Sikhamani (Jewel of Sri Lanka) by the Government of Sri Lanka.



SHEHARA DE SILVA

INDEPENDENT NON-EXECUTIVE
DIRECTOR

Shehara is an international branding and communication specialist with a track record of market development in East Asia and Sri Lanka. She is currently on the Board of Keells Food Products PLC, Expack Corrugated Cartons Pvt Ltd, Sarvodaya Development Finance, Optima Design, Informatics Institute of Technology and Quickshaws Travel (Pvt) Ltd. She is also a Trustee board member of the Neelan Tiruchelvam Trust. She was previously on the Boards of The Environment Foundation, the Arthur C Clarke Institute of Modern Technologies and Eagle NDB Fund Management. She has worked with Omnicom related companies in Malaysia, as the Director Planning Naga DDB and later as the Managing Director of Interbrand Malaysia and Group Director Strategy of Foetus International. She was the Deputy Director General of the Board of Investment Sri Lanka and GM Marketing and Sales of Janashakthi Insurance. She has consulted for the UN/ ILO, USAID, GiZ, PLAN international, NORAD, and Internews on gender, competitiveness and reconciliation.



SURESH MALITH PARANAWITHANA

INDEPENDENT NON-EXECUTIVE
DIRECTOR

Suresh Paranavitana began his career in the field of insurance in the year 1986. He has experience in the Life Insurance industry for over 29 years.

Suresh is a Fellow of the Chartered Insurance Institute, Fellow of the Chartered Institute of Marketing, Certified Management Accountant (Aus) and has a Master of Business Administration.

Having initially worked for Mercantile Credit Limited, he then moved on to Ceylinco Insurance Company Limited (Life Division) and subsequently to Sri Lanka Insurance Corporation Limited, where he held many senior positions in the company.

BOARD OF DIRECTORS PROFILES



PROF HITHANADURA ASITA DE SILVA

INDEPENDENT NON-EXECUTIVE DIRECTOR

Professor Asita de Silva has held many positions in academic medicine over the last 30 years. He is a Clinical Pharmacologist and is currently Senior Professor of Pharmacology at the Faculty of Medicine, University of Kelaniya, Sri Lanka. Asitha graduated MBBS in 1991 from the North Colombo Medical College, Sri Lanka, and had his postgraduate training in clinical pharmacology at the Radcliffe Infirmary in Oxford. He holds a doctorate in Clinical Pharmacology from the University of Oxford and is a Fellow of the Royal College of Physicians, London. His clinical research interests have focused on neglected tropical diseases and major non-communicable diseases with a major focus on developing cost-effective and scalable therapeutic interventions. He serves on numerous international steering committees of large clinical trials on cardiovascular disease and has a prolific scientific publication record. He has received Presidential awards for medical research on numerous occasions and is included in the database of the world's top 2% of scientists compiled by Stanford University. He was the Chairman of the National Medicines Regulatory Authority in Sri Lanka from June 2016 to March 2021. In 2019, he was awarded the titular honour 'Vidya Jyothi', Sri Lanka's highest award for science.



PUSHPA KUMAR GUNASEKERA

(APPOINTED W.E.F. 08TH MAY 2024)
INDEPENDENT NON-EXECUTIVE DIRECTOR

Pushpa Kumar currently serves as an independent Actuarial Consultant, providing services in the areas of Life Insurance and Employee Retirement Benefits. He began his career at Eagle Insurance Co Ltd Sri Lanka as a Management Trainee and gradually advanced to his appointment as General Manager Actuarial, accumulating seventeen years of experience along the way. Thereafter, he held the position of General Manager Actuarial at Union Assurance PLC for seven years before embarking on his independent Actuarial Consultancy. Alongside his tenure in Sri Lanka, he also underwent training and gained experience with overseas insurance entities located in Cheltenham UK, Hong Kong and Zurich within the Eagle Star Insurance Group and Zurich Financial Services Group.

He has over 25 years of senior management experience in product pricing, regulatory valuations, employee benefit valuations, experience analytics, business projections & planning, strategy development and risk management in Life Insurance.

Pushpa Kumar is an Actuary/Associate of the Institute of Actuaries Australia (AIAA) with over 20 years of post-qualifying experience. He holds a Bachelor's Degree in Mathematics (First Class) from University of Colombo, Postgraduate Diploma in Actuarial Science from City University UK and MBA from Postgraduate Institute of Management at University of Sri Jayewardenepura.

SENIOR MANAGEMENT TEAM



SUSIL PALIHAKKARA
SPECIFIED OFFICER



SHAUL HAMEED ASIF
HEAD OF NATIONAL DISTRIBUTION



NIMAL PRIYANTHA
ASSISTANT GENERAL MANAGER –
SALES



SABEEH FEISAL
ASSISTANT GENERAL MANAGER -
LIFE UNDERWRITING



SHAKIR MOHAMED
SENIOR REGIONAL MANAGER –
WESTERN



ALTHAF KALEEL
MANAGER BUSINESS DEVELOPMENT
– BANCASSURANCE & CORPORATE
PARTNERSHIPS



IRSHAD NAWAZ
REGIONAL MANAGER – WESTERN &
BANCASSURANCE



JAHAN SULTAN
MANAGER – HUMAN RESOURCES



MUHAMMAD AFZAL ALI
SENIOR MANAGER – FINANCE

SENIOR MANAGEMENT TEAM



**SITHAMPARAPILLAI
MUHUNTHAN**

SENIOR MANAGER – LEARNING &
DEVELOPMENT



JASEEL JAWHAR
MANAGER - AGENCY

ADMINISTRATION

OTHER CORPORATE MANAGEMENT TEAM



NALIN DAMMIKA
REGIONAL MANAGER – UVA



NAWAZ BADURDEEN
MANAGER – SHARIAH DEPARTMENT



FAHRUL NISVER
MANAGER – LIFE UNDERWRITING



MALAIQA DOLE
MANAGER - LIFE UNDERWRITING



SHAFEEL JABEER
MANAGER – BANCA TAKAFUL

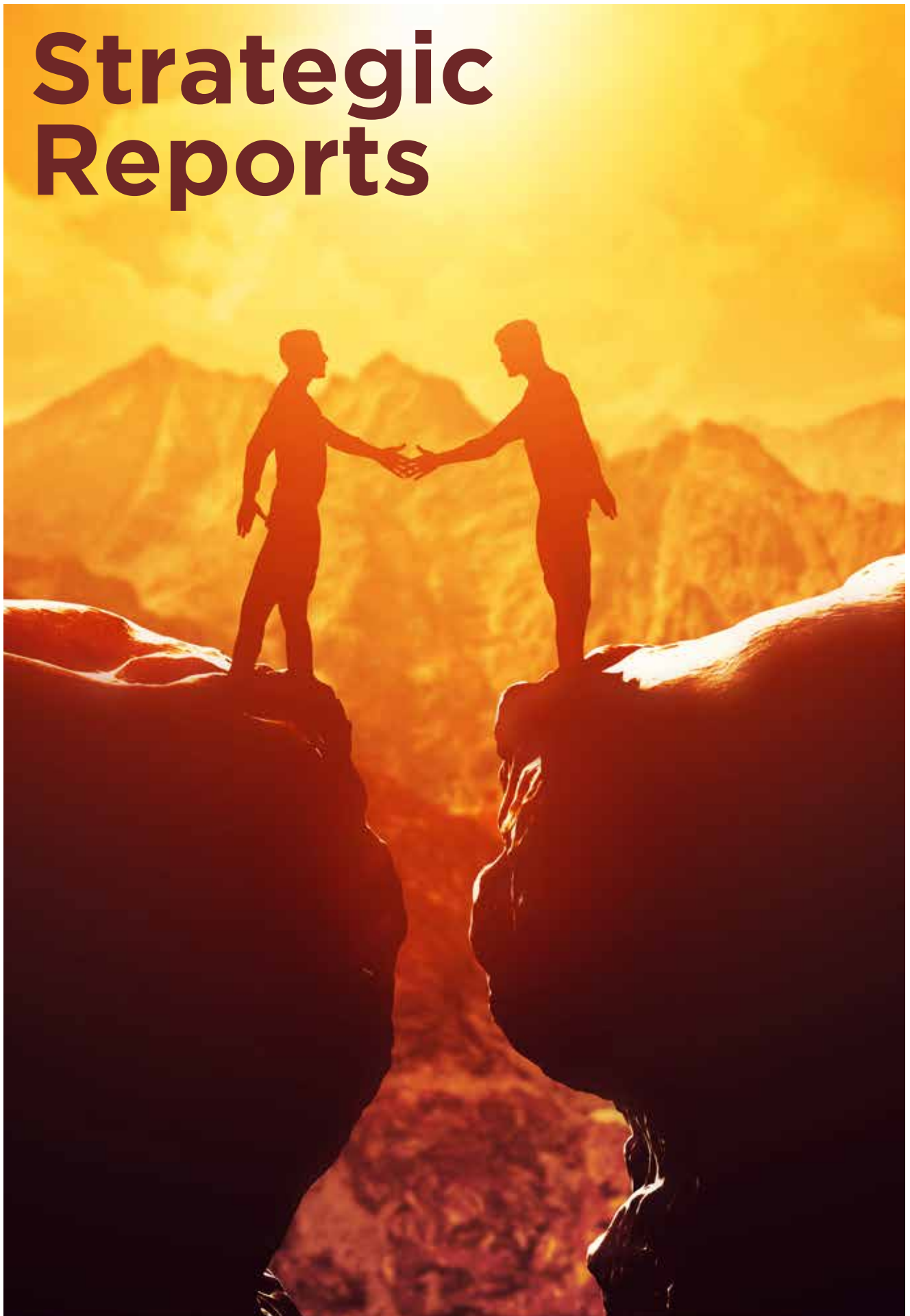


YUDHEESHA FERNANDO
ASSISTANT MANAGER - HUMAN
RESOURCES



MOHAMED RAZICK
ASSISTANT MANAGER – CLAIMS &
SERVICING

Strategic Reports



OPERATIONS REVIEW

The World Bank development update of 2023 revealed that the country's economy contracted by 7.8% in 2022 and 7.9% during the first half of the year 2023. Driven by shrinking private credit, supply chain disruptions, and shortage of inputs, the construction, manufacturing, real estate and financial services sectors suffered. As the economic crisis unfolded, Headline inflation measured by the Colombo Consumer Price Index peaked at 69.8% in September 2022 and declined drastically by 4% in August 2023 amidst declining demand. This deceleration in inflation benefitted household welfare, and subsequently decreased further increase in food insecurity and malnutrition amongst vulnerable households.

Meanwhile, the Central Bank commenced to loosen monetary policy in tandem with inflation deceleration. As such, the policy rates were cut by 250 basis points by June 2023 and a further 200 basis points in July, which brought the Standing Deposit Facility rate down to 11% and the Standing Lending Facility rate to 12%. The 91-day T-bill fell below 20 percent in July 2023 driven by policy rate cuts and increased clarity on domestic debt restructuring.

The combination of import restrictions and subdued import demand, particularly in intermediate and investment goods, brought down the merchandise trade deficit by USD1 billion between the period January and July 2023. Meanwhile, in spite of the decline in export earnings in view of declining global demand, foreign exchange liquidity pressure continues to ease in the absence of large debt service payments, enhanced tourism earnings and robust flow of remittances. This led to an accumulation of usable foreign reserves to US\$2.4 billion by end-July 2023 (equivalent to 5-6 weeks of imports of goods and services).

The Sri Lankan Rupee appreciated by 11% between January to August 2023,

following the depreciation by 81% (against the USD) recorded in 2022.

The Sri Lankan economy indicated signs of progress; the World Bank revealed that the country's prospects of growth depend largely on the success of the debt restructuring programmes as well as the implementation of recommended structural reforms.

According to predictions by the World Bank, Sri Lanka needs to implement macroeconomic adjustments necessary to improve economic conditions and resolve the crisis. These measures would initially impact growth, poverty and inequality. Nevertheless, the said measures will in time correct imbalances and pave the path to access to the international financial markets. Consequently, the changes would help lay the foundation for sustainable growth. The authorities however need to concentrate on addressing the negative impact on vulnerable communities.

(Source: Sri Lanka Development Update 2023 – World Bank Report)

Performance of the long-term insurance sector

The Central Bank of Sri Lanka revealed that the insurance sector recorded an increase in GWP in spite of economic challenges. GWP in the long-term insurance sector increased by 10.4% during the first half of the year as a result of repricing policies to accommodate increasing price levels. Meanwhile, asset growth of the long-term insurance sector was at 14.4% as at the end of the first half of the year under review.

Driven by elevated prices, insurance industry claims remained high during the year under review. Claims made in the long-term insurance sector including maturity and death benefits rose by 47.2% for the first half of the year in comparison to the figures recorded in the corresponding period in 2022.

Profitability remained high in the long-term insurance sector as a result of higher investment when compared to General insurance. As of the end of the second quarter of 2023, the combined operating ratio for long-term insurance was 96.8%.

The liquidity ratio of the long-term insurance sector increased by 0.81 at the end of the first half of the year in comparison to the recorded 0.76 at the end of the corresponding period during the previous financial year.

According to the Insurance Regulatory Commission of Sri Lanka, GWP of the long-term insurance industry was valued at Rs 152 Bn as at the end of the year under review/as at the end of the third quarter of the year under review.

As such, the long-term insurance sector in Sri Lanka remained stable during the year under review, in spite of external pressure.

(Sources: Central Bank Financial Stability Review/ Report of the Insurance Regulatory Commission)

Company Performance

Resilience and focus on long-term growth targets were the cornerstones of success for Amana Takaful Life during the year under review. The Company's GWP growth for the year was at (8%) at Rs (1,150) Mn as at the end of the year under review. This growth was the result of concentrated efforts on the sale of life and medical insurance products. Amana Life Insurance enhanced focus on agency-based distribution channel development and bancassurance partnership improvement to achieve business growth. This core strategy yielded positive results in spite of the economic challenges. The Company's profit after tax was 50.32 Mn for the year 2023. During the year under review, the Company adopted a multitude of supporting strategies to support the core strategy of business growth. One such was to increase

OPERATIONS REVIEW

our digital reach through prioritizing digital services as well as increasing employee skills in customer care via digital channels. In addition, Amana Life Insurance reinforced employee training, development and satisfaction enhancement to achieve sustainable growth targets through people empowerment.

We also took proactive measures to improve customer services through understanding their evolving needs and catering to those accordingly.

Amana Life Insurance's ultimate growth strategy involves business activity growth to achieve lasting profitability and create value for all stakeholders including customers, employees and business partners.

Future outlook

While we are grateful to the promise of economic recovery, we remain aware of the challenges in the shape of less disposable income amongst our customers and target markets due to inevitable taxations, as well as global scale economic and financial market issues that would continue to challenge overall economic recovery of Sri Lanka. Nevertheless, we remain confident in our own ability to navigate challenges in shaping future success through a prudent strategic approach and pragmatic responses to challenges.

HUMAN RESOURCES

Human capital is part and parcel of our organizational success. The manner in which we manage our human capital is invariably connected to and drives our social, governance and environmental impacts. As such, the well-being and growth of our employees directly contribute to the Company's overall performance. Mindful of this, we rely on a comprehensive strategy to develop our employees, ensure their well-being and make a lasting impact on their individual growth aspirations. The below illustration depicts the core of our human capital management.

Employee Life Cycle & Key Result Areas of HR



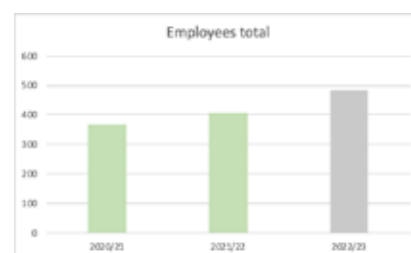
The above is the linchpin of the effectiveness of our human capital approach.

The Composition of Our Human Capital

Amana Takaful Life pays emphasis to the organisational credo – 'To every Sri Lankan as One' to shape our non-discriminatory approach to recruitment and development of employees. As such, we do not discriminate against potential employees or the current team based on gender or "ethnic background". While the general perception of the insurance industry draws more male candidates compared to female candidates, we encourage women to apply for positions at Amana Takaful Life and build successful careers. We have created a safe work environment which empowers career advancement as well as emotional well-being.

The below illustrations provide a glimpse into our workforce composition.

Notwithstanding that we are a relatively new Company, over 20 of our 97 staff members have been with us for over 20 years. This is a silent testament to the strength of our human capital management approach.



Parallel to our island wide penetrations, our employees are spread across the country. However, as the majority of our clients reside in the Western Province, our staff strength is strongest in this region to cater to their requirements.

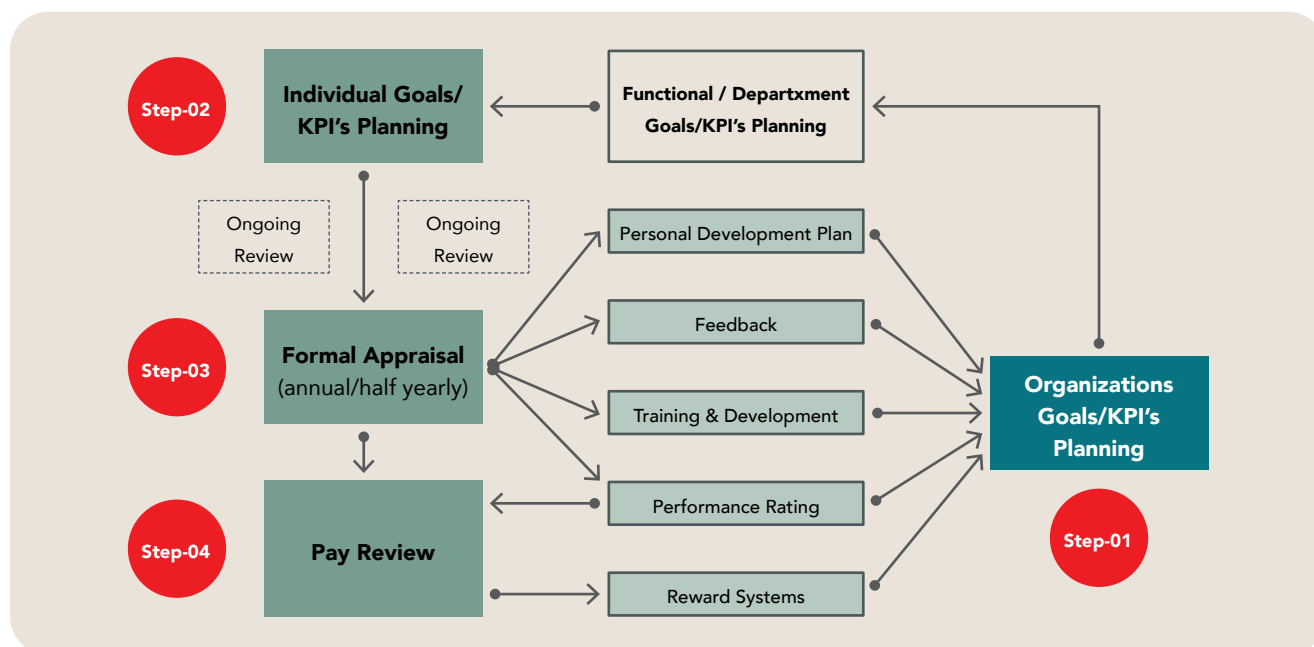
HUMAN RESOURCES

Staff Distribution by Province	2022 No.	%	2023 No.	%
Central	16	16%	15	14
Eastern	16	16%	18	17
North Central	2	2%	3	3
North Western	5	5%	3	3
Northern	3	3%	2	2
Sabaragamuwa	3	3%	4	4
Southern	1	1%	1	1
Uva	0	0%	3	3
Western	51	53%	60	55
Total	97	100%	109	

Performance Management System (PMS)

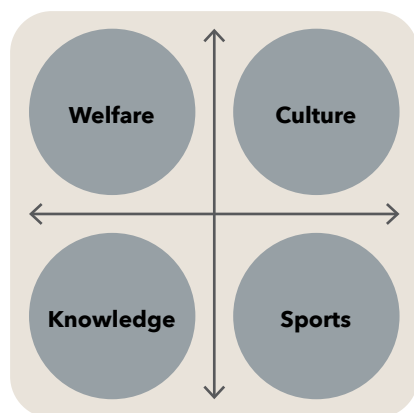
Fair remuneration and benefits are part of our human capital mandate. As such, we use a well-defined and transparent performance management system to analyse individual performance to assess training needs and provide merit based remuneration and other benefits.

Performance Management Process



Meanwhile, Amana Life maintains an 'Open Door' policy to allow employees to discuss their concerns with relevant management whenever the need arises. The 'Pulse Check' initiative in place concentrates on the professional and emotional well-being of each employee through consistent engagement.

The Company's Welfare Association – ATWA (Amana Takaful Welfare Association) conducts various events throughout the year to ensure employee wellbeing and engagement activities. The below depiction presents the mandate of the ATWA;



Training and development

As we strive for long-term growth in the insurance industry, training and development remains an integral component of our growth targets. During the year under review, we conducted a comprehensive 6-months Leadership Development Programme for our Management team in collaboration with the Post Graduate Institute of Marketing (PIM). The programme explored leadership strategies, finance and marketing skills, relationship skills and a wide scope of related capability enhancements.

Meanwhile, the LEAP programme coached our executives to develop their innate potential for leadership and growth through a series of well-crafted projects.

The below is a list of the other training programme conducted during the year under review.

Training title	Focus
Path Training	Company Induction/ IRCSL licensing/ Product Competency
Need Based Training	Customer service/ Telephone etiquette/ Outbound training
TNA Based Training	Business Writing Skills/ Takaful training/ Miscellaneous insurance/Marine/ Fire/Engineering/Bond & Liability/ Medical Insurance/Motor insurance/ Underwriting/MS Excel

Looking into the future

The year under review posed a host of challenges, some of which impacted our human capital growth in the shape of financial and social hindrances. However, our well-thought-out human capital management strategy allowed us to smoothly navigate the status quo and allow our employees to enjoy professional success and employment security. We will continue to manage challenges in a responsive manner and connect our human capital to overall growth targets.

CORPORATE SOCIAL RESPONSIBILITY

Building Brighter Futures

At Amana Takaful, we champion the potential of education to ignite transformation. Our team embarked on a purposeful Corporate Social Responsibility (CSR) endeavour at Dehiwala Methodist College. Our mission was clear: to equip young minds with the essentials for their educational journey.

With unwavering commitment, we provided crucial supplies like textbooks, stationery, and educational resources to the students of Dehiwala Methodist College. This simple yet profound gesture aimed to alleviate the burdens faced by both students and educators, ensuring that every child has the requisite tools to excel academically.

We are privileged for the opportunity to impact the lives of these promising young individuals. Their smiles and expressions of gratitude fuel our determination to continue fostering positive change within our communities.



Amana Takaful and Rotary Club Collaborate for Clean Water

In a remarkable collaboration between Amana Takaful and the Rotary Club of Colombo West, a beacon of impactful initiatives in Sri Lanka, a shared vision came to fruition. We witnessed the realization of clean water accessibility for the residents of Ranaviru Gamanaya, Ulapane, Gampola. Prior to our intervention, this vibrant community grappled with significant challenges stemming from the absence of safe drinking water.

Through synchronized efforts and steadfast dedication, Amana Takaful and the Rotary Club of Colombo West embarked on a unified mission to tackle this pressing issue. Together, we enacted sustainable solutions, ensuring the provision of clean and safe water sources for the community.

As we ponder upon this transformative odyssey, we take pride in our contribution to enhancing the residents' quality of life in Ranaviru Gamanaya. Through our combined endeavours, we've underscored the profound impact of collaboration and community involvement in effecting enduring positive change.



Water is more than just a thirst quencher

In the heart of Alakkaddu, Mannar, a profound change rippled through the community, touching the lives of over 400 students at Zahira G M M S school. For over six years, these students endured a scarcity of water, a basic necessity often taken for granted. However, their plight caught the attention of Amana Takaful Insurance, igniting a ripple effect of compassion that extended far beyond the confines of the school gates.

In a transformative gesture of benevolence, Amana Takaful Insurance stepped forward, recognizing the urgency of the situation. By supplying water to Zahira G M M S school, they not only quenched the physical thirst of hundreds of students but also revitalized hope within the entire village of Alakkaddu. This act of kindness did more than merely provide water; it symbolized the immense power encapsulated within seemingly modest deeds.

The impact of Amana Takaful Insurance's initiative was profound and multifaceted. Firstly, it alleviated the immediate suffering of the students who had long endured the burden of water scarcity, allowing them to focus on their education without the distraction of basic survival needs.



Scan the QR code to view the water project video



CORPORATE GOVERNANCE

Corporate governance that nurtures a culture of transparency, accountability and integrity plays an integral part in ensuring growth and stability. It is through the adoption of the highest of such standards that we continue to enjoy the trust and confidence of all our stakeholders.

The present business environment has become more challenging. Therefore, Amana Takaful Life PLC strongly believe that it is vital for the Company to adopt the highest standards of corporate governance. This would nurture a culture of transparency, accountability and integrity which are essential prerequisites in ensuring the Company's survival and growth in a competitive market.

Corporate governance is described as a Management process in which a corporate, business entity or Company is directed, managed and controlled. It is a concept which is now entrenched in the business world. In any company where the shareholders have placed the reigns of power in the hands of the Directors, it naturally follows that the Directors are accountable to the shareholders. To ensure that the trust placed in the Directors is secure, a company must adhere to the best corporate governance practices which embody integrity, accountability and transparency. Nevertheless, the success of any good governance practice initiative depends on how the people are led and the policies as well as how the processes are implemented.

In order to create shareholders' wealth and gain market confidence, Amana Takaful Life PLC is committed to adopting best practices. It is also committed to maintain the smooth functioning of the Company's operations.

Capital Structure And Shareholding

Amana Takaful Life PLC has at its foundation a capital structure consisting an issued share capital of Rs. 500,000,000/-. The Company has 1,067 shareholders, as at 31st December 2023 while the majority shares are held by the Parent Company Amana Takaful PLC. Details of the main shareholders are given on page 111.

Board Of Directors And Board Committees

There are Ten Directors on the Board of Amana Takaful Life PLC, whom Nine hold office in Non-Executive capacities and one in Executive capacity who also function as the Chief Executive Officer of the Company. The Board of Directors has been drawn from a cross-section of industries/disciplines. Their expertise and experience in various fields as well as insights have contributed immensely to making effective and informed Board decisions. The selection of the appropriate and suitable candidates with the right skills and attributes is crucial in order to ensure its efficiency and effectiveness. For it is believed that a healthy Board culture will help to encourage and safeguard good governance practices which in turn will ensure shareholders' interests are always protected. The names of the Board of Directors are given on page 15 to 18.

Corporate Governance Framework

Amana Takaful Life PLC operates within a clear governance framework, which is outlined in the diagram below and set out in this Report:

Corporate Governance Framework

Amana Takaful Life PLC operates within a clear governance framework, which is outlined in the diagram below and set out in this Report:

CORPORATE GOVERNANCE

Amana Takaful Life PLC

Chairman:

Osman Kassim

Deputy Chairman:

Sharhan Muhseen

Principle Objective:

Lead the Board to ensure effectiveness in all aspects of its role

Board of Amana Takaful Life PLC

Ten Directors:

An Executive Director and Nine Non-Executive Directors including the Chairman

Principle Objective:

Collectively to ensure long-term success of the Company



Board Audit and Compliance Committee

Three Independent Non-Executive Directors

Principle Objective:

To ensure that the interests of Shareholders are properly protected in relation to financial reporting and internal controls

The Board Audit and Compliance Committee Report on pages 48 and 49.



Board Enterprise Risk Management Committee

Four Independent Non-Executive Directors

Principle Objective:

Review and realign the risk appetite of the Company at strategic and various functional levels.

The Enterprise Risk Management Committee Report on pages 36 to 43.



Board Investment Committee

Six Directors of which, Five Non-Executive and Four Independent Director

Principle Objective:

To ensure that a healthy investment portfolio is maintained within the investment guidelines issued by the IRCSL and Shari'ah Board



Board Remuneration Committee

Three Independent Non-Executive Directors

Principle Objective:

To develop policy on executive remuneration. It also recommends packages for the Executive Director and Senior Managers immediately low board level

The Board Remuneration Committee Report on page 50



The Board Related Party Transaction Review Committee

Three Independent Non-Executive Directors

Principle Objective:

To ensure that the interest of the shareholders are taken in to consideration when entering into related party transactions are not more favourable to related parties than those generally available to the general public

The Related Party Transaction Committee Report on page 51



Board Nominations & Governance Committee

Three Independent, Non-Executive Directors

Principle Objective:

Evaluate the appointment of Directors to the Board of Directors and Board Committees of the listed entity.

The Board Nominations and Governance on page 33

Board Composition

The Board currently comprises Ten Directors. The composition of the Board and its committees are regularly reviewed by the Board and in particular, by the Nominations and Governance Committee to ensure that there is an appropriate balance and diverse mix of skills, experience, independence and knowledge of the Group. More details of our Board members can be found on pages 15 to 18.

The Board is collectively responsible for the long-term success of the Group. The Executive Committee is responsible for running the business operations and ensuring that the necessary financial and human resources are in place in order to achieve the Company's strategic aims.

The Non-Executive Directors are responsible for constructively challenging and helping develop proposals on strategy; scrutinising the performance of Management; satisfying themselves that financial controls and systems of risk management are robust; determining levels of remuneration; satisfying themselves on the integrity of financial information and succession planning.

The Board reviews strategic issues on a regular basis and exercises control over the performance of the Company by agreeing budgetary targets and monitoring performance against those targets. Certain matters are reserved for approval by the Board and the Board has overall responsibility for the Company's system of internal controls and risk management, as described on pages 37 to 41. Following presentation by Executive Management and a disciplined process of review and challenge by the Board, clear decisions on policy and strategy are adopted and the Executive Management is empowered to implement those decisions.

A formal schedule of matters reserved for Board approval is maintained, which covers items that are significant to the

Group as a whole, due to their strategic, financial or reputational implications.

The main functions of the Board of Directors are as follows:

Formulate, review and monitor implementation of competitive business strategies including Long-term business plans. Ensure the appointment of a competent Chief Executive Officer, and an effective Management Team including an evaluation of their performance, as well as review the Company's and the Group's succession plans. Secure a sound and an adequate risk management system.

Review the integrity and effective information, control and audit systems.

Adopt business practices that conform to "Shari'ah" Principles.

Approve policies of corporate conduct that continue to promote, maintain and sustain the integrity of the Company and the Group.

Ensure compliance with legal/ethical standards.

Board Roles and Responsibilities

Chairman

The role of the Chairman (or Chair) is to:

Lead the Board to ensure effectiveness in all aspects of its role;

Plan agenda items and timings for Board meetings;

Ensure the membership of the Board is appropriate to meet the needs of the business;

Oversee that the Board Committees carry out their duties including reporting to the Board;

Establish appropriate personal objectives for the Chief Executive;

Ensure Directors are up-to-date with training and development;

Provide the information necessary for Directors to take a full and constructive part in Board discussions;

Promote an open culture of debate; and Develop and maintain effective communication with shareholders.

Chief Executive Officer/ Executive Director

The role of the Chief Executive Officer (CEO) / Executive Director is to:

Run the day-to-day business and operations of the Company;

Lead the development and delivery of strategy to enable the Group to meet the requirements of its shareholders;

Lead and oversee the Executive Management of the Company;

Meet the Group's budget and strategic plans; and provide the appropriate environment to recruit, engage, retain and develop the personnel needed to deliver the strategy.

As an executive director, identify matters that have an impact on our business and report to the board regularly. The Board approves strategic directions based on the evaluations of such matters which are most material in the given context.

Board Secretary

Under the direction of the Chairman, the role of the Board Secretary and his team is to:

Ensure good information flows within the Board and its committees and between Senior Management and Non-Executive Directors;

Facilitate Director inductions and professional development;

CORPORATE GOVERNANCE

As requested, arrange independent professional advice for Directors at the Company's expense; and

Advise the Board through the Chairman on governance matters.

The responsibilities of the Chief Executive Officer and the Chairman have been clearly established, adhering to best corporate governance practices. The responsibility and task of the Chairman and the Chief Executive Officer are separated in order to facilitate better workings of the Company and the Group.

New Directors are nominated to bridge identified knowledge gaps. Such Directors are elected to the Board by shareholders at the Annual General Meeting. In accordance with the Articles of Association, 1/3 of the Directors retire annually and being eligible, offer themselves for re-election. The Board meets quarterly and the agenda is circulated to the Board members well ahead of the scheduled date. The Chairman of the Board as well as members chairing the various Committees of the Board will outline the agendas for the Board and Committee meetings respectively. Each Director or member is free to suggest items for the agenda or raise issues and concerns at these meetings.

Amana Takaful Life PLC has outsourced its secretarial functions to a qualified company of secretaries.

The following committees of the Board have been formed with the objective of improving governance: viz–

- i. Audit and Compliance Committee
- ii. Risk Management Committee
- iii. Investment Committee
- iv. Remuneration Committee
- v. Related Party Transactions Review Committee

vi. Board Nominations and Governance Committee

Each Committee has a defined terms of reference approved by the Board, outlining the respective committees' authorities and responsibilities. The Board may, from time to time, establish and maintain additional committees. All members of these committees are expected to attend all meetings.

The Board Audit and Compliance Committee, Risk Management Committee, Investment Committee, Remuneration Committee and Related Party Transactions Review Committee of the Parent, Amana Takaful PLC, function as the committees of the Company respectively.

I. The Board Audit And Compliance Committee

The Audit and Compliance Committee comprises three Independent Non-Executive Directors. This Committee is chaired by Mrs. Deepthie Wickramasuriya who is an Independent Non-Executive Director of the Parent Company. The Chief Executive Officer, General Managers, relevant Senior Managers and Internal Auditors are invited to be present at the meetings. Exit meetings are held after each internal audit assignment with all concerned, where rectification actions taken of any weakness described in the audit findings. The details of the Audit and Compliance Committee are provided in the Report of the Board Audit and Compliance Committee on pages 48 to 49.

II. The Board Risk Management Committee

The Risk Management Committee of the Board comprises four Independent Non-Executive Directors. This Committee was chaired by Zulficar Ghouse, who is an Independent Non-Executive Director of the Parent Company. In compliance with the amendments to the listing rules, the Committee was reconstituted

with effect from 11th of December 2023. The Committee is currently chaired by Padmesh Weersekera who was appointed to the Committee during the reconstitution. The main function of this Committee is to review and re-align the risk appetite of the Company at strategic and various functional levels. Further, the Committee also reviews the different risks that the Company is exposed to and recommends mitigation strategies for such risks.

A detailed report on the Risk Management Committee functions and its activities during the year 2023 are provided on pages 36 to 43.

III. The Board Investment Committee

The Investment Committee comprises Osman Kassim, M H S Kassim, Sharhan Muhsin, Zulficar Ghouse, Abdullah Kassim and Ammar Kassim. This Committee is Chaired by Sharhan Muhsin. The Committee ensures that a healthy investment portfolio is maintained within the Investment Guidelines of the Insurance Regulatory Commission of Sri Lanka and Shari'ah Advisory Council, whilst optimising yield to meet investment income targets of the Company. The Committee convenes its meeting on a monthly basis.

IV. The Board Remuneration Committee

The Remuneration Committee is composed of three Independent Non-Executive Directors of the Board. This Committee was chaired by Zulficar Ghouse, who is an Independent Non-Executive Director of the Parent Company. In compliance with the amendments to the listing rules, the Committee was reconstituted with effect from 11th of December 2023. The Committee is currently chaired by Abdullah Kassim as per the reconstitution. Details of remuneration paid to Directors are set out in Note 27 to the Financial Statements on page 92.

The Report of the Remuneration Committee is provided on page 50.

V. The Board - Related Party Transactions Review Committee

The Related Party Transactions Review Committee of the Board comprises three Independent Non-Executive Directors. This Committee was chaired by Zulficar Ghouse, who is an Independent Non-Executive Director of the Parent Company. In compliance with the amendments to the listing rules, the Committee was reconstituted with effect from 11th of December 2023. The Committee is currently chaired by Padmesh Weersekera who was appointed to the Committee during the reconstitution. The Chief Executive Officer and relevant Senior Managers are invited to be present at the meetings. The details of the Related Party Transactions Review Committee are provided in the Report of the Related Party Transactions Review Committee on page 51.

(Vi) The Board Nominations and Governance Committee

The Board Nominations and Governance Committee comprises three Independent Non-Executive Directors of the Board. This Committee was chaired by Zulficar Ghouse, who is an Independent Non-Executive Director of the Parent Company. In compliance with the amendments to the listing rules, the Committee was reconstituted with effect from 11th of December 2023. The Committee is currently chaired by Abdullah Kassim who was appointed to the Committee during the reconstitution.

Ethical Standards

Amana Takaful Life PLC aspires to adopt the highest ethical standards and adheres to the Code of Ethics for Insurance Companies in Sri Lanka, which contain the following elements:

Honesty and fairness;

Compliance with regulatory requirements;

Accountability – provision of accuracy, timely and essential information to stakeholders;

Avoiding conflict of interest;

Professional judgement;

Maintaining privacy and confidentiality of customer –related information;

Corporate and Social Responsibility; and maintaining best practices in marketing and advertising.

The management encourages employees to adopt ethical practices during the monthly team brief.

Executive Management

The Chief Executive Officer deliberates strategic issues with the Operations Management Committee (OMC) which includes representatives of respective departments. Each of them, who head Strategic Business Units drive their business functions aligned to the strategic plan, building capacity and capability. Corporate Governance and Compliance is a key function of the OMC.

The Company's performance dashboard is a key evaluation and measurement tool in this process.

Internal Controls

The Board of Directors acknowledges the imperative of a sound and strong internal control environment for the purpose of attaining good governance. The internal control system, among others, covers risk management and organisational, operational, financial, compliance and business development controls. Towards this end, the Board has entrusted the responsibility of establishing an effective internal control

system to the Audit and Compliance Committee, which is also responsible for the regular monitoring of such controls. In addition, an inhouse audit team conducts internal audit on the systems and various aspects of the operations in accordance with the risk-based principle. The findings are conveyed to the Audit and Compliance Committee, which, in turn, briefs the Board on areas of concern.

Compliance With "Shari'ah" Requirements

Amana Takaful Life PLC takes the utmost care in adhering to "Shari'ah" principles. A Shari'ah Unit has been set up internally to carry out quarterly reviews on the policies and operations of the Company. The Unit also conducts regular training programmes to members of staff in order to disseminate the knowledge of Shari'ah, in particular that relates with the operation of Takaful and Islamic finance in general. The Statement of Compliance is a part of the Annual Report and is provided on page 52.

Regulatory Compliance

The Audit and Compliance Committee is responsible for regulatory compliance. In addition, a Compliance

Unit has been set up to monitor and investigate into all compliance-related matters across the Organisation. It keeps a close track of all new legislations, regulations etc., and notify and guide the respective departments accordingly.

Relationship With Stakeholders

The Board of Directors discloses policy decisions and operations affecting shareholders through its Quarterly and Annual Reports.

The Board entertains questions from shareholders at the Annual General Meetings ensuring shareholder participation and interaction.

CORPORATE GOVERNANCE

The management holds monthly team brief at which employees are briefed on company performance, policies, goals and values of Amana Takaful Group and their views and suggestions are sought and evaluated.

Amana Takaful Life PLC believes in serving its customers beyond their expectations. An interactive website provides access to the general public on the Company's activities.

Solvency Requirements

The Solvency Margin (Risk-Based Capital) pertaining to Long-term Insurance (Family Takaful) Business has been maintained as per the Solvency Margin (Risk-Based Capital) Rules 2015.

Corporate Governance Disclosures Under Cse Rules In Relation To Directors Of The Company

Areas of Compliance	Current Status	Remarks
Board of Directors	Executive Director(s) 1. Gehan Rajapakse – Executive Director	All other members of the Board serve in the capacity of Non-Executive Directors. The Company has complied with the CSE Listing Rules.
	Non-Executive Directors 1. Osman Kassim – Chairman (Non-Independent) 2. Sharhan Muhseen - Deputy Chairman 3. Ammar Shafik Kassim 4. K Ravindran 5. Shehara De Silva 6. Hassan Kassim (Non-Independent) 7. Suresh Paronavitana 8. Prof Asita De Silva 9. Pushpakumar Gunasekera (appointed w.e.f. 08.05.2024)	
	Independent Directors 1. Ammar Shafik Kassim 2. Sharhan Muhseen 3. K Ravindran 4. Shehara De Silva 5. Suresh Paronavitana 6. Prof Asita De Silva 7. Pushpakumar Gunasekera (appointed w.e.f. 08.05.2024)	All the Non-Executive Directors have submitted the annual declaration of their independence or non-independence. The Board reviewed the declarations and determined the Independent Directors of the Company as per Rule 9.8.5 The Board comprises of seven Independent Directors out of nine Non-Executive Directors by the end of 2023. The Company has complied with the CSE Listing Rules 9.8.2.
Remuneration Committee	1. A. O. Kassim - Chairman 2. Zulficar Ghouse 3. Syed Rizwan Hussain	Remuneration Committee of the Parent Company, Amana Takaful PLC, functions as the Remuneration Committee of the Company in terms of CSE Listing Rules 9.12.6
Audit and Compliance Committee	1. E. D. Wickramasuriya – Chairman 2. Syed Rizwan Hussain 3. P. S. Weerasekera	Audit and Compliance Committee of the Parent Company, Amana Takaful PLC, functions as the Audit and Compliance Committee of the Company in terms of CSE Listing Rules 9.13.3

Areas of Compliance	Current Status	Remarks
Related Party Transactions Review Committee	1. P. S. Weerasekera - Chairman (Appointed as Chairman w.e.f. 11th December 2023) 2. M. Zulficar Ghouse - (Ceased to be Chairman w.e.f. 11th December 2023 and continues as a member) 3. E. D. Wickramasuriya	Related Party Transactions Review Committee of the Parent Company, Amana Takaful PLC, functions as the Related Party Transactions Review Committee of the Company in terms of CSE Listing Rules 9.14.2

Compliance With IRCSL Direction # 17 On Corporate Governance

The Company has ensured compliance with the above guidelines and will ensure compliance on an on-going basis.

Directors' Attendance At The Meetings

Board Meeting

Four Board meetings were held for the year 2023 and the attendance of each Director at such Board meetings conducted during their tenure is given in the following table:

Name of the Director	Board Meetings	
	Held/ Applicable	Attended
1. Osman Kassim – Chairman (Non-Independent)	4	3
2. Sharhan Muhseen - Deputy Chairman	4	4
3. Gehan Rajapakse – Executive Director	4	4
4. Ammar Shafik Kassim	4	2
5. K Ravindran	4	2
6. Shehara De Silva	4	3
7. Hassan Kassim	4	3
8. Suresh Malith Paranawithana	4	4
9. Prof. Asita De silva	4	3
10. Pushpakumar Gunasekera (appointed w.e.f. 08.05.2024)	N/A	N/A

Committee Meeting

The Committee of Amana Takaful PLC, the parent company functioned as the committees of the Company in terms of the Listing Rules of the Colombo Stock Exchange. These committees include some of the Directors of the parent company.

Name of the Committee Member	Audit Committee Meetings		Remuneration Committee Meetings		Related Party Transactions Review Committee	
	Held/ Applicable	Attended	Held/ Applicable	Attended	Held/ Applicable	Attended
M. Z. M. Ghouse			2	2	4	4
E. D. Wickramasuriya	4	4			4	4
Syed Rizwan Hussain	4	3	2	2		
P.S. Weerasekara	4	4			4	4
A.O. Kassim			2	1		

ENTERPRISE RISK MANAGEMENT

As the pioneer Takaful Company, risk management is at the heart of what we do and is the source of value creation as well as a vital form of control. It is an integral part of maintaining financial stability for our customers, shareholders and other stakeholders. Our sustainability and financial strength are underpinned by effective risk management, which allows us to prepare for future challenges, move speedily and facilitate better decisions for our customers, giving them peace of mind.

The Company's Risk Management Strategy is to operate within the risk appetite guidelines set by the Board Risk Committee and approved by the Board of Directors, which are then reviewed on a quarterly basis, with an eye on the changing corporate risk environment. Given the increased level of assertiveness required in the Risk-Based Capital regime and the connected risk involvements, the Company revisited the current Risk Management Model and widened its scope to an Enterprise Risk Management (ERM) Framework. The Risk Management Unit carries out the risk management process with the involvement of departments, managers and executives on the ERM Framework.

Though the risk elements are managed on a daily basis at operational levels, the Risk Management Committee (RISCO) formally monitors the Key Risk Indicators through Enterprise Risk Registers for both Life and General segments separately since 2014. This section elaborates the Company's Enterprise Risk Management Framework and the Key Risk Management activities carried out during 2023.

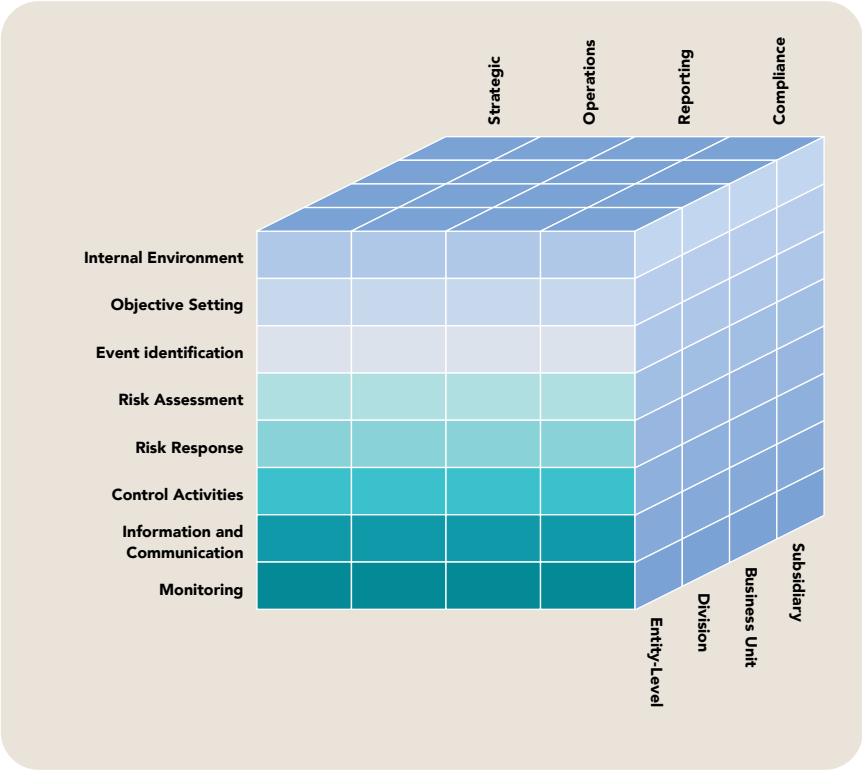
What is Enterprise Risk Management?

ERM is yet an emerging topic in this part of the world thus needs repeated explanations and elaborations for our society both internally and externally.

ERM has formally been defined as "the identification and assessment of the collective risks that affect firm value, and the implementation of a firm-wide strategy to manage those risks" (Meulbroek 2002). Collective risks refer to risk categories such as the one profiled in the Committee of Sponsoring Organisations of the Treadway Commission (COSO) ERM cube, as well as the interaction of risks over time.

COSO and framework which was published in 2004 in the US defines ERM:

"...a process, effected by an entity's Board of Directors, management and other personnel, applied in strategy setting and across the enterprise, designed to identify potential events that may affect the entity, and manage risks to be within its risk appetite, to provide reasonable assurance regarding the achievement of entity objectives."



The underlying premise of enterprise risk management is that every entity exists to provide value for its stakeholders. All entities face uncertainty and the challenge for management is to determine how much uncertainty to accept as it strives to grow stakeholder value. Uncertainty presents both risk and opportunity, with the potential to erode or enhance value. Enterprise risk management enables management to effectively deal with uncertainty and associated risk and opportunity, enhancing the capacity to build value.

- ❖ Value is maximised when management sets strategy and objectives to strike an optimal balance between growth return goals and related risks, and efficiently and effectively deploys resources in pursuit of the entity's objectives. Enterprise risk management encompasses –
- ❖ Aligning risk appetite and strategy – Management considers the entity's risk appetite in evaluating strategic alternatives, setting related objectives, and developing mechanisms to manage related risks.

- ❖ Enhancing risk response decisions – Enterprise risk management provides the rigour to identify and select among alternative risk responses – risk avoidance, reduction, sharing, and acceptance.

- ❖ Reducing operational surprises and losses – Entities gain enhanced capability to identify potential events and establish responses.

- ❖ Reducing surprises and associated costs or losses.

- ❖ Identifying and managing multiple and cross-enterprise Risks – Every enterprise faces a myriad of risks affecting different parts of the Organisation, and enterprise risk management facilitates effective response to the interrelated impacts, and integrated responses to multiple risks.

- ❖ Seizing opportunities – By considering a full range of potential events, management is positioned to identify and proactively realise opportunities.

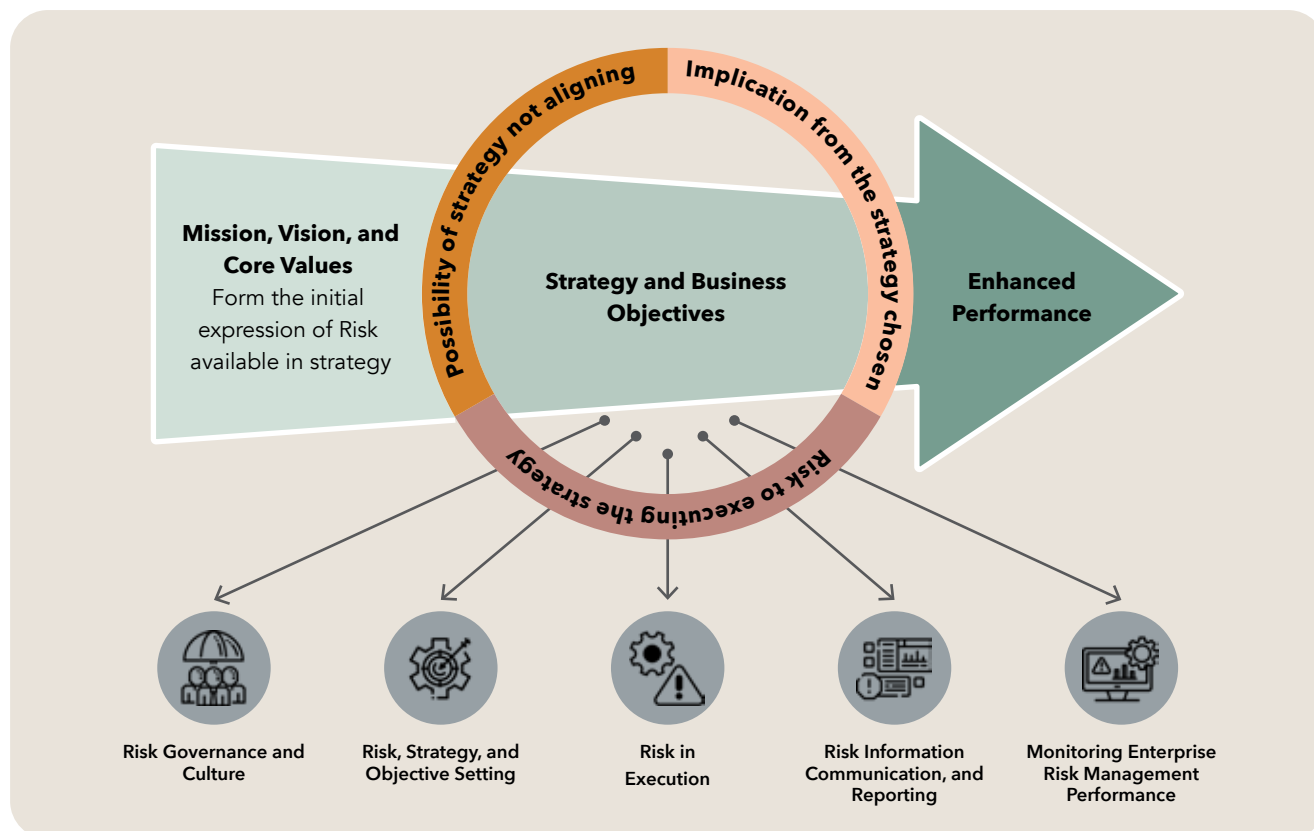
- ❖ Improving deployment of capital – Obtaining robust risk information allows management to effectively assess overall capital needs and enhance capital allocation.

These capabilities inherent in enterprise risk management help management achieve the entity's performance and profitability targets and prevent loss of resources.

Enterprise risk management helps ensure effective reporting and compliance with laws and regulations, and helps avoid damage to the entity's reputation and associated

consequences. In summary, enterprise risk management helps an entity get to where it wants to go and avoid pitfalls and surprises along the way.

Enterprise risk management is as much about understanding the implications of the strategy and the possibility of the strategy not aligning as it is about managing risks to set objectives. The figure below illustrates these considerations in the context of mission, vision, core values, and as a driver of the company's overall direction and performance.



ENTERPRISE RISK MANAGEMENT

Definitions of Risk and Risk Management

Risk in general could be defined as “The combination of the probability of an event and its negative consequences”, in other words, the barriers in meeting the corporate objectives.

Risk management can be defined as “An efficient and effective process of minimising risks in meeting stakeholder requirements”. However, enterprise risk management is not strictly a serial process, where one component affects only the next. It is a multi-directional, iterative process in which almost any component can and does influence another.

Risks Faced by Insurance Companies

It appears that many organisations are experiencing pressure and recognising that change in the organisation’s overall approach to risk oversight is warranted, with the status quo no longer acceptable. Insurance companies whose business model is based on risk management require special attention with regard to its management. As an insurance company, we identified the following risk categories as illustrated in the diagram below:

The risk management professionals refer to this as the “Risk Wheel”. The different colours and shapes illustrate the magnitude and angles of risks that each of the risk types carries with it.

1. Insurance Risk

Being an insurance company, risks related to the insurance business i.e., insurance risk, becomes primary in the list. Insurance is all about managing risks on behalf of the customers. In that context, we have identified the following three major risk areas under this category:

Risk	Control
Underwriting Risk – At the time of underwriting of a Risk (business/asset) it is our duty towards the customer to analyse and evaluate the risk that we are willing to undertake. Therefore the Company is bound to charge the right premium as all such premiums are pooled up with other participants. At the time of claims, it is shared by all the participants in the pool.	A robust underwriting regime is in place with well-experienced and qualified professionals in the team. A well-scrutinised set of SOPs are formulated and implemented.

Risk	Control
Product Design – Designing the product offers and benefits with the right pricing is very critical to the insurance business.	The Company has appointed a Product Development Team with a set of hand-picked members from Sales, Underwriting, Operation, Marketing, Strategy and Finance. They meet periodically and review existing product features while researching for new product requirements.
Actuarial calculations and provisions carry Mortality and Claims risks for Life and Non-Life businesses.	A qualified and well-experienced professional firm has been contracted to carry out the actuarial functions for both the life and the general segments.

a. Claims Risk

Risk	Control
Potential loss of values is the primary risk that the insurance businesses undertake to manage in the business model.	At the time of planning for the years ahead, the management along with the underwriting and sales teams, decide the product mix targets taking the claims experiences pertaining to the specific classes. It also assesses the future potential on agreed assumption.
The risk of overpayment or underpayment of claims arises from the claims assessment process and the level of decision-making competency of the staff involved.	A segregated process with checks and balances is implemented. Continuous training and development programmes are in place with supervision of well-experienced senior staff to mitigate such risks.

b. Retakaful Risk

Risk	Control
Credit risk can also be a factor with respect to Retakaful. Should a reinsurance company be either slow to pay its claims/contributions or unable to make such payments, the effects on insurance company performance (and hence value) could be significant.	Retakaful placements are done with reinsurers having credit ratings as required by Insurance Regulatory Commission of Sri Lanka (IRCSL). The services of professional Retakaful brokers are also obtained in reinsurance placements.
Accepting risks beyond the Company's retention limits.	System controls are in place to avoid such instances. However, to further enhance the control measure, certain critical processes are being automated. Additionally, all cases are handled through an evaluation process.

2. Market Risks

Market risks are wider risks that any company is exposed to in terms of demand and supply for any types of goods and services, and cost. The increased competition from the industry players in terms of rates, products, marketing etc., are continuous risks while the entry of new players to the industry is a further risk.

Furthermore, for insurance companies which are heavily dependent on investment income, healthy market conditions underpinned by solid economic conditions are vital. Therefore, in addition to the overall economic growth conditions, key economic variables such as interest rates, inflation, stock market performance, exchange rates and commodity market conditions especially gold etc., expose enormous speculative risks to the Company.

The Company experienced enormous threat from the market during the year mainly through intense price cutting by almost all the players, especially the Takaful window operators to tap the Takaful client segment. However, we have been able to secure the base being the only fully-fledged Takaful Company. Our clientele do understand that the Takaful is a complete system and not simply a product range in a conventional system.

3. Strategic and Reputational Risk

Achievement of overall business goals is the top most priority for any company and justifies the purpose and existence of organisations in the long run. However, companies need to achieve their corporate goals consistently in the short run in order to achieve long-term success. Thus, achieving annual targets in terms of revenue and profitability along with other operational targets become critical to the organisation. Even though the overall Enterprise Risk Management Framework embraces this objective, specific strategies and action plans to support and ensure achievements of annual targets are vital.

Due to internal and external reasons the Company could be exposed to serious risks to the reputation of the Company and its Brand Image, which could in turn affect the performance and achievement of corporate goals.

The Company has appointed a Corporate Spokesperson, who maintains a watching brief and monitors all news items related to the Company in the public domain. A collation of these are escalated to management with the assistance of Media-Watch partners through the marketing unit.

4. Operational Risks

Operational risks result from inadequate or failed internal processes, people and systems which cover a wider area of operational aspects:

Risk	Control
Not having the right people at the right Place	A Semi-Annual Performance Appraisal system is in place to scrutinise the performance of key staff members including the Top Management Personnel.
Process failures – Standard Operating Procedures (SOPs) do not capture important controls	The Risk Committee reviews the SOPs periodically along with internal audit and makes modifications when required.
Potential fraud and errors	Strict implementation of the SOPs will minimise the risks involved in this area in addition to the supervisory controls.
Liquidity crunch	The Treasury team prepares a cash forecast on a monthly basis prior to making investment decisions.

ENTERPRISE RISK MANAGEMENT

Risk	Control
Technology failure	The Disaster Recovery Plan covers such risks.
Non-implementation of key projects	The Senior Management of the Company meet monthly and review projects under implementation.
Utilities	Electricity – A back-up generator is fully active.

5. Compliance Risk

The key compliance risks and the control measures are listed below:

Risk	Control
Unable to comply with the applicable regulatory requirements	In the Agenda for the regular Executive Committee is set on compliance matters to prioritise the discussion on the subject. Any significant issue is escalated to the Audit/Risk Committees and the Board. All Heads of Departments are made aware of the applicable laws and regulations. Further, the regulatory requirements are cascaded down to relevant staff members. A monthly sign-off is obtained on a compliance check list covering applicable laws and regulations. This checklist is tabled at the Executive Committee meetings. A periodic internal audit exercise is carried out on the compliance function and a report is tabled at the Audit Committee meetings.

6. Credit Risk

With the deteriorating market practices on credit due to competitive pressures, the Company heightened its credit arrangement process through strict control measures and improved the Credit Policy on the recommendation of the Audit Committee.

Risk	Control
Unable to comply with the applicable regulatory requirements	SOP in place for credit approval and is linked to the sales commission and incentive scheme.
Risk in recovering Retakaful	Rated Retakaful companies.
Unable to recover capital value of investments	Guided by the IRCSL Investment Guidelines.
	Close monitoring by the Board Investment Committee.

7. Currency Risk

Risk	Control
Currency risk refers to the risk of losing money due to the movement in relevant exchange rates.	Frequent monitoring of the exchange rate with views from the research institutes is taken into consideration.

ATLPLC Risk Management Grid

Impact/Consequences and Likelihood of the risks are the two parameters to gauge the criticalness of the risks that are encountered by the Company. The parameter of Likelihood ranges from almost certain to rare on a scale of A to E while the Consequence parameter ranges from negligible to severe on I to V scale.

		Likelihood				
		Rare	Unlikely	Possible	Likely	Almost Certain
Consequence		E	D	C	B	A
Severe	V	H	H	H	VH	VH
Major	IV	M	M	H	H	VH
Moderate	III	M	M	H	H	H
Minor	II	L	L	M	M	H
Negligible	I	L	L	L	M	M

L - Low **M** - Medium **H** - High **VH** - Very High

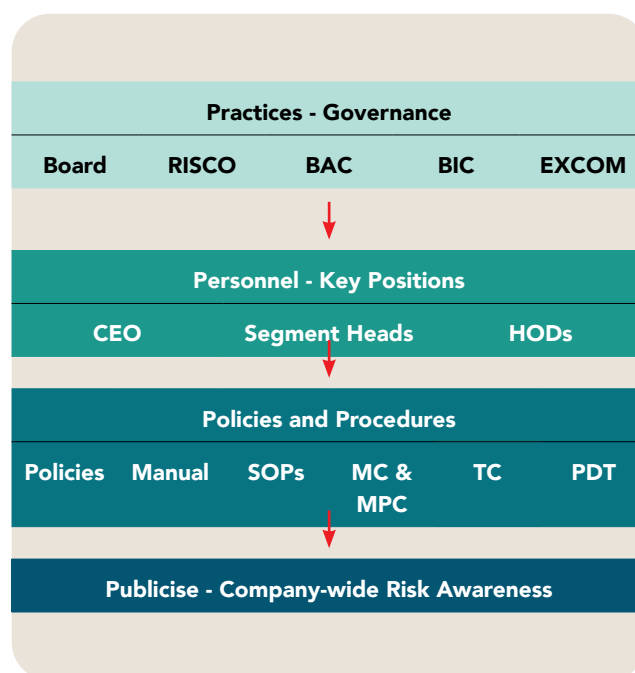
Amāna Takaful maintains a Risk Register which analyses all the potential risks under each of the above category and these items have been graded based on the above parameters of Likelihood and Consequences.

The Company adopts the following strategies in managing the risks as per the Likelihood and Impact grading. Please refer the Impact and Likelihood along with the Risk Management Grid.

Impact/ Likelihood	Risk	Option	Strategy
(I,E), (I,D), (I,C), (II,E), (II,D)	Low	Accept	Keep monitoring of the Likelihood.
(I,B), (I,A), (II,C), (II,B), (III,E), (III,D), (IV,E), (IV,D)	Medium	Reduce Likelihood and/or Impact	Have measures to manage Likelihood and/or Impact.
(II,A), (III,C), (III,B), (III,A), (IV,C), (IV,B), (V,E), (V,D), (V,C)	High	Spread and/or Transfer	Spread the risk to a third party or involve risk owner sharing the risk. Have contingency arrangements. Have plans for recovery.
(IV,A), (V,B), (V,A)	Very High	Avoid	Do not participate in the activity.

ATLPLC Enterprise Risk Management Framework

In the ERM Framework of ATLPLC, the entire Company (Enterprise) has been structured into a 4-stage cascade viz; Practices, Personnel, Procedures and Publicise from a risk management perspective, as illustrated below:



Board	–	The Board of Directors
RISCO	–	Board Risk Committee
BAC	–	Board Audit Committee
BIC	–	Board Investment Committee
EXCOM	–	Executive Committee
CEO	–	Chief Executive Officer
HODs	–	Heads of Departments
SOPs	–	Standard Operating Procedures
MC	–	Management Committee
MPC	–	Motor Pricing Committee
SM	–	Senior Management
TC	–	Technical Committee
PDT	–	Product Development Team

The ERM framework operates on a bottom-up approach in terms of its Lines of Defence.

ENTERPRISE RISK MANAGEMENT

1. First Line of Defence

The frontline staff and operational teams directly manage and control risks on a day-to-day basis within their respective roles and responsibilities.

2. Second Line of Defence

The Risk and Compliance team provides oversight, guidance and support to ensure effective risk identification, assessment and mitigation across the organization.

3. Third Line of Defence

The Internal audit reviews the effectiveness of controls to manage/mitigate risks, reports deviations, recommends necessary improvements and corrective actions, and ensures continuous follow-up on the implementation of risk management strategies.

The Company has adopted a three-stage line of defence to manage risks, ensuring all categories and types of risks are considered for operating in an effectively risk-managed environment. The Company's risk and compliance units oversee the entire risk management process while business units and operational teams provide input regarding the various risks faced in the course of doing business. The internal audit team performs regular planned checks of the entire risk management process and verifies that all controls and mitigation measures are in place.

Risk Management Process

In the process of managing the risks of the Organisation the Company has identified the following Key Risk Indicators. These indices are monitored through a dashboard which is reviewed at Senior Management, RISCO and Board levels. Corrective actions will be taken as and when significant deviations are observed in the relevant areas.

Risk Area	Key Risk Indicator
Insurance Risk	❖ Average Rates by Subclasses
	❖ Claims Ratios by Sales Teams and Subclasses
	❖ Product Profitability
	❖ RI Covers Vs Risk Accumulation

Risk Area	Key Risk Indicator
Strategic and Reputational Risk	❖ Overall Target Achievements at Firm Level and Departmental Level
	❖ Variance Analysis
	❖ Market Positioning
Market Risk	❖ Client Satisfaction Index
	❖ Interest Rate Movement
	❖ Bullion Market Movement
	❖ Equity Market Movement
	❖ Economic Indicators
	❖ Changes in Tax Regulations
Operational Risk	❖ Changes in Government Policies
	❖ Staff Turnover Ratio
	❖ Staff Satisfaction Index
	❖ Internal/External Audit Findings
	❖ Deviations from ISO Standards on Safety Measures
	❖ Current and Liquidity Ratios
Credit Risk	❖ Implementation of Industry Best Practises
	Debtors Turnover Ratio (Days)
Compliance Risk	❖ Queries Raised by Regulator/Ombudsman
	❖ Pending Legal Matters
	❖ Unresolved Audit Queries
	❖ Items in the Management Letter
Currency Risk	❖ Investment Portfolio Mix
	Frequent monitoring of the exchange rate with views from the research institutes is taken into consideration.

Key Areas Reviewed by the Board Risk Committee during 2023

- ✿ Review of the Risk Registers on a quarterly basis and monitored the Key Risk Indicators covering all aspects of the business.
- ✿ Review of the status pertaining to Capital Adequacy Ratio (CAR) and Total Available Capital (TAC) under Solvency Margin (Risk Based Capital) Rules 2015.
- ✿ Review of large losses

The composition of the Committee and details of attendance of each member at meetings of the Committee during the period under review are as follows:

Member	Number of Meetings Attended
Mr. P.S.Weerasekera - Chairman/ Independent Non-Executive Director (Appointed as the new chairmen of RISCO at the 54th RISCO meeting dated – 18.12.2023)	1 out of 1
Mr. Zulficar Ghouse - Ceased to be the Chairman of RISCO (w.e.f. 18.12.2023) and will continue as a member	4 out of 4
Syed Rizwan Hussain - Independent Non-Executive Director	3 out of 4
Abdullah Osman Kassim - Independent Non-Executive Director	3 out of 4

The Chief Executive Officer of Amāna Takaful PLC, Chief Executive Officer of Amāna Takaful Life PLC, and Head of Finance were invited to be present at all meetings of the Committee during the period under review. The Head of Audit also attended all meetings in the capacity of Secretary to the Board Risk Committee. Other members of the Management were also invited to attend the meetings when required.

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

The Directors are pleased to submit their report together with the audited accounts of the Company, for the year ended 31st December 2023, to be presented at the 8th Annual General Meeting of the Company.

Review of the year

The Chairman's Review on pages 11 to 12 describes the Company's affairs and mentions important events that occurred during the year, and up to the date of this Report. The Chief Executive officer's review on pages 13 to 14 elaborates the financial results of the Company. These reports together with the Audited Financial Statements reflect the state of affairs of the Company.

Principal Activities

The principal activity of the Company is Family Takaful (Long-term Insurance) business.

Financial Statements

The Financial Statements prepared in conformity with the Sri Lanka Accounting Standards and in compliance with the requirements of Section 151 of the Companies Act No. 07 of 2007 and the Rules and Regulations of Insurance Regulatory Commission of Sri Lanka, are given on pages 59 to 108 of this Annual Report.

Independent Auditors' Report

The Auditors' Report on the Financial Statements is given on page 56 to 58 of this Annual Report.

Accounting Policies

The accounting policies adopted in preparation of the Financial Statements are given on pages 65 to 75.

Financial Results and Appropriations

The Profit after Taxation of the Company for the year was Rs. 50.3 Mn (2022 – Profit Rs. 54.1Mn).

The Family Takaful (Life) Fund balance including Unit Linked Fund has increased to Rs. 3,275 Mn from Rs. 2,830 Mn in 2022.

Property, Plant and Equipment

During the year under review, the capital expenditure on Property, Plant and Equipment for the Company amounted to Rs. 6.5 Mn (2022 – Rs. 4.8 Mn).

Information relating to movement in Property, Plant and Equipment during the year is disclosed under Note 05 to the Financial Statements.

Financial Investments

Details of financial assets held by the Company are given in Note 08 and Note 11 to the Financial Statements.

Reserves

Accumulated Profit as at 31st December 2023 for the Company amounted to Rs 63.5 Mn (2022 –Rs. 12.3Mn). The breakup and the movement are shown in the Statement of Changes in Equity in the Financial Statements.

Stated Capital

The stated capital of the Company as at 31st December 2023 was Rs. 500,000,000 represented by 50,000,000 ordinary shares. The details of the stated capital are given in Note 19 to the Financial Statements on page 90.

Contingent Liabilities

There were no material contingent liabilities outstanding as at 31st December 2023 other than those reported in Note 31 to the Financial Statements.

Material Issues Pertaining to Employees and Industrial Relations of the Company

The Company did not come across any material issues pertaining to employees and industrial relations during the year.

Post-Balance Sheet Events

There were no material events occurred after the Reporting Date that require adjustments or disclosure in the Financial Statements.

Directors' Responsibilities

The Statement of the Directors' Responsibilities is given on page 54 of this Annual Report.

Corporate Governance

The Company has complied with the Corporate Governance Rules laid down under the Listing Rules of the Colombo Stock Exchange. The Report on Corporate Governance is given on pages 29 to 35 of this Annual Report.

Board of Directors of the Company confirm that the Company is compliant with section 9 of the Listing Rules of the Colombo Stock Exchange and SL Accounting standards. Act No 15 of 1995

Statutory Payments

The Directors, to the best of their knowledge and belief, are satisfied that all statutory payments in relation to all relevant regulatory and statutory authorities have been paid within the stipulated period.

Interests Register

The Company has maintained an Interests Register as contemplated by the Companies Act No. 07 of 2007.

- a. Directors' interest in contracts of the Company, both direct and indirect during the year under review, are included in Note 30 in the related party disclosures to the Financial Statements.
- b. Details of shareholding of Directors are given under particulars of Directors' Shareholding on page 46

Board Committees

Audit and Compliance Committee

The Audit and Compliance Committee of the Parent Company, Amana Takaful PLC functions as the Audit and Compliance Committee of the Company. Following are the names of the Directors comprising the Audit and Compliance Committee of the Company:

1. Deepthi Wickramasuriya - Chairperson
2. Syed Rizwan Hussain
3. P. S. Weerasekera

The Report of the Audit and Compliance Committee on pages 48 and 49 set out the manner of compliance by the Company in accordance with the requirements of Rule 9.13 of the Listing Rules of the Colombo Stock Exchange on Corporate Governance.

Remuneration Committee

The Remuneration Committee of the Parent Company, Amana Takaful PLC functions as the Remuneration Committee of the Company. Following are the names of the Directors comprising the Remuneration Committee of the Company:

1. Abdullah Osman Kassim - Chairperson
2. Syed Rizwan Hussain
3. Zulficar Ghouse

The particulars of the Remuneration Committee are mentioned in the Report of the Remuneration Committee on page 50 in accordance with the requirements of Rule 9.12 of the Listing Rules of the Colombo Stock Exchange on Corporate Governance. The details of the aggregate remuneration paid to the Executive and Non-Executive Directors during the financial year are given in Note 27 to the Financial Statements.

Related Party Transaction Review Committee

The Related Party Transactions Review Committee of the Parent Company, Amana Takaful PLC functions as the Related Party Transactions Review Committee of the Company. Following are the names of the Directors comprising the Related Party Transaction Review Committee of the Company in accordance with the requirements of Rule 9.14 of the Listing Rules of the Colombo Stock Exchange on Corporate Governance.

1. P. S. Weerasekera - Chairperson
2. E.D. Wickramasuriya
3. Zulficar Ghouse

Board Nominations and Governance Committee

The Board Nominations and Governance Committee of the Parent Company, Amana Takaful PLC functions as the Board Nominations and Governance Committee of the Company. Following are the names of the Directors comprising Board Nominations and Governance Committee of the Company in accordance with the requirements of Rule 9.11 of the Listing Rules of the Colombo Stock Exchange on Corporate Governance.

1. Abdullah Kassim - Chairperson
2. Deepthi Wickramasuriya
3. Zulficar Ghouse

The particulars of the Nominations and Governance Committee are mentioned under Corporate Governance on page 33.

Board Risk Committee

The Board Risk Committee of the Parent Company, Amana Takaful PLC functions as the Board Risk Committee of the Company. Following are the names of the Directors comprising the Board Risk Committee of the Company:

1. P. S. Weerasekera - Chairperson
2. Zulficar Ghouse
3. Syed Rizwan Hussain
4. Abdullah Osman Kassim

Share Information and Substantial Shareholdings

The distribution of shareholding, market value of shares and twenty five largest shareholders are given on pages 111 and 112

The earnings per share, dividends per share, net assets per share are given on page 113

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

Directors

The Directors of the Company during the year were as follows:

Name of Director	Date of Appointment
Osman Kassim	10th September 2018
Gehan Rajapakse	3rd June 2020
A. S. Kassim	7th March 2016
Sharhan Muhseen	1st April 2021
M. H. S. Kassim	1st November 2021
K. R. Ravindran	1st November 2021
Shehara De Silva	1st November 2021
Suresh M. Paranavitana	23rd March 2022
H. Asita De Silva	18th November 2022
P. Gunasekera	8th May 2024

A brief profile of the Directors are given on pages 15 to 18 of this Annual Report.

In terms of Section 24 (2) of the Articles of Association of the Company, Mr. P. Gunasekera has been appointed as a Director subsequent to the last Annual General Meeting and being eligible has offered himself for re-election.

In terms of Section 24 (7) of the Articles of Association of the Company, Mr. M. H. S. Kassim, Ms. Shehara De Silva and Mr. Suresh M. Paranavitana due for retirement by rotation being eligible are re-elected as Directors of the Company.

Mr. Osman Kassim and Mr. Krishnamoorthi Ratnam Ravindran who are over 70 years of age, retire by rotation in terms of section 211 of the Companies Act No. 7 of 2007 and being eligible offer themselves for re-election.

CEO/Directors' Shareholdings

The interest of the CEO/Directors in the shares of the Company as at 31st December 2023 were as follows:

	Number of Ordinary Shares	
	As at 31st December 2023	As at 31st December 2022
Osman Kassim	Nil	Nil
G. S. Rajapakse (Executive Director/CEO)	Nil	Nil
A. S. Kassim	Nil	Nil
Sharhan Muhseen	Nil	Nil
M. H. S. Kassim	Nil	Nil
K. R. Ravindran	Nil	Nil
Shehara De Silva	Nil	Nil
S. M. Paranavitana	Nil	Nil
H. A. De Silva	Nil	Nil
P. Gunasekera (Appointed w.e.f. 8th May 2024)	N/A	N/A

Independence of Directors

Particulars of Independent Directors are mentioned under Corporate Governance Report on page 34.

Related Party Transactions

The details pertaining to related party transactions which exceeds the lower of 10% of equity or 5% of the total assets of the Company other than those reported in Note 30 to the Financial Statements. Directors have disclosed the transactions with related parties in terms of Sri Lanka Accounting Standard LKAS 24 – "Related Party Disclosures" in Note 30 of the Financial Statements.

The Board of Directors of the Company declare that the Company entered into related party transaction during the financial year in compliance with the regulations pertaining to the related party transactions. Details which are given in Note 30 of the Financial Statements.

Going Concern

The Directors, after making necessary inquiries and review of the financial position and future prospects of the Company, have a reasonable expectation that the Company has adequate resources to continue to be in operational existence for the foreseeable future. Therefore, the going concern basis is adopted in the preparation of the Financial Statement.

Auditors

The resolutions to appoint the present Auditors, Messrs Ernst & Young, Chartered Accountants, who have expressed their willingness to continue in office, will be proposed at the Annual General Meeting.

The audit and non-audit fees paid to the Auditors is disclosed in Note 27 on page 92 of this Annual Report. As far as the Directors are aware, the Auditors do not have any relationship or interest in the Company.

The Audit and Compliance Committee reviews the appointment of the Auditors, its effectiveness and its relationship with the Company including the level of audit and non-audit fees paid to the Auditors. Details on the work of the Audit Committee are set out in the Audit Committee Report.

Notice of Annual General Meeting

The Annual General Meeting will be held on 25th June 2024 at 10.30 a.m. at the Board Room of Amana Takaful Life PLC, No. 660-1/1, Galle Road, Colombo 03, via Audio/Video (Virtual AGM). The Notice of the Annual General Meeting appears on page 119 of this Annual Report.

For and on behalf of the Board,



Osman Kassim
Chairman

15 May 2024
Colombo



Managers & Secretaries (Pvt) Ltd.
Secretaries
Amana Takaful Life PLC

15 May 2024
Colombo

REPORT OF THE BOARD AUDIT COMMITTEE

The Board Audit Committee (BAC) is a formal subcommittee that is appointed by the Board of Directors. The BAC is charged with assisting the board to fulfill its obligations and responsibilities in overseeing areas such as the company's financial reporting, internal control systems, internal audit and external audit functions.

The charter of the Audit Committee approved by the Board clearly defines the terms of reference of the Committee. This is reviewed annually to ensure that new developments relating to the committee's functions are addressed and the most recent review was approved by the Board.

Composition

The BAC comprises three members, all of whom are independent Non-Executive Directors. The Committee is made up of members who bring their varied expertise, experience and knowledge to carry out and discharge their duties and responsibilities professionally and effectively. The Committee meets at least four (4) times a year, usually at quarterly intervals, to review and approve both the annual external and internal audit plans; review and deliberate the internal audit reports on significant issues and audit findings, audit recommendations and management responses as well as its action plans; discuss on action taken to improve the effectiveness of the internal control system in the audit areas; ensure the independence and objectivity of the External Auditors; review the internal audit process, adequacy of internal controls. In addition, the Committee also plays the role of a platform for the Management to raise concerns on possible irregularities for investigation.

The Board Audit Committee of Amāna Takaful PLC, the Parent Company functions as the Board Audit Committee in terms of Section 9.13.3 (4) of the Listing Rules of the Colombo Stock Exchange. The Audit Committee held four meetings during the year 2023. The membership composition of the Committee and details of attendance of each member at meetings of the Committee during the period under review are as follows:

Member	Number of Meetings Attended
Deepthie Wickramasuriya - Chairperson/Independent Non-Executive Director	4 out of 4
Syed Rizwan Hussain - Independent Non-Executive Director	3 out of 4
P.S.Weerasekara - Independent Non-Executive Director	4 out of 4

The Senior Manager - Internal Auditor functions as the Secretary to BAC. The agenda and the papers for the meetings are circulated among the members with sufficient notice.

The Chief Executive Officer and the Managing Director of the Parent Company were invited to be present at all meetings of the Committee during the period under review. The Senior Manager Internal Audit also attended all meetings in the capacity of Secretary to the Audit Committee, so were the respective Heads of Departments - Finance, Underwriting, Claims and Reinsurance/Retakaful. External Auditors, Internal Auditors who carried out outsourced assignments and other members of the Management were also invited to attend the meeting when required.

Objectives, Duties and Responsibilities

The "Terms of Reference" (TOR) of the BAC clearly defines the role, responsibilities and scope of the Committee.

The key objectives of the Audit Committee are:

- ❖ To satisfy themselves that a good financial reporting system is in place in order to ensure accurate and timely financial information to the Board of Directors, regulators and shareholders and to make sure that these are prepared in accordance with the Sri Lanka Accounting Standards and other relevant laws and regulations.
- ❖ To satisfy themselves of the effectiveness of the Company's risk management process in order to identify and mitigate risks.
- ❖ To review the design and implementation of the internal control system and take steps to strengthen them as necessary.
- ❖ To ensure that the contract of the business is in compliance with the applicable laws and regulations of the country and the policies and procedures of the Company.
- ❖ To assess the independence of the External Auditors and monitor the performance of Internal and External Auditors.
- ❖ To assess the Company's ability to continue as a going concern in the foreseeable future.

The primary duties and responsibilities of the Committee are as follows:

1. Review the adequacy of the internal audit programme and plan, internal audit findings and recommend actions to be taken by the Management on deficiencies in controls, processes and procedures.
2. Assessment of the independence and performance of the Company's External Auditors.
3. Review the Management Letter of the External Auditors and follow-up on its recommendations.
4. Ensure the preparation and presentation of financial reports in line with the accounting standards and ensuring the adequacy of disclosure in such report.
5. Review the effectiveness of internal controls.

Internal Audit

At the commencement of 2021, Messrs. KPMG Chartered Accountants were

appointed as the primary internal auditor of the company in order to strengthen the Company's internal audit function. The company's Internal Audit department worked closely with KPMG to ensure that the audits were conducted and completed efficiently as mandated by the Board Audit Committee. Audit Reports are periodically presented to the BAC on a quarterly basis for review. The Internal Audit department coordinates and ensures that recommendations are implemented conscientiously and additionally carries out various other audits and special assignments.

The Internal Audit Department is charged with the overall internal audit functions of the Company. The Department presents to the BAC the Comprehensive Audit Plan for the financial year under review, and instructed the Internal Auditors on the approach to be adopted in their auditing processes. Apart from the Audit Plan, the Committee also instructed the Auditors to carry out investigation, inspection and auditing on certain issues deemed necessary to maintain and ensure the adequacy and effectiveness of internal controls, appropriate governance and principles of best practice.

The Committee deliberated and reviewed a number of internal audit reports on a multitude of operational areas such as Reinsurance (Retakaful), various types of reserve including technical/mortality reserve, claims and underwriting as well as treasury matters. To ensure key decisions and recommendations of the Committee were efficiently implemented, a process of follow-up programmes had been put in place. Where necessary, Auditors were directed to conduct follow-up audits and inspections.

Summary of Internal Audit Functions

- ❖ Obtain a detailed understanding of the process by reviewing relevant documentation, and conducting interviews with the process owners/client staff.
- ❖ Identify the risk associated with the process and the controls in place to

mitigate each risk.

- ❖ Perform a process walkthrough to determine if the execution of the process follows the design, whether the process is adequate by design and identify the gaps that exists.
- ❖ Perform control testing and evaluate the operating effectiveness of the process level controls.
- ❖ Measure and analyse results to formulate business focused recommendations that are aligned to the company's process, strategy and goals.
- ❖ Confirm findings with key project stakeholders.
- ❖ Develop a business focused report that provides risk based , effective recommendations for the findings together with the responses provided by the Management.
- ❖ Follow up on Audit recommendations and make sure those are implemented by the management

External Audit

The BAC reviewed the External Audit Plan including the scope and fee for the annual audit. The Committee held a discussion with the External Auditors, Messrs. Ernst & Young, prior to the year-end audit to discuss their audit approach and procedures, including matters relating to the scope of the audit.

The BAC reviewed the results of the external audit and the recommendations contained in the Management Letter arising from the audits of the quarterly/ annual financial statements, thus ensuring appropriate follow-up actions are taken. The independence and objectivity of the external auditors were reviewed by the BAC.

The BAC recommended to the Board the reappointment of Messrs. Ernst & Young, Chartered Accountants as the External Auditors of the Company for the ensuing financial year, subject to approval of the shareholders at the forthcoming Annual General Meeting.

Provision of Non-Audit Service

The Committee is also responsible for reviewing the nature of non-audit

services that the External Auditors may undertake in order to ensure that the Auditors' independence is not impaired in such circumstances.

Conclusion

The BAC is satisfied that the company's accounting policies, internal controls, and risk management processes are adequate to provide reasonable assurance that the financial affairs of the company are managed in accordance with company policies and accepted accounting standards.

Further, the Company has complied with the latest listing rule requirements as follows;

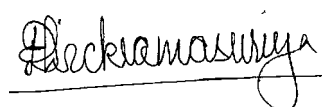
9.13.1 - The Board has appointed a separate Risk Committee and the Enterprise Risk Management Report includes same.

9.13.2 - The Committee operates under a set of written Terms of Reference outlining scope, authority and duties.

9.13.3 – The composition of the Audit Committee comprises of 3 Independent non - executive Directors and distinguished invitees

9.13.4 – Functions of the Committee, Pls refer Audit Committee Report for the required disclosures; Details of Chairperson and members, Compliance opinion on financial reporting, Confirmation of Audit Charter existence, Summary of Internal Audit Method/ Scope, Details of functions discharged for the financial year.

On behalf of the Board Audit Committee.



Deepthie Wickramasuriya
Chairperson - Board Audit Committee

15 May 2024
Colombo

REPORT OF THE BOARD REMUNERATION COMMITTEE

The Remuneration Committee is entrusted by the Board of Directors with the responsibility of overseeing a reasonable, attractive and competitive remuneration package policy be adopted for all level of employees of the Amana Takaful Group of Companies. The policy ought to be aligned with the Group's performance and interests of all stakeholders. The Committee has to ensure that the remuneration structure is commensurate with each employee's performance, competency, commitment, dedication, responsibility and skill.

In implementing the policy, the Committee reviewed and compared the overall executive compensation package, benchmarking against the industry, for the consideration and adoption of the Board. It also recommended the packages for the Chief Executive Officer and other senior members of the Management, taking into cognisance the practice of the industry as well as the overall financial strength of the Group. In relation to this, the Committee took into consideration Key Result Areas and Performances linked to the achievement, contribution and performance of each individual officer, relative to respective targets set.

Independent Directors had not received, directly or indirectly, any consulting, advisory or other compensatory fees from the Group. Papers to be deliberated at meetings of the Committee were distributed in advance to all the members.

- ❖ Other key responsibilities under the mandate of the Remuneration Committee covered the following scopes:
- ❖ Reviewing and ensuring that the Group implemented a sound Performance Appraisal Review System for employees at all levels.
- ❖ Making recommendation to the Board on annual increments, key promotions and scale-ups.
- ❖ Making recommendation to the Board on bonus and related payment, if any, to employees of all levels.

- ❖ Considering and recommending to the Board the remuneration scheme for the Directors.

The Board Remuneration Committee of Amana Takaful PLC, the parent Company functions as the Board Remuneration Committee in terms of Section 9.12.6 (2) of the Listing Rules of the Colombo Stock Exchange. The Committee Comprised of three (3) Non-Executive Directors. The Committee met twice during the year under review.

Members	Meeting Attendance
1. Abdullah Osman Kassim - Chairman (Appointed w.e.f. 11th December 2023) Independent Non-Executive Director	1 out of 2
2. Zulficar Ghouse - Chairman (until 11th December 2023 and continues to be a member)) Independent Non-Executive Director	2 out of 2
3. Rizwan Hussain - Independent Non-Executive Director	2 out of 2
4. Farhan Jabir - Secretary	2 out of 2

Further, the Company has complied with the latest listing rule requirements as follows;

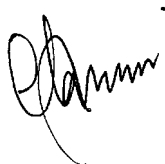
9.12.1 – 9.12.5 – The Company Possesses a Remuneration Committee and maintains a formal and transparent procedure for developing policy on Executive Directors 'remuneration and for fixing the remuneration packages of individual Directors. No Directors shall be involved in fixing his/her remuneration.

The Committee operates under a set of written terms of reference that clearly that clearly outline its scope, authority, duties and requirements for meeting quorum.

9.12.7 – Functions of the Committee includes recommending and assessing the relevance of the remuneration payable to the Executive Directors of the Company.

9.12.8 – Disclosures During the year, the Company has demonstrated compliance with the necessary disclosure requirements as follows

- (1) Chairperson and members of the Remuneration Committee
- (2) Statement on remuneration policy
- (3) Aggregate remuneration of Executive and Non-Executive Directors (Refer Financial statement Disclosures)



Abdullah Kassim
Chairman - Remuneration Committee

15 May 2024
Colombo

REPORT OF THE RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

Objective of the Committee

The Committee reviews all related party transactions of Amana Takaful Life PLC to ensure that the Company complies with the Rules set out under Section 09 of the Listing Rules.

The primary objective of the Committee is to ensure that the interests of the shareholders are taken into consideration when entering into related party transactions and to ensure that these transactions are not more favourable to related parties than those generally available to the general public.

Composition of Committee

The Related Party Transaction Review Committee (the Committee) comprises three Independent Non-Executive Directors as of date.

Meetings of the Committee

Four (4) meetings of the Committee were held during the period under review and the attendance of the Committee is as follows:

Members	Meeting Attendance
1. P. S. Weerasekera - Chairman (Appointed w.e.f. 11th December 2023) Independent Non-Executive Director	4 out of 4
2. M. Z. M. Ghouse - Chairman (until 11th December 2023 and continues be a member) Independent Non-Executive Director	4 out of 4
3. E. D. Wickramasuiruya - Independent Non-Executive Director	4 out of 4
4. M. F. H. Nizar - Secretary	4 out of 4

In addition, the Chief Executive of the Company, Chief Executive Officer of Amana Takaful Life PLC and Head of Finance & Compliance attended these meetings by invitation. The Assistant Manager Compliance, M.F.H. Nizar serves as the Secretary to the Committee as at reporting date.

Review of Related Party Transactions

The Committee reviewed all related party transactions of the Company for the year 2023 and concluded that all related party transactions entered into during the year were of a recurrent and trading nature, and were within the normal scope of day-to-day operations of the Company. Details of such related party transactions entered in to during the year are given in Note 30 to the Financial Statements on pages 94 to 95 of this Annual Report.

The Chairman of the Committee has on a regular basis, appraised the Board on the matters deliberated at the Related Party Transactions Review Committee meetings.

Policies and Procedures

The Head of Finance and Compliance is responsible for reporting related party transactions proposed to be entered into by the Company which are within the purview of the Committee in terms of the Listing Rules for the Committee to review and to grant approval.

Moreover, on a quarterly basis, the Compliance team is required to report the related party transactions entered into by the Company during the period under Review for Committee's consideration.

Conclusion

The Committee is satisfied that the interests of the shareholders as a whole are taken into consideration when entering into related party transactions and that the transactions were not more favourable to related parties than those generally available to the general public.

Further, the Company has complied with the latest listing rule requirements as follows;

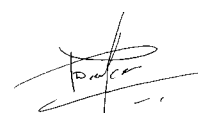
9.14.1 – The Related Party Review Committee operates under a set of written terms of references and conforms to the requirements set out in Rule 9.14 of these rules

9.14.2 – The composition of the RPT Committee comprises of 3 Independent non - executive Directors and distinguished invitees

9.14.3 – Functions of the Committee includes Safeguarding Shareholders interest, preventing abuse by Directors, CEOs, or substantial shareholders prioritizing the economic and commercial substance of transactions over legal form.

9.14.4 – The Committee convenes quarterly, ensuring thorough completion of meeting minutes for the BOD. The Member of the Committee have access to adequate expertise to evaluate proposed transactions, seeking professional advice when necessary. Directors with personal interest in such matters will abstain from participation and voting during relevant board meetings

9.14.5/6 – RPT Committee reviews all related party transactions while also considering any material changes to previously reviewed transactions under rule 9.14.5.



Padmesh Weerasekera
Chairman – Related Party Transactions Review Committee

15 May 2024
Colombo

REPORT ON THE SHARI'AH ADVISORY COUNCIL



بسم الله الرحمن الرحيم

SHARI'AH AUDIT REPORT TO THE SHAREHOLDERS OF AMANA TAKAFUL LIFE PLC

والسلام عليكم ورحمة الله وبركاته

We have examined the operations of Amana Takaful Life (PLC) (the "Company") for the year ending 31st December 2023. We have also conducted our review to form an opinion as to whether the Company has complied with the Shari'ah Rules and principles and also with the specific fatwas, regulations and guidelines issued by the Shari'ah Advisory Council.

Responsibilities

It is our responsibility, as Shari'ah Advisory Council, to ensure that the Takaful operations, financial arrangements, contracts and transactions entered in to by the Company with its participants, clients and stakeholders are in compliance with Shari'ah rules and principles. It is the responsibility of the Company's Management to ensure that all rules, principles and guidelines set by the Shari'ah Advisory Council are complied with, and that all policies and services being offered are duly approved by the Shari'ah Advisory Council.

Scope of Audit and Basis of Opinion

The scope of our audit primarily involves the review of Company's compliance with the Shari'ah Regulations and Guidelines. Our review also includes examining, on a test basis of each type of product in relation to issuance & claims.

Opinion

In our opinion and to the best of our information and belief and according to the explanations given to us:

- The Takaful operations and financial transactions undertaken by the Company, during the year 2023, were generally in accordance with the guidelines prescribed by the Shari'ah Advisory Council.
- All non-permissible income received are applied in accordance with the guidelines issued by the Shari'ah Advisory Council.

We seek Allah the Almighty to grant us all success and straight-forwardness.

والسلام عليكم ورحمة الله وبركاته

Mufti M I M Rizwe
Chairman-Shari'ah Advisory Council

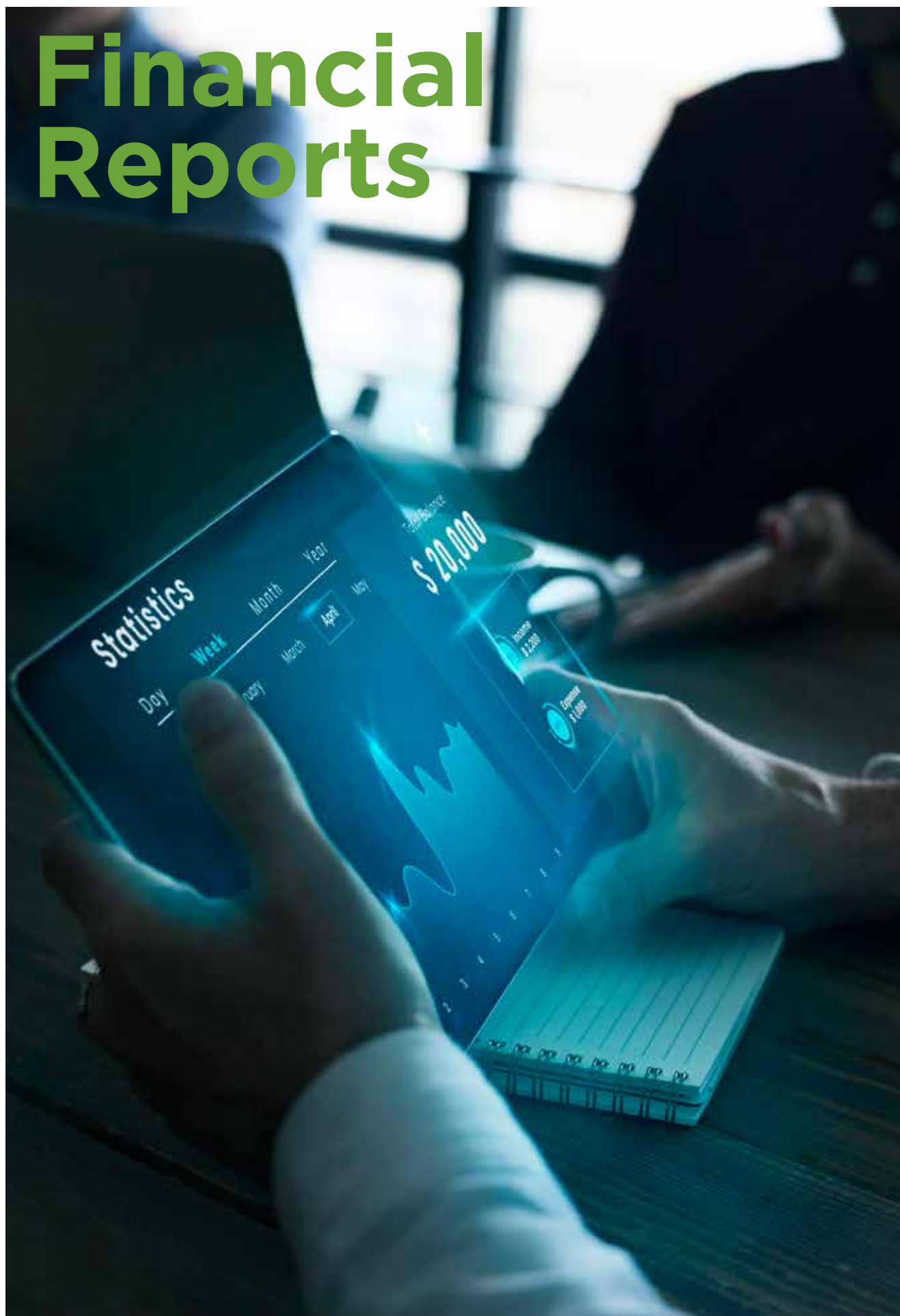
Ash-Sheikh Murshid Mulaftar
Secretary-Shari'ah Advisory Council

Mufti Shafique A Jakhura
Member-Shari'ah Advisory Council

Ash-Sheikh Huzaifah Hussain
Member-Shari'ah Advisory Council

15 May 2024
Colombo

Financial Reports



STATEMENT OF DIRECTORS' RESPONSIBILITIES

This statement sets out the responsibilities of the Directors in relation to Financial Statements of the Company. The Directors confirm that the Financial Statements for the year 2023 prepared and presented in this Annual Report are consistent with the requirements of the Companies Act No. 07 of 2007 and the Regulation of Insurance Industry Act No. 43 of 2000.

In preparing the Financial Statements, the Directors have adopted appropriate accounting, principles and policies and where relevant, disclosed and explained material departures, if any. The Directors ensure that applicable accounting standards (SLFRSs/LKASs) have been followed and that the judgments and estimates provided are reasonable and prudent and provide a true and fair view of the state of affairs as well as the profitability of the Company. The Directors also state that the Financial Statements are prepared on a going concern basis and a review of the Company's performance indicates that the Company has adequate resources to continue in operation.

The Directors have taken proper and sufficient care to ensure the maintenance of adequate accounting records in conformity with the applicable provisions of the Regulation of Insurance Act No. 43 of 2000 and any other legislations including the Companies Act No. 07 of 2007 to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

The Company possesses an effective internal audit system commensurate with the size and nature of its business. Steps have also been taken to ensure that proper records are maintained and the information generated is reliable.

It is the responsibility of the Directors to provide the Auditors every opportunity to carry out necessary audit work to enable them to present their audit report. The Directors, are satisfied that all statutory payments in relation to

all relevant regulatory and statutory authorities which were due and payable by the Company as at the reporting date have been paid or where relevant provided for.

The Directors are of the view that they have to the best of their knowledge, discharged their responsibilities as set out in this Statement.

For and on behalf of the Board,



Osman Kassim
Chairman

15 May 2024
Colombo

CERTIFICATE OF THE ACTUARY - FAMILY TAKAFUL (LIFE)

AMANA TAKAFUL LIFE PLC

Financial Year Ended 31 December 2023

This report has been completed in compliance with IFRS 4 on Valuation for Liabilities of Long Term Insurance Business. The company, Amana Takaful Life PLC, is a Takaful Operator, but in the absence of takaful specific regulations in Sri Lanka, is governed under the same regulations as conventional insurers.



Zainal Abidin Mohd Kassim

Fellow of the Institute of Actuaries

Actuary

Kuala Lumpur

Malaysia

17th April 2024

INDEPENDENT AUDITORS' REPORT



Ernst & Young
Chartered Accountants
Rotunda Towers
No. 109, Galle Road
P.O. Box 101
Colombo 03, Sri Lanka

Tel : +94 11 246 3500
Fax : +94 11 768 7869
Email: eysl@lk.ey.com
ey.com

DNG/HRMU

TO THE SHAREHOLDERS OF AMANA TAKAFUL LIFE PLC

Report on the audit of the financial statements

Opinion

We have audited the financial statements of Amana Takaful Life PLC ("the Company"), which comprise the statement of financial position as at 31 December 2023, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including material accounting policy information.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Company as at 31 December 2023 and of its financial performance and its cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Company in accordance with the Code of Ethics for professional accountants issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in

forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Partners: D K Hulangamuwa FCA FCMA LLB (London), A P A Gunasekera FCA FCMA, Ms. Y A De Silva FCA, Ms. G G S Manatunga FCA, W K B S P Fernando FCA FCMA, B E Wijesuriya FCA FCMA, R N de Saram ACA FCMA, Ms. N A De Silva FCA, N M Sulaiman ACA ACMA, Ms. L K H L Fonseka FCA, Ms. P V K N Sajeewani FCA, A A J R Perera FCA ACMA, N Y R L Fernando ACA, D N Gamage ACA ACMA, C A Yalagala ACA ACMA

Principals: T P M Ruberu FCMA FCCA MBA (USJ-SL), G B Goudian ACMA, Ms. P S Paranavitane ACA ACMA LLB (Colombo), D L B Karunathilaka ACMA, W S J De Silva Bsc (Hons) - MIS Msc - IT, V Shakhiveli B.Com (Sp)

A member firm of Ernst & Young Global Limited

Key audit matter	How our audit addressed the key audit matter
Life Insurance contract liabilities Life Insurance Contract Liabilities amounting to Rs. 3,275 Mn represent 88% of total liabilities of the Company as at 31 December 2023 and are determined based on an actuarial valuation as described in Note 2.4.1(13) to the financial statements. This was a key audit matter due to: - Materiality of the reported Life Insurance Contract Liabilities; - The degree of assumptions, judgements and estimation uncertainty associated with the actuarial valuation of Life Insurance Contract Liabilities and liability adequacy test carried out to determine the adequacy of the carrying value of Life Insurance Contract Liabilities. Key assumptions used in the valuation of the Life Insurance Contract Liabilities included the following: - Mortality rate, morbidity rate, lapses ratio and surrenders ratio, loss ratios, bonus, interest rates, discount rates and related claim handling expenses, as disclosed in Note 2.4.1(13) to the financial statements.	To assess the reasonableness of the Life Insurance Contract Liabilities, our audit procedures included the following; - Assessed the competency, capability and objectivity of the management specialist engaged by the Company. - Obtained an understanding of the liability valuation process. - Checked the completeness and accuracy of the data used in the valuation of Life Insurance Contract Liabilities by agreeing key information to source documents and accounting records. - Engaged expert resources to assess the reasonableness of the assumptions and appropriateness of the methods used in the actuarial valuations of Life Insurance Contract Liability and Liability Adequacy Test with reference to market data and policyholders experience. We assessed the adequacy of the disclosures in Note 2.4.1(13) to the financial statements.

Other information included in the 2023 Annual Report

Other information consists of the information included in the Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have

performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the management and those charged with governance for the financial statements.

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the company's ability to

continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a

INDEPENDENT AUDITORS' REPORT

material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- ✦ Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- ✦ Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- ✦ Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- ✦ Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the company's ability to continue as

a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the company to cease to continue as a going concern.

- ✦ Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse

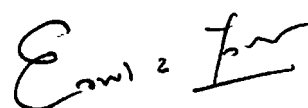
consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

As required by Section 47(2) of the Regulation of Insurance Industry Act, No.43 of 2000, as far as appears from our examination, the accounting records of the Company have been maintained in the manner required by the rules issued by the Insurance Regulatory Commission of Sri Lanka, to clearly indicate the true and fair view of the financial position of the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 4169.



15 May 2024
Colombo

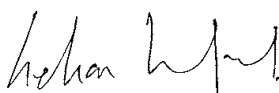
STATEMENT OF FINANCIAL POSITION

As at 31 December 2023		2023	2022
	Notes	Rs.	Rs.
Assets			
Intangible Assets	4	19,049,191	20,455,549
Property, Plant and Equipment	5	19,374,245	21,318,102
Right Of Use Asset	6	12,390,512	11,954,352
Investment Property	7	151,000,000	150,550,000
Financial Investments	8	921,642,663	1,049,633,044
Retakaful (Reinsurance) Receivables		32,720,572	-
Contribution (Premium) Receivables	9	34,320,741	37,975,619
Other Assets	10	61,600,005	41,257,953
Financial Investments - Unit Linked	11	3,035,000,650	2,425,246,987
Cash and Bank Balances	12	38,933,558	46,507,026
Cash and Bank Balances - Unit Linked	12	13,609,555	15,841,002
Total Assets		4,339,641,692	3,820,739,634
Liabilities			
Insurance Contract Liabilities - Family Takaful Fund	13	304,351,488	356,693,216
Insurance Contract Liabilities - Unit Linked	13	2,970,343,620	2,473,579,681
Employee Benefits	14	12,696,932	10,820,935
Subordinated Debt	15	108,532,396	122,612,346
Other Liabilities - Unit Linked	16	186,253,739	118,930,337
Other Liabilities	17	133,269,207	181,248,496
Lease Liability	18	13,687,013	13,039,310
Total Liabilities		3,729,134,395	3,276,924,321
Shareholders' Equity			
Equity Attributable to Equity Holders of the Parent			
Stated Capital	19	500,000,000	500,000,000
Other Reserves	20	47,043,117	31,489,222
Revenue Reserves		63,464,180	12,326,091
Total Equity		610,507,297	543,815,313
Total Equity and Liabilities		4,339,641,692	3,820,739,634

We certify that Financial Statements are in compliance with the requirements of the Companies Act No. 07 of 2007.



M. Rinaz Niyas
Head of Finance



Gehan Rajapakse
Chief Executive Officer

The Board of Directors is responsible for these Financial Statements. Signed for and on behalf of the board by.



Osman Kassim
Chairman



Hassan Kassim
Director

The Accounting Policies and Notes on pages 65 through 108 form an integral part of the Financial Statements.

15 May 2024
Colombo

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

Year ended 31 December 2023		2023	2022
	Notes	Rs.	Rs.
Gross Written Contribution (Premium)	21	1,150,656,357	1,060,777,579
Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)		(56,457,232)	(60,259,897)
Net Written Contribution (Premium)		1,094,199,125	1,000,517,682
Net Change in Reserve for Unearned Contribution (Premium)		(511,865)	2,723,534
Net Earned Contribution (Premium)		1,093,687,260	1,003,241,216
Other Revenue			
Income From Investments	22	622,215,429	406,841,117
Other Income	23	48,543,064	43,437,299
Total Revenue		1,764,445,753	1,453,519,632
Expenses			
Takaful (Insurance) Claims and Benefits (Net)	24	(566,593,346)	(518,768,780)
Acquisition Cost (Net of Reinsurance Commission)		(152,309,797)	(149,281,833)
Change in Family Takaful Contract Liability		(445,854,249)	(285,948,395)
Other Operating and Administration Expenses	25	(538,827,148)	(434,730,828)
Amortisations	4	(1,541,358)	(1,446,263)
Total Expenses		(1,705,125,898)	(1,390,176,100)
Profit from Operations	27	59,319,855	63,343,532
Finance Cost	26	(9,000,380)	(9,252,801)
Profit Before Taxation		50,319,475	54,090,731
Income Tax	28	-	-
Profit for the Year		50,319,475	54,090,731
Other Comprehensive Income			
Other comprehensive income to be reclassified to profit or loss in subsequent periods.			
Net Change in Fair Value of Available-for-Sale Financial Assets transferred (to)/ from Life policy Holders Reserve		15,553,895	5,091,579
Other Comprehensive Income not to be reclassified to Profit or Loss in subsequent periods			
Actuarial Gain on Defined Benefit Plans	14.1	818,616	876,477
Revaluation of Property, Plant and Equipment		-	-
Other Comprehensive Income		16,372,511	5,968,056
Total Comprehensive Profit for the year		66,691,986	60,058,786
Basic/Diluted Earnings Per Share	29	1.01	1.08

The Accounting Policies and Notes on pages 65 through 108 form an integral part of the Financial Statements.

STATEMENT OF CHANGES IN EQUITY

Year ended 31 December 2023	Stated Capital Rs.	Other Reserves		Revenue Reserves Rs.	Total Rs.
		Life Policyholders' Reserve Fund Rs.	Revaluation Reserve Rs.		
Balance as at 01 January 2022	500,000,000	14,399,071	11,998,572	(42,641,117)	483,756,526
Profit for the year	-	-	-	54,090,731	54,090,731
Other Comprehensive Income					
Net Change in Fair Value of Available-for-Sale Financial Assets transferred to Life Policy Holders Reserve Fund		5,091,579			5,091,579
Actuarial Gain on Defined Benefit Plans	-	-	-	876,477	876,477
Total Comprehensive Income	-	5,091,579	-	54,967,209	60,058,787
Balance as at 31 December 2022	500,000,000	19,490,650	11,998,572	12,326,091	543,815,313
Profit for the Period	-	-	-	50,319,475	50,319,475
Other Comprehensive Income					
Net Change in Fair Value of Available-for-Sale Financial Assets transferred to Life Policy Holders Reserve Fund		15,553,895			15,553,895
Actuarial Change on Defined Benefit Plans	-	-	-	818,616	818,616
Total Comprehensive Income	-	15,553,895	-	51,138,091	66,691,986
Balance as at 31 December 2023	500,000,000	35,044,545	11,998,572	63,464,180	610,507,297

The Accounting Policies and Notes on pages 65 through 108 form an integral part of the Financial Statements.

STATEMENT OF CASH FLOWS

Year ended 31 December 2023		2023	2022
	Notes	Rs.	Rs.
Operating Activities			
Contribution (Premium) received from customers		1,154,311,233	1,058,754,378
Retakaful (Reinsurance) Premium paid		(18,825,103)	(45,238,105)
Claims, Benefits and Expenses paid		(564,176,559)	(511,012,351)
Retakaful (Reinsurance) Receipts in respect of Claims		-	10,422,572
Cash paid to and behalf of Employees		(239,677,432)	(191,092,264)
Profits Received from Investments		209,543,076	369,428,254
Finance Cost paid	26	(9,000,380)	(9,252,801)
Other operating cash payments		(276,380,441)	(262,168,366)
Net Flow from Operating Activities (Note A)		255,794,395	419,841,316
Investing Activities			
Purchase of Investment Securities		(2,028,648,838)	(2,406,604,311)
Disposal of Investment Securities		2,014,623,095	1,842,965,168
Dividends received		3,140,748	5,096,982
Purchase of Property, Plant & Equipment	5.1	(6,554,559)	(4,785,796)
Purchase of Intangible Assets	4	(135,000)	(4,481,648)
Net Cash Flow used in Investing Activities		(17,574,554)	(567,809,605)
Financing Activities			
Subordinated Debt	15	-	(20,000,000)
Repayment of Finance Lease Liability	18	(9,567,600)	(7,327,500)
		(9,567,600)	(27,327,500)
Net Increase/(Decrease) in Cash and Cash Equivalents		228,652,241	(175,295,789)
Cash and Cash Equivalents at the Beginning of the Year		114,555,240	289,851,029
Cash and Cash Equivalents at the end of the Year	12.1	343,207,481	114,555,240
Note A			
Reconciliation of Operating Profit with Cash Flows from Operations			
Profit from Operations		59,319,855	63,343,532
Depreciation	5	8,311,479	9,236,949
Amortisation	4	1,541,358	1,446,263
Depreciation Right of Use of Asset	6	7,541,547	6,253,193
Provision for Employee Benefits	14.1	3,588,666	756,332
Unrealised (Income)/Losses		(12,104,189)	(21,819,755)
Decrease/(Increase) in Debtors and Other Assets		(265,562,925)	(5,373,258)
Increase in Family Takaful (Long Term Insurance) Fund		445,854,249	285,948,395
(Decrease)/Increase in Unearned Contribution (Premium)		511,865	(2,723,534)
(Decrease)/Increase in Other Creditors		19,344,112	96,589,833
Exchange Gain/Loss		(2,657,190)	(1,890,840)
Cash Flow from Operating Activities		265,688,828	431,767,110
Finance Cost paid		(9,000,380)	(9,252,801)
Gratuity Paid	14	(894,053)	(2,672,992)
Net Cash Flow from Operating Activities		255,794,395	419,841,316

The Accounting Policies and Notes on pages 65 through 108 form an integral part of the Financial Statements.

SEGMENT ANALYSIS - STATEMENT OF FINANCIAL POSITION

Year ended 31 December 2023	As at 31st December 2023			2023	2022
	Family Takaful Fund Rs.	Shareholders' Fund Rs.	Adjustments Rs.	Total Rs.	Total Rs.
Assets					
Intangible Assets	-	19,049,191	-	19,049,191	20,455,549
Property, Plant and Equipment	-	19,374,245	-	19,374,245	21,318,102
Right Of Use Asset	-	12,390,512	-	12,390,512	11,954,352
Investment Property	-	151,000,000	-	151,000,000	150,550,000
Financial Investments	436,151,046	485,491,616	-	921,642,663	1,049,633,044
Retakaful (Reinsurance) Receivables	32,720,572	-	-	32,720,572	-
Contribution (Premium) Receivables	34,320,741	-	-	34,320,741	37,975,619
Other Assets	18,698,431	42,901,573	-	61,600,005	41,257,953
Financial Investments - Unit Linked	3,035,000,650	-	-	3,035,000,650	2,425,246,987
Interfund Receivable	-	15,667,398	(15,667,398)	-	-
Cash and Bank Balances	32,200,224	6,733,334	-	38,933,558	46,507,026
Cash and Bank Balances - Unit Linked	13,609,555	-	-	13,609,555	15,841,002
Total Assets	3,602,701,220	752,607,869	(15,667,398)	4,339,641,692	3,820,739,634
Liabilities					
Insurance Contract Liabilities - Family Takaful Fund	304,351,488	-	-	304,351,488	356,693,216
Insurance Contract Liabilities - Unit Linked	2,970,343,620	-	-	2,970,343,620	2,473,579,681
Employee Benefits	-	12,696,932	-	12,696,932	10,820,935
Subordinated Debt	-	108,532,396	-	108,532,396	122,612,346
Other Liabilities - Unit Linked	186,253,739	-	-	186,253,739	118,930,337
Lease Liability	-	13,687,013	-	13,687,013	13,039,310
Other Liabilities	91,584,557	41,684,649	-	133,269,207	181,248,496
Interfund Payable	15,667,398	-	(15,667,398)	-	-
Total Liabilities	3,568,200,803	176,600,990	(15,667,398)	3,729,134,395	3,276,924,321
Shareholders' Equity					
Equity Attributable to Equity Holders of the Parent					
Stated Capital	-	500,000,000	-	500,000,000	500,000,000
Other Reserves	34,500,417	12,542,700	-	47,043,117	31,489,222
Revenue Reserves	-	63,464,180	-	63,464,180	12,326,091
Total Equity	34,500,417	576,006,880	-	610,507,297	543,815,313
Total Equity and Liabilities	3,602,701,220	752,607,869	(15,667,398)	4,339,641,692	3,820,739,634

The Accounting Policies and Notes on pages 65 through 108 form an integral part of the Financial Statements.

SEGMENTAL ANALYSIS - STATEMENT OF COMPREHENSIVE INCOME

Year ended 31 December 2023	Year Ended 31st December 2023			2023	2022
	Family Takaful Rs.	Shareholders' Fund Rs.	Adjustments Rs.	Total Rs.	Total Rs.
Gross Written Contribution (Premium)	1,150,656,357	-	-	1,150,656,357	1,060,777,579
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)	(56,457,232)	-	-	(56,457,232)	(60,259,897)
Net Written Contribution (Premium)	1,094,199,125	-	-	1,094,199,125	1,000,517,682
Add : Unearned Takaful Contribution (Premium) at the beginning of the year	4,930,629	-	-	4,930,629	7,654,162
Less : Unearned Takaful Contribution (Premium) at the end of the year	(5,442,494)	-	-	(5,442,494)	(4,930,629)
Net Earned Contribution (Premium)	1,093,687,260	-	-	1,093,687,260	1,003,241,216
Other Income					
Allocation Fee from Contribution (Premium)	-	440,024,745	(440,024,745)	-	-
Allocation fee from Investment Income	-	42,374,600	(42,374,600)	-	-
Income from Investments	553,724,824	68,490,605	-	622,215,429	406,841,117
Other Operating Income	-	81,032,153	(32,489,090)	48,543,064	43,437,299
Total Revenue	1,647,412,084	631,922,103	(514,888,435)	1,764,445,753	1,453,519,632
Benefits, Losses and Expenses					
Takaful (Insurance) claims and benefits-net	(566,593,346)	-	-	(566,593,346)	(518,768,780)
Acquisition Cost (Net of Reinsurance Commission)	(2,428,413)	(149,881,383)	-	(152,309,797)	(149,281,833)
Increase in Family Takaful (Long Term Insurance) Fund	(445,854,249)	-	-	(445,854,249)	(285,948,395)
Allocation Fee from Contribution (Premium)	(482,399,344)	-	482,399,344	-	-
Profit / (Loss) from Operations	150,136,731	482,040,719	(32,489,091)	599,688,361	499,520,623
Less : Indirect Expenses					
Other Operating, Investment Related and Administration Expenses	(150,136,731)	(412,868,026)	32,489,090	(530,515,669)	(425,493,878)
Amortisations	-	(1,541,358)	-	(1,541,358)	(1,446,263)
Depreciation	-	(8,311,479)	-	(8,311,479)	(9,236,949)
Finance Cost	-	(9,000,380)	-	(9,000,380)	(9,252,801)
Profit/(Loss) Before Taxation	-	50,319,475	-	50,319,475	54,090,731
Income Tax	-	-	-	-	-
Profit/(Loss) for the period	-	50,319,475	-	50,319,475	54,090,731

The Accounting Policies and Notes on pages 65 through 108 form an integral part of the Financial Statements.

NOTES TO THE FINANCIAL STATEMENTS

1. Corporate Information

1.1. General

Amana Takaful Life PLC ("the Company") is a public listed company incorporated and domiciled in Sri Lanka. The registered office of the Company is located at 660 – 1/1, Galle Road, Colombo 03.

1.2. Principal Activities and Nature of Operations

Company

The principal activities of the Company are underwriting of Family (Life) Takaful Insurance businesses in both unitized and non – unitized contracts. Unit – Linked contracts are which, contract benefits are determined by reference to the unit prices of respective investment fund.

The commercial operations of the Company commenced with effect from 1 January 2015 as follows.

Amana Takaful Life PLC was incorporated on 10 July 2014 in order to transfer the Family Takaful business of Amana Takaful PLC, with effect from 1 January 2015 in line with the requirement to segregate Life and General Insurance business as required by the RII (Amendment) Act No. 03 of 2011.

Amana Takaful Life Limited listed on Diri Savi Board of the Colombo Stock Exchange in the year 2016 by way of offering 50 million ordinary voting shares at 1.50 rupees per share, which represents a 10 percent stake in the Company. Company's name was changed during the year from Amana Takaful Life Limited to Amana Takaful Life PLC.

In terms of Articles 9 of the Articles of the Association of the company, the shareholders having approved a consolidation of shares, every 10 existing issued ordinary shares to 1

share without any change to the Share Capital of the Company on 30th July 2018, the issued number of shares have reduced from 500,000,000 fully paid shares to 50,000,000 fully paid shares.

1.3. Parent Entity and Ultimate Parent Entity

The parent entity of the Company is Amana Takaful PLC.

1.4. Date of Authorization for Issue

The Financial Statements of Amana Takaful Life PLC for the year ended 31 December 2023 was authorized for issue by the Board of Directors on 15 May 2024.

1.5. Responsibility for Financial Statements

The Board of Directors is responsible for these Financial Statements.

2. Basis of Preparation

The Company's Statement of Financial Position represents the assets, liabilities of Family Takaful Fund (Unitized and Non – Unitized) and equity of Shareholders' Fund.

The Company's Statement of Comprehensive Income reflects revenue, investment income, other income and related expenses attributable to Family Takaful Fund (Unitized and Non – Unitized) and Shareholders' Fund.

Financial assets and financial liabilities are offset, and the net amount reported in the Statement of Financial Position only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously.

2.1. Statement of Compliance

The Financial Statements are prepared and presented in accordance with the Sri Lanka Accounting Standards (SLFRS/

LKAS) and they also provide information as required under the Companies Act, No. 07 of 2007, Regulation of Insurance Industry Act, No. 43 of 2000 and amendments thereto, Sri Lanka Accounting and Auditing Standards Act No 15 of 1995, Rules and Regulations of the Insurance Regulatory Commission of Sri Lanka, Listing Rules of the Colombo Stock Exchange (CSE).

2.2. Basis of Measurement

The Financial Statements have been prepared on the historical cost basis except for the following material items in the Statement of Financial Position:

- ❖ Motor vehicles in Property, Plant and Equipment measured at fair value (as at 31.12.2021)
- ❖ Financial instruments at fair value through profit or loss are measured at fair value
- ❖ Available-for-sale financial assets are measured at fair value
- ❖ Investment properties, which are measured at fair value
- ❖ Policyholder's liabilities have been measured at actuarial determined values
- ❖ The liability for Defined Benefit Obligations are actuarially valued and recognized at the present value

The Company presents its Statement of Financial Position broadly in the order of liquidity.

2.3. Functional and Presentation Currency

These Financial Statements are presented in Sri Lankan Rupees (LKR), which is the Company's functional and presentation currency.) and all financial information presented in Sri Lankan Rupees has been rounded to the nearest rupee

NOTES TO THE FINANCIAL STATEMENTS

2.4. Use of Estimates and Judgments

In the process of applying the Company's accounting policies, management is required to make judgments, apart from those involving estimations, which has the most significant effect on the amounts recognized in the Financial Statements. Further management is required to consider key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year. The respective carrying amounts of assets and liabilities are given in related notes to the Financial Statements. Actual results may differ from these estimates.

2.4.1. Assumptions and Estimations

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to estimates are recognized prospectively.

The key items as such are discussed below.

Information about assumptions and estimation uncertainties that have a significant risk of resulting in a material adjustment in the year ending 31 December 2023 is included in the following notes:

Actuarial Valuations of the Insurance Provisions

Note 13 - Long Term Insurance Provision - (Family Takaful Fund)

The valuation of Long-Term Insurance Provision was carried out by Mr. Zainal Abidin Mohd Kassim (BSC, FIA, ASA) of Actuarial Partners Consulting Sdn Bhd.

Life insurance liabilities are recognized when contracts are entered into and premiums are receivable. At each reporting date, an assessment is made

of whether the recognized life insurance liabilities are adequate by using a liability adequacy test.

Significant estimates and assumptions made in respect of Actuarial Valuations have been disclosed in the Note 13 to the Financial Statements.

Note 14 - Employee Benefits

The Defined Benefit Obligation and the related charge for the year are determined using assumptions required under actuarial valuation techniques. The valuation involves making assumptions about discount rates, future salary increases, staff turnover rates etc. Due to the long-term nature of such obligations these estimates are subject to significant uncertainty (Note 14.2).

Note 28 - Deferred Tax Asset

Deferred tax assets are recognized for all unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilized. Significant management judgment is required to determine the best estimate of deferred tax assets that can be recognized, based upon the likely timing and level of future taxable profits together with future tax planning strategies.

Note 8 & 11 - Fair Value of Financial Investments

The determination of fair values of financial assets and financial liabilities recorded on the Statement of Financial Position for which there is no observable market price are determined using a variety of valuation techniques that include the use of mathematical techniques.

Note 31 - Commitments & Contingencies

The Company receives legal claims against in the normal course of business. Management has made judgments as to the likelihood of any claim succeeding

in making provisions. The time of concluding legal claim is uncertain, as in the amount of possible outflow of economic benefits.

Timing and cost ultimately depend on the due process in respective legal jurisdiction.

2.5. Measurement of Fair Values

A number of the Company's accounting policies and disclosures require the measurement of fair values, for both financial and non-financial assets and liabilities.

When measuring the fair value of an asset or a liability, the Company uses market observable data as far as possible. Fair values are categorized into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows:

- ❖ **Level 1:** quoted prices (unadjusted) in active markets for identical assets or liabilities.
- ❖ **Level 2:** inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- ❖ **Level 3:** inputs for the asset or liability that are not based on observable market data (Unobservable inputs).

If the inputs used to measure the fair value of an asset or a liability might be categorized in different levels of the fair value hierarchy, then the fair value measurement is categorized in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

The Company recognizes transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred.

Further information about the assumptions made in measuring fair values is included in the following notes:

- ❖ **Note 5** - Property, Plant and Equipment
- ❖ **Note 8 & 11** - Financial Investments

2.6. Segment Reporting

A segment is a distinguishable component of the Company engaged in providing services subject to risks and rewards that are different to those of other segments.

Segmental information is based on industry segments reflecting the Company's management structure.

Segmentation has been determined based on the activities of the Company or sectors into which the product or services are sold. The primary format is based on the core business, Family and Fund management services of Shareholders' Fund.

Inter-segment transactions are based on fair market prices.

Expenses directly identified to a particular segment are charged accordingly. Expenses that cannot be directly identified to a particular segment are allocated on basis decided by the management and applied consistently throughout the period.

The Company's activities are located mainly in Sri Lanka. Consequently, assets and liabilities by geographic region are considered not material to be disclosed.

2.7. Going Concern

These Financial Statements are presented on the assumption that the Company is a going concern. The Directors have made an assessment of the Company's ability to continue as a going concern and they do not intend to liquidate.

2.8. Right-of-Use Assets and operating lease liability

The Company uses its judgment to determine whether an operating lease contract qualifies for recognition of right-of-use assets. The Company applies judgements in evaluating whether it is reasonably certain whether or not to exercise the option to renew or terminate the lease. That is, it considers all relevant factors that create an economic benefit for it to exercise either the renewal or termination. The Company can readily determine the interest rate implicit in the lease. Therefore, it does not require to use incremental borrowing rate to measure operating lease liability.

The incremental borrowing rate is the rate of interest that the Company would have to pay to borrow over a similar term and with similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in similar economic environment.

Summary of Significant Accounting Policies

2.8.1. Foreign Currency

Foreign Currency Transactions

Transactions in foreign currencies are translated to the respective functional currencies of Company at exchange rates at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies are translated to the functional currency at the exchange rate at the reporting date. Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated to the functional currency at the exchange rate when the fair value was determined. Non-monetary items that are measured based on historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions.

Foreign currency differences are generally recognised in profit or loss.

However, foreign currency differences arising from the translation of available-for-sale equity investments (except on impairment, in which case foreign currency differences that have been recognised in OCI are reclassified to profit or loss); are recognised in Other Comprehensive Income.

2.8.2. Income Tax

Income tax expense comprises current and deferred tax. It is recognised in profit or loss except to the extent that items recognized directly in equity or in Other Comprehensive Income.

Current Taxes

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the Commissioner General of Inland Revenue.

The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the reporting date.

The provision for income tax is based on the elements of income and expenditure as reported in the Financial Statements and computed in accordance with the provisions of the Inland Revenue Act, No. 24 of 2017 and the amendments thereto.

Deferred Taxation

Deferred income tax is assessed, using the asset method, on all temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax liabilities are recognised for all taxable temporary differences. Deferred income tax assets are recognised for all deductible temporary differences, carry-forward

NOTES TO THE FINANCIAL STATEMENTS

of unused tax assets and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry-forward of unused tax assets and unused tax losses can be utilized.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilized.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

2.8.3. Intangible Assets

Software

Intangible assets acquired separately are measured on initial recognition at cost. Following the initial recognition of the intangible assets, the cost model is applied requiring the assets to be carried at cost less any accumulated amortization and accumulated impairment losses.

Intangible assets with finite lives are amortised over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortization period and the amortization method for an intangible asset with a finite useful life is reviewed at least at each financial year end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortization period or method, as appropriate, and treated as changes in accounting estimates. The amortization expense on intangible assets with

finite lives is recognized in the Statement of Comprehensive Income in the expense category consistent with the nature of the intangible asset. Amortisation commences when the assets were available for use.

The useful lives and the amortization methods of intangible assets with finite lives are as follows:

Class	Useful Life	Amortization method
Computer Software	20 years	Straight line method

Gains or losses arising from de-recognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the Statement of Comprehensive Income when the asset is derecognized.

2.8.4. Prepaid Expenditure

Expenditure which is deemed to have a benefit or relationship to more than one financial year is classified as prepaid expenditure. Such expenditure is written off over the period to which it relates, on a straight-line basis.

2.8.5. Retakaful (Reinsurance) and Contribution (Premium) Receivable

The Company cedes insurance risk in the normal course of business for all of its businesses. Reinsurance assets represent balances due from reinsurance companies. Amounts recoverable from reinsurers are estimated in a manner consistent with the outstanding claims provision or settled claims associated with the re insurer's policies and are in accordance with the related reinsurance contract.

Reinsurance assets are reviewed for impairment at each reporting date or more frequently when an indication of impairment arises during the reporting year. Impairment occurs when there is objective evidence as a result of an event that occurred after initial recognition of the reinsurance asset that the Company may not receive all outstanding amounts due under the terms of the contract and the event has a reliably measurable impact on the amounts that the Company will receive from the re insurer. The impairment loss is recorded in the Statement of Comprehensive Income.

Premiums and claims on assumed reinsurance are recognized as revenue or expenses in the same manner as they would be if the reinsurance were considered direct business, taking into account the product classification of the reinsured business.

Reinsurance liabilities represent balances due to reinsurance companies. Amounts payable are estimated in a manner consistent with the related reinsurance contract.

Premiums and claims are presented on a gross basis for both ceded and assumed reinsurance.

Reinsurance assets or liabilities are derecognized when the contractual rights are extinguished or expired or when the contract is transferred to another party.

Insurance receivables are recognized when due and measured on initial recognition at the fair value of the consideration received or receivable. The carrying value of insurance receivables is reviewed for impairment whenever events or circumstances

indicate that the carrying amount may not be recoverable, with the impairment loss recorded in the Statement of Comprehensive Income.

2.8.6. Other Assets & Receivables

Other assets & receivables are stated at their estimated realizable value.

2.8.7. Property, Plant and Equipment

Cost

The Property, Plant and Equipment are stated at cost (except for motor vehicles) less accumulated depreciation and any accumulated impairment losses.

The cost of Property, Plant & Equipment is the cost of acquisition or construction together with any expenses incurred in bringing the asset to its working condition for its intended use.

When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment.

Expenditure incurred for the purpose of acquiring, extending or improving assets of a permanent nature by means of which to carry on the business or to increase the earning capacity of the business has been treated as capital expenditure.

The motor vehicles are revalued every three years on a roll-over basis to ensure that the carrying amounts do not differ materially from the fair value at the reporting date.

An item of Property, Plant and Equipment is de-recognised upon disposal or when no future economic benefits are expected from its use. Any gain or losses arising on de-recognition of the asset is included in the Statement of Comprehensive Income in the year the asset is de-recognised.

Restoration Cost

Expenditure incurred on repairs or maintenance of Property, Plant and Equipment in order to restore or maintain the future economic benefits expected from originally assessed standard of performance, is recognised as an expense when incurred.

Depreciation

The Company provides depreciation from the date of assets are available for use up to the date of disposal on a straight - line basis over the period appropriate to the estimated useful lives of the different types of assets. Operating Leased assets if any, are depreciated over the shorter of the lease term and their useful lives unless it is reasonably certain that the Company will obtain ownership by the end of the lease term.

The estimated useful lives of Property, Plant and Equipment are as follows:

Class	Useful Life
Motor Vehicles	05 Years
Computer Equipment	05 Years
Other Equipment	05 Years
Furniture & Fittings	05 Years
Leasehold vehicle	05 Years

The Company provides depreciation from the date the assets are available for use up to the date of disposal.

2.9. Financial Investments

The Company classifies non-derivative financial assets into the following categories: financial assets at Fair Value through Profit or Loss, Loans and Receivables and Available-For-Sale financial assets.

The Company classifies non-derivative financial liabilities into the Other Financial Liabilities category.

The classification depends on the purpose for which the investments were acquired or originated. Financial assets are classified as at fair value through profit or loss where the Company's documented investment strategy is to manage financial investments on a fair value basis, because the related liabilities are also managed on this basis. The available-for-sale and held-to-maturity categories are used when the relevant liability (including shareholders' funds) is passively managed and/or carried at amortized cost.

The Company's existing types of financial instruments and their classifications are shown in the table below.

Financial Asset	Category
Equity Shares	Fair Value Through Profit or Loss and Available – for – Sale
Unit Trust	Available for Sale
Term Deposits/ Mudharaba Deposits	Loans and Receivables
Treasury Bills/ Repurchase Agreements	Loans and Receivables
Commercial Papers	Loans and Receivables
Financial Liability	Category
Other Liabilities	Other Financial Liabilities

2.9.1. Recognition of financial instruments

The Company initially recognizes loans and receivables on the date that they are originated. All other financial assets (including assets designated as at Fair Value Through Profit or Loss) are

NOTES TO THE FINANCIAL STATEMENTS

recognised initially on the trade date, which is the date that the Company becomes a party to the contractual provisions of the instrument.

Financial assets and financial liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Company has a legal right to offset the amounts and intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously.

2.9.2. Measurement

Financial assets at Fair Value Through Profit or Loss

Financial assets at fair value through profit or loss include financial assets held-for-trading and those designated at fair value through profit or loss at inception. Investments typically bought with the intention to sell in the near future are classified as held-for-trading. For investments designated as at fair value through profit or loss, the following criteria must be met.

The designation eliminates or significantly reduces the inconsistent treatment that would otherwise arise from measuring the assets or liabilities or recognizing gains or losses on a different basis; or The assets and liabilities are part of a Company of financial instruments, which are managed and their performance evaluated on a fair value basis, in accordance with a documented risk management or investment strategy.

These investments are initially recorded at fair value. Directly attributable transaction costs are recognised in Statement of Comprehensive Income as incurred. Subsequent to initial recognition, these investments are re-measured at fair value. Fair value adjustments and realized gain and loss are recognized in the Statement of Comprehensive Income.

Loans and Receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. These investments are initially recognized at cost, being the fair value of the consideration paid for the acquisition of the investment. All transaction costs directly attributable to the acquisition are also included in the cost of the investment. After initial measurement, loans and receivables are measured at amortized cost, using the effective interest rate method. Gains and losses are recognized in the Statement of Comprehensive Income when the investments are derecognized or impaired, as well as through the amortization process.

Cash and Cash Equivalents

Cash and cash equivalents are defined as cash in hand, demand deposits and short-term highly liquid investments, readily convertible to known amounts of cash and subject to insignificant risk of changes in value.

For the purpose of cash flow statement, cash and cash equivalents consist of cash in hand and deposits in banks net of outstanding bank overdrafts.

Investments with short maturities i.e. three months or less from the date of acquisition are also treated as cash equivalents. The cash flow statement has been prepared using the direct method. Interest and dividend received are classified as operating cash flows.

Available-For-Sale Financial Investments

Available-For-Sale financial assets are non-derivative financial assets that are designated as Available-For-Sale or are not classified in any of the three preceding categories.

These investments are initially recorded at fair value plus any directly

attributable transaction costs. After initial measurement, Available-For-Sale financial assets are measured at fair value. Fair value gains and losses are reported as a separate component in other comprehensive income and accumulated in the Available For Sale Reserve until the investment is derecognized or the investment is determined to be impaired.

On de-recognition or impairment, the cumulative fair value gains and losses previously reported in equity are transferred to the Statement of Comprehensive Income.

Other Financial Liabilities are non-derivative financial liabilities which are initially recognized at fair value less any directly attributable transaction costs. Subsequent to initial recognition, these liabilities are measured at amortised cost using the effective interest method.

2.9.3. Impairment of Financial Investments

Financial assets not classified as at fair value through profit or loss are assessed at each reporting date to determine whether there is objective evidence of impairment.

Objective evidence that financial assets are impaired includes:

- ❖ Default or delinquency by a debtor;
- ❖ Restructuring of an amount due to the Company on terms that the Company would not consider otherwise;
- ❖ Indications that a debtor or issuer will enter bankruptcy;
- ❖ Adverse changes in the payment status of borrowers or issuers;
- ❖ The disappearance of an active market for a security; or
- ❖ Observable data indicating that there is measurable decrease in expected cash flows from a Company of financial assets.

Assets Carried at Amortized Cost

If there is objective evidence that an impairment loss on assets carried at amortized cost has been incurred, the amount of the impairment loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not been incurred) discounted at the financial asset's original effective interest rate.

The carrying amount of the asset is reduced and the loss is recorded in the Statement of Comprehensive Income.

The Company first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant, and individually or collectively for financial assets that are not individually significant. If it is determined that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, the asset is included in a Company of financial assets with similar credit risk characteristics and that Company of financial assets is collectively assessed for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be, recognized are not included in a collective assessment of impairment. The impairment assessment is performed at each Reporting date.

If, in a subsequent period, the amount of the impairment loss decreases and that decrease can be related objectively to an event occurring after the impairment was recognized, the previously recognized impairment loss is reversed. Any subsequent reversal of an impairment loss is recognized in the Statement of Comprehensive Income, to the extent that the carrying value of the asset does not exceed its amortized cost at the reversal date.

Available-For-Sale Financial Investments

If an available-for-sale financial asset is impaired, an amount comprising the difference between its costs (net of any principal repayment and amortization) and its current fair value, less any impairment loss previously recognized in other comprehensive income, is transferred from equity to the Statement of Comprehensive Income. Reversals in respect of equity instruments classified as available-for-sale are not recognized in the Statement of Comprehensive Income.

Reversals of impairment losses on debt instruments classified at available-for-sale are reversed through the Statement of Comprehensive Income if the increase in the fair value of the instruments can be objectively related to an event occurring after the impairment losses were recognized in the Statement of Comprehensive Income.

Financial assets carried at cost

If there is objective evidence that an impairment loss has been incurred on an unquoted equity instrument that is not carried at fair value because its fair value cannot be reliably measured, or on a derivative asset that is linked to and must be settled by delivery of such an unquoted equity instrument, the amount of the impairment loss is measured as the difference between the carrying amount of the financial asset and the present value of estimated future cash flows discounted at the current market rate of return for a similar financial asset. Such impairment losses shall not be reversed.

2.9.4. De-recognition of financial instruments

A financial asset (or, when applicable, a part of a financial asset or part of a Company of similar financial assets) is derecognized when,

- ❖ The rights to receive cash flows from the asset have expired
- ❖ The Company retains the right to receive cash flows from the asset, but has assumed an obligation to pay them in full without material delay to a third party under a 'pass-through' arrangement
- ❖ The Company has transferred its rights to receive cash flows from the asset and either:
 - ❖ Has transferred substantially all the risks and rewards of the asset, or
 - ❖ Has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Company has transferred its right to receive cash flows from an asset and has neither transferred nor retained substantially all the risks and rewards of the asset nor transferred control of the asset, the asset is recognized to the extent of the Company's continuing involvement in the asset. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Company could be required to repay.

When continuing involvement takes the form of a written and/or purchased option (including cash settled option or similar provision) on the transferred asset, the extent of the Company's continuing involvement is the amount of the transferred asset that the Company may repurchase, except that, in the case of a written put option (including a cash settled option or similar provision) on an asset measured at fair value, the extent of the Company's continuing involvement is limited to the lower of the fair value of the transferred asset and the option exercise price.

NOTES TO THE FINANCIAL STATEMENTS

The Company derecognizes a financial liability when its contractual obligations are discharged or cancelled, or expire.

2.10. Investment Properties

Investment properties are measured initially at cost, including transaction costs. The carrying amount includes the cost of replacing part of an existing investment property at the time that cost is incurred if the recognition criteria are met; and excludes the costs of day to day servicing of an investment property. Subsequent to initial recognition, investment properties are stated at fair value, which reflects market conditions at the reporting date. Gains or losses arising from changes in the fair value of investment properties are included in the Statement of Comprehensive Income in the year in which they arise. Valuation of investment property by a professional valuer is carried out every year.

Investment properties are derecognized when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognized in the Statement of Comprehensive Income in the year of retirement or disposal.

Transfers are made to or from investment property only when there is a change in use. For a transfer from investment property to owner-occupied property, the deemed cost for subsequent accounting is the fair value at the date of change. If owner-occupied property becomes an investment property, the Company accounts for such property in accordance with the policy stated under property, plant and equipment up to the date of change.

2.11. Liabilities and Provisions (excluding Insurance Contracts)

Provisions (excluding Insurance Contracts)

Provisions are recognized when the Company has a present obligation (legal or constructive) as a result of a past event, where it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability. The unwinding of the discount is recognized as finance cost.

2.12. Employee Benefit Plan – Gratuity

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The liability recognized in the Financial Statements in respect of defined benefit plans is the present value of the defined benefit obligation as at the reporting date. The defined benefit obligation is calculated by a qualified actuary as at the reporting date using the Projected Unit Credit (PUC) method as recommended by LKAS 19 - 'Employee Benefits'.

However, under the payment of Gratuity Act No. 12 of 1983, the liability to an employee arises only on completion of five years of continued service. The Company is liable to pay gratuity in terms of relevant statute. In order to meet this liability, a provision is carried forward in the Statement of Financial Position.

The item is stated under Employee Benefit Liability in the Statement of Financial Position.

Recognition of Actuarial Gains and Losses

Actuarial gains or losses are recognised in the Statement of Other Comprehensive Income in the period in which they arise.

Funding Arrangements

The Gratuity liability is not externally funded.

Defined Contribution Plans – Employees' Provident Fund (EPF) & Employees' Trust Fund (ETF)

Employees are eligible for Employees' Provident Fund Contributions and Employees' Trust Fund Contributions in line with the respective statutes and regulations. The Company contributes 12 % and 3 % of gross emoluments of employees to Employees' Provident Fund and Employees' Trust Fund respectively.

Short-term employee benefits

Short-term employee benefits are expensed as the related service is provided. A liability is recognised for the amount expected to be paid if the Company has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

2.13. Impairment of Non-Financial Assets

The Company assesses at each reporting date whether there is an indication that an asset may be impaired. If any such indication exists, or when annual impairment testing for an asset is required, the Company makes an estimate of the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs to sell and its value in use and is determined for an individual asset,

unless the asset does not generate cash inflows that are largely independent of those from other assets or Company of assets. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples or other available fair value indicators.

Impairment losses of continuing operations are recognised in the Statement of Comprehensive Income in those expense categories consistent with the function of the impaired asset, except for property previously revalued where the revaluation was taken to equity. In this case the impairment is also recognised in equity up to the amount of any previous revaluation.

For assets, an assessment is made at each reporting date as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Company makes an estimate of recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognised. If that is the case the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the Statement of Comprehensive Income unless the asset is carried at revalued amount, in

which case the reversal is treated as a revaluation increase.

2.14. Takaful Contribution (Premium)

Contributions (premiums) from Family Takaful (traditional life insurance) contracts, including participating contracts and annuity policies with life contingencies, are recognised as revenue when payable by the policyholder. Benefits and expenses are provided against such revenue to recognise profits over the estimated life of the policies. Moreover, for single contribution (premium) contracts, contributions (premiums) are recorded as income when received with any excess profit deferred and recognised in income in a constant relationship to the insurance in-force or, for annuities, the amount of expected benefit payments.

Retakaful Contracts (Reinsurance Contracts)

Outward Retakaful contributions (reinsurance premiums) are recognised when payable. Retakaful (Reinsurance) recoveries are credited to match the relevant gross claims.

Claims

Death claims are recorded on the basis of notifications received. Maturities are recorded when due. Claims on participating business include profit. Claims payable include direct costs of settlement.

The interim payments (Part withdrawals) and surrenders are accounted only at the time of settlement.

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Company and the revenue and associated costs incurred or to be incurred can be reliably measured. Revenue is measured at the fair value of the consideration received or receivable net of trade discounts and sales taxes. The following specific

criteria are used for the purpose of recognition of revenue.

Technical Provisions – Family Takaful Business provision and provision for Unit Linked liabilities

The Directors agree to the Family Takaful (long term insurance) business provisions for the Company on the recommendation of reporting actuary following his annual investigation of the Family Takaful (life insurance) business.

The actuary's valuation takes into account of all liabilities including contingent liabilities and is based on the assumptions recommended by the consultant actuary.

2.15. Revenue Recognition

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Company and the revenue and associated costs incurred or to be incurred can be reliably measured. Revenue is measured at the fair value of the consideration received or receivable net of trade discounts and sales taxes. The following specific criteria are used for the purpose of recognition of revenue.

NOTES TO THE FINANCIAL STATEMENTS

Wakala Fee (Agency/Allocation Fee)

Wakala Fee (Agency/Allocation Fee) on Takaful Contribution (Insurance Premium)

The Allocation Fee is charged on contribution of Family Takaful certificates at the following rates.

❖ Family Takaful Products	- First Year	80%
	- Second Year	45%
	- Third	02%
	- Fourth Year	02%
	- Fifth & after	02%
❖ Mortgage Family Takaful (Insurance) Policies		20%
❖ Company Family Takaful (Insurance) Policies		30%

Wakala Fee (Agency/Allocation Fee) on Investment Income

The Shareholders' fund is entitled for Allocation fee of 50% on net investment income, only on Family Takaful Fund.

2.15.1. Investment Income

Income from Government Security

Interest income is recognized in the Statement of Comprehensive Income as it accrues and is calculated by using the effective interest rate method. Fees and commissions that are an integral part of the effective yield of the financial asset or liability are recognized as an adjustment to the effective interest rate of the instrument.

Dividend Income

Investment income also includes dividends when the right to receive payment is established. For listed securities, this is the date the security is listed as ex dividend.

Realised/unrealised Gains and (Losses)

Realized gains and losses recorded in the Statement of Comprehensive Income on investments include gains and losses on financial assets and investment properties. Gains and losses on the sale of investments are calculated as the difference between net sales proceeds and the original or amortized cost and are recorded on occurrence of the sale transaction.

Others

Other income consists with fund management fee, rental income and income from surpluses from re – insurers. All other income is recognized on an accrual basis.

2.16. Expenditure Recognition

Expenses are recognised in the Statement of Comprehensive Income on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the Property, Plant and Equipment in a state of efficiency has been charged to the Statement of Comprehensive Income.

Surplus refund is made only when the Fund is in a surplus and to those participants who have not made any claims during the policy period.

For the purpose of presentation of Statement of Comprehensive Income, the Directors are of the opinion that nature of expenses method presents fairly the elements of the Company's performance, and hence such presentation method is adopted.

2.17. Events after the Reporting Period

All material post reporting events have been considered and where appropriate adjustments or disclosures have been made in Note 32 to the Financial Statements.

2.18. Capital Commitments & Contingencies

Capital commitments and contingent liabilities of the Company are disclosed in the Financial Statements.

2.19. Stated Capital

Stated capital in relation to a company means the total of all amounts received by the Company or due and payable to the Company.

2.20. Current and Non-Current Classification

The Company presents assets and liabilities in statement of financial position under liquidity basis. Current non-current analysis of financial assets and liabilities are given under liquidity disclosure (Note 34.7).

3. Standards Issued but not yet Effective

The new and amended standards and interpretations that are issued up to the date of issuance of Amana Takaful Life PLC's financial statements but are not effective for the current annual reporting period, are disclosed below.

Amana Takaful Life PLC intends to adopt these new and amended standards and interpretations, if applicable, when they become effective.

3.1. SLFRS 17 Insurance Contracts:

SLFRS 17 is a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosure. Once effective, SLFRS 17 will replace SLFRS 4 Insurance Contracts (SLFRS 4) that was issued in 2005. SLFRS 17 applies to all types of insurance contracts (i.e., life, non-life, direct insurance and re-insurance), regardless of the type of entities that issue them, as well as to certain guarantees and financial instruments with discretionary participation features. The core of SLFRS 17 is the general model, supplemented by:

- ❖ A specific adaptation for contracts with direct participation features (the variable fee approach)
- ❖ A simplified approach (the premium allocation approach) mainly for short-duration contracts

SLFRS 17 is effective for annual reporting periods beginning on or after 1 January 2026, with comparative figures required. Early application is permitted, provided the entity also applies SLFRS 9 and SLFRS 15 on or before the date it first applies SLFRS 17.

3.2. International Tax Reform - Pillar Two Model Rule - Amendments to LKAS 12

The amendments to LKAS 12 introduce a mandatory exception in LKAS 12 from recognizing and disclosing deferred tax assets and liabilities related to Pillar Two income taxes. An entity is required to disclose that it has applied the exception to recognizing and disclosing information about deferred tax assets and liabilities related to Pillar Two income taxes.

The amendments are effective for annual reporting periods beginning on or after 1 January 2024.

3.3. Classification of Liabilities as Current or Non-current - Amendments to LKAS 1

Amendments to LKAS 1 relate to classification of liabilities with covenants as current or non-current. The amendments clarify that if an entity's right to defer settlement of a liability is subject to the entity complying with the required covenants only at a date subsequent to the reporting period ("future covenants"), the entity has a right to defer settlement of the liability even if it does not comply with those covenants at the end of the reporting period. The requirements apply only to liabilities arising from loan arrangements.

The amendments are effective for annual reporting periods beginning on or after 1 January 2024.

3.4. Lease Liability in a Sale and Leaseback - Amendment to SLFRS 16

The amendments to SLFRS 16 Leases specifies the requirements that a seller-lessee uses in measuring the lease liability arising in a sale and leaseback transaction, to ensure the seller-lessee does not recognize any amount of the gain or loss that relates to the right of use it retains. A seller-lessee applies the amendment retrospectively in accordance with LKAS 8 to sale and leaseback transactions entered into after the date of initial application.

The amendments are effective for annual reporting periods beginning on or after 1 January 2024.

3.5. Disclosures: Supplier Finance Arrangements - Amendments to LKAS 7 and SLFRS 7

The amendments clarify the characteristics of supplier finance arrangements and require an entity to provide information about the impact of supplier finance arrangements on liabilities and cash flows, including terms and conditions of those arrangements, quantitative information on liabilities related to those arrangements as at the beginning and end of the reporting period and the type and effect of non-cash changes in the carrying amounts of those arrangements.

The amendments are effective for annual reporting periods beginning on or after 1 January 2024.

NOTES TO THE FINANCIAL STATEMENTS

4. Intangible Assets

Year ended 31 December 2023	2023	2022
	Rs.	Rs.
Cost		
At beginning of the year	30,693,640	26,211,992
Additions during the year	135,000	4,481,648
At end of the year	30,828,640	30,693,640
Amortisation		
At beginning of the year	10,238,091	8,791,828
Amortisation charge for the year	1,541,358	1,446,263
At end of the year	11,779,449	10,238,091
Carrying Value	19,049,191	20,455,549

4.1. Acquisition of Intangible Assets During the Year

During the financial year, the Company acquired Rs. 135,000/= of Intangible Assets (Computer Software) (2022 - Rs. 4,481,648).

4.2. Fully Amortised Intangible Assets in Use

There are no intangible assets that is amortised fully as at reporting date.

4.3. Title Restriction on Intangible Assets

There are no restrictions that existed on the title of the Intangible Assets of the Company as at the Reporting Date.

4.4. Assessment of Impairment of Intangible Assets

The Board of Directors has assessed potential impairment indicators of intangible assets as at 31 December 2023. Based on the assessment, no impairment indicators were identified.

4.5. Capitalisation of Borrowing Costs

There were no capitalised borrowing costs related to the acquisition of Intangible assets during the year (2022 - Nil).

5. Property, Plant and Equipment

Year ended 31 December 2023	2023	2022
	Rs.	Rs.
Freehold Property, Plant and Equipment (Note 5.1)	19,374,245	21,318,102
	19,374,245	21,318,102

5.1. Freehold Property, Plant and Equipment

	Balance as at 01.01.2023 Rs.	Additions during the Year Rs.	Disposals during the Year Rs.	Increase/ Decrease in Revaluation Rs.	Eliminations Rs.	Balance as at 31.12.2023 Rs.
At Cost						
Motor Vehicles	12,686,937	-	(186,937)	-	-	12,500,000
Computer Equipment	13,346,772	1,752,100	-	-	-	15,098,872
Other Equipment	18,915,343	2,463,622	-	-	-	21,378,965
Furniture and Fittings	18,006,000	2,338,837	-	-	-	20,344,836
Total Value of Depreciable Assets	62,955,052	6,554,559	(186,937)	-	-	69,322,674

	Balance as at 01.01.2023 Rs.	Charge for the Year Rs.	Disposals during the Year Rs.	Increase/ Decrease in Revaluation Rs.	Eliminations Rs.	Balance as at 31.12.2023 Rs.
Accumulated Depreciation						
Motor Vehicles	2,838,604	2,478,094	-			5,316,698
Computer Equipment	8,967,759	1,466,016				10,433,775
Other Equipment	15,201,055	2,435,162				17,636,217
Furniture and Fittings	14,629,532	1,932,207				16,561,739
Total Depreciation	41,636,950	8,311,479	-	-	-	49,948,429
Carrying Amount	21,318,102					19,374,245

	Balance as at 01.01.2022 Rs.	Additions during the Year Rs.	Disposals during the Year Rs.	Increase/ Decrease in Revaluation Rs.	Eliminations Rs.	Balance as at 31.12.2022 Rs.
At Cost						
Motor Vehicles	12,500,000	186,937	-	-	-	12,686,937
Computer Equipment	10,188,222	3,158,550	-	-	-	13,346,772
Other Equipment	18,663,693	251,650	-	-	-	18,915,343
Furniture and Fittings	16,817,341	1,188,659	-	-	-	18,006,000
Total Value of Depreciable Assets	58,169,256	4,785,796	-	-	-	62,955,052

NOTES TO THE FINANCIAL STATEMENTS

	Balance as at 01.01.2022 Rs.	Charge for the Year Rs.	Disposals during the Year Rs.	Increase/ Decrease in Revaluation Rs.	Eliminations Rs.	Balance as at 31.12.2022 Rs.
Accumulated Depreciation						
Motor Vehicles	133,636	2,704,968	-	-	-	2,838,604
Computer Equipment	7,950,753	1,017,006	-	-	-	8,967,759
Other Equipment	12,097,916	3,103,139	-	-	-	15,201,055
Furniture and Fittings	12,217,696	2,411,836	-	-	-	14,629,532
Total Depreciation	32,400,001	9,236,949	-	-	-	41,636,950
Carrying Amount	25,769,256					21,318,102

5.2. Acquisition of Property, Plant and Equipment During the Year

During the financial year, the Company acquired Property, Plant and Equipment to the aggregate value of Rs. 6,554,559/- for cash consideration. (2022 Rs. 4,785,796/-).

5.3. Fully depreciated Property, Plant and Equipment in Use

Property, Plant and Equipment includes fully depreciated assets having a gross carrying amount of Rs. 37,243,982 (2022 - Rs. 20,073,298)

5.4. Title restriction on Property, Plant and Equipment

There are no restrictions that existed on the title of the Property, Plant and Equipment of the Company as at the Reporting Date.

5.5. Assessment of Impairment of Property, Plant and Equipment

The Board of Directors has assessed potential impairment indicators of Property, Plant and Equipment as at 31 December 2023. Based on the assessment, no impairment indicators were identified.

5.6. Capitalisation of Borrowing Costs

There were no capitalised borrowing costs related to the acquisition of Property, Plant and Equipment during the year (2022 - Nil).

5.7. Revaluation

In 2021, the Company's entire class of motor vehicles were revalued by De Silva Motor Engineers (Pvt) Ltd, which is a independent professional valuation organisation. Valuation was made on the basis of open market value which is the Level two in the fair value hierarchy. In carrying out such valuation market value of similar market, life and condition and year of manufacture of vehicles have been used as main inputs. The revaluation surplus was transferred to the Revaluation Reserve on 31st December 2021. The carrying amount of revalued motor vehicles that would have been included in the financial statements had the assets been carried at cost would have been as follows;

Year ended 31 December 2023	2023 Rs.	2022 Rs.
Cost	1,432,545	3,849,377
Accumulated depreciation	(1,432,545)	(2,416,832)
Carrying Value	-	1,432,545

6. Right of Use of Asset

6.1. Application of SLFRS 16 - Leases

The company recognises a right-of-use asset and a lease liability at the lease commencement date. The right of use assets of the company consist of a vehicle taken on lease which were previously recognised as finance leases under LKAS 17.

6.2. The present value of operating lease commitments has been calculated using weighted average incremental borrowing rates of the company.

6.3. The company has elected not to recognize right of use assets and lease liabilities for leases of low value assets and short term leases. The company recognizes the lease payments associated with these leases an expense on a straight line basis over the lease term.

Year ended 31 December 2023	2023			2022
	Vehicle Rs.	Property Rs.	Total Rs.	Rs.
Opening right of use lease asset as at 01st January	-	11,954,352	11,954,352	13,251,240
Addition	-	7,977,707	7,977,707	4,956,305
Elimination	-	-	-	-
Depreciation for the period	-	(7,541,547)	(7,541,547)	(6,253,193)
Closing Right of use asset as at 31 December	-	12,390,512	12,390,512	11,954,352

7. Investment Property

Year ended 31 December 2023	2023	2022
	Rs.	Rs.
Balance as at 1st January	150,550,000	147,500,000
Addition during the year	-	-
Net Gain/(Loss) from Fair Value Adjustment	450,000	3,050,000
At end of the year	151,000,000	150,550,000

During the financial year, the Amana Takaful Life PLC has incurred direct operating expenses on the investment property to the aggregate value of Rs. 195,426/- (2022 - Rs. 109,340/-) and includes a provision of Rs. 2,000,000/- for Renovation expenses for 2023 (2022 - Rs. 2,000,000/-).

Fair Value Hierarchy

The fair value of investment property was determined by external, independent property valuers, Mr. P. P. T. Mohideen (FIV, FRICS) having appropriate recognised professional qualifications and recent experience in the location and category of the property being valued. The independent valuer provides the fair value of the Company's investment property portfolio annually. The Company's entire class of investment properties were revalued on 31 December 2023.

The fair value measurement for investment property of Rs. 151,000,000/- (2022 - Rs. 150,550,000/-) has been categorised as a Level 3 fair value based on the inputs to the valuation technique used.

Valuation Technique

In determining the fair value, the current condition of the properties, further usability and associated redevelopment requirements have been considered. The Valuer has also made reference to market evidence of transaction prices for similar properties, with appropriate adjustments for size and location. The appraised fair values are approximated within appropriate range of values which are as follows :

NOTES TO THE FINANCIAL STATEMENTS

Details	Extent	Fair Value	Per Perch/	Fair Value	Per Perch/
		2023	Sq. ft. Value	2022	Sq. ft. Value
		Rs.	Rs.	Rs.	Rs.
Land	5.5 Perches	137,500,000	25,000,000 per Perch	137,500,000	25,000,000 per Perch
Building *	2,610 sq. ft	13,500,000	3,831 per sq. ft	13,050,000	3,831 per sq. ft

* The Building is one continuous block holding the address 451, Old Moor Street Colombo 12

Sensitivity

Reasonably possible changes at the reporting date to one of the relevant inputs, holding other assumptions constant, would have affected the investment property by the amounts shown below.

	31 December 2023		31 December 2022	
	Increase	Decrease	Increase	Decrease
Per Perch Value (Rs.100,000 movement)	550,000	(550,000)	550,000	(550,000)
Per square Feet (Rs.1000 movement)	2,610,000	(2,610,000)	2,610,000	(2,610,000)

8. Financial Investments

Year ended 31 December 2023	2023	2022
	Rs.	Rs.
Financial Assets at Fair Value Through Profit or Loss (Note 8.1.1)	125,126,250	159,750,000
Available-For-Sale Financial Assets (Note 8.1.2)	79,685,457	63,013,518
Loans and Receivable (Note 8.1.3)	716,830,956	826,869,526
	921,642,663	1,049,633,044

8.1. Fair Value Through Profit or Loss Investments and Available-For-Sale Investments have been valued at fair value. Loans and Receivable are valued at amortised cost.

8.1.1. Financial Investments at Fair Value Through Profit or Loss

Year ended 31 December 2023	2023	2022
	Rs.	Rs.
Investments in Gold	125,126,250	159,750,000
	125,126,250	159,750,000

8.1.2. Financial Investments at Available-For-Sale Financial Assets

Year ended 31 December 2023	2023	2022
	Rs.	Rs.
Unit Trust - Candor Balance Fund	15,886,294	14,074,263
Unit Trust - Candor Income Fund	27,743,757	17,889,963
Unit Trust - NDB Money Plus Fund	36,055,406	31,049,291
	79,685,457	63,013,518

8.1.3. Loans and Receivable

Year ended 31 December 2023	2023 Rs.	2022 Rs.
Investment in Repurchase Agreements	195,672,507	235,293,182
Mudharaba/ Fixed Term Investments	521,158,449	591,576,344
	716,830,956	826,869,526

8.1.4. Loans and receivables includes a provision of Rs. 75,658,959 (2022 - Rs. 75,658,959). The said provision will be revised upon recovery.

8.2. Investments in Government Securities are made for the purpose of meeting the requirements of the Regulation of Insurance Industry Act, No. 43 of 2000.

8.3. Fair Value Hierarchy for Assets Carried at Fair Value

The different levels have been defined as follows:

Level 1:	Quoted prices (unadjusted) in active markets for identical assets or liabilities
Level 2:	Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices)
Level 3:	Inputs for the asset or liability that are not based on observable market data (unobservable inputs)

The following table shows the fair value hierarchy of the financial assets carried at fair value.

(a) Fair Value Through Profit or Loss Financial Assets

	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.
As at 31 December 2023			
Investments in Equity Securities - Unit Linked (Note 11.1)	65,239,199	-	-
Investments in Gold	-	125,126,250	-
Investments in Gold - Unit Linked	-	110,028,750	-
	65,239,199	235,155,000	-
As at 31 December 2022			
Investments in Equity Securities - Unit Linked (Note 11.1)	62,665,261	-	-
Investments in Gold	-	159,750,000	-
Investments in Gold - Unit Linked	-	51,750,000	-
	62,665,261	211,500,000	-

NOTES TO THE FINANCIAL STATEMENTS

(b) Available For Sale Financial Assets

	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.
As at 31 December 2023			
Unit Trust	-	79,685,457	-
Unit Trust - Unit Linked (Note 11.2)	-	39,542,958	-
	-	119,228,415	-
As at 31 December 2022			
Unit Trust	-	63,013,518	-
Unit Trust - Unit Linked (Note 11.2)	-	34,161,002	-
	-	97,174,520	-

The fair value of unit trust directly obtained from the unit trust market and categorized under level two, based on the expanded level of the market. The company used average unit price of Rs.16.27 and Rs.17.52 respectively for unit Linked and non Unit Linked investments as at 31 December 2023.

The following financial instruments not measured at fair value are financial instruments for which their carrying amounts are a reasonable approximation of fair value, because for example, they are short - term in nature or repriced to current market rates frequently.

Year ended 31 December 2023	2023 Rs.	2022 Rs.
Carrying Amount		
Financial assets		
Loans and Receivable	716,830,956	826,869,526
Loans and Receivable - Unit Linked	2,820,189,743	2,276,670,724
Retakaful (Reinsurance) Receivables	32,720,572	-
Contribution (Premium) Receivables	34,320,741	37,975,619
Other Assets	37,549,031	21,797,404
Cash and Bank Balances	38,933,558	46,507,026
Cash and Bank Balances - Unit Linked	13,609,555	15,841,002
Financial liabilities		
Lease Liability	13,687,013	13,039,310
Other Liabilities - Unit Linked	113,248,441	56,654,969
Other Liabilities	58,438,025	83,228,525

9. Contribution (Premium) Receivable

Year ended 31 December 2023	2023 Rs.	2022 Rs.
Contribution (Premiums) Receivable from Participants	34,320,741	37,975,619
	34,320,741	37,975,619

10. OTHER ASSETS

Year ended 31 December 2023	2023	2022
	Rs.	Rs.
Financial Assets (Note 10.1)	37,549,031	21,797,404
Non Financial Assets (Note 10.2)	24,050,974	19,460,549
	61,600,005	41,257,953
10.1. Financial Assets		
Other Receivables	37,549,031	21,797,404
	37,549,031	21,797,404
10.2. Non Financial Assets		
Advances and Prepayments	24,050,974	19,460,549
	24,050,974	19,460,549

11. Financial Investments - Unit Linked

Year ended 31 December 2023	2023	2022
	Rs.	Rs.
Fair Value Through Profit or Loss (Note 11.1)	175,267,949	114,415,261
Available-For-Sale (Note 11.2)	39,542,958	34,161,002
Loans and Receivable (Note 11.3)	2,820,189,743	2,276,670,724
	3,035,000,650	2,425,246,987
11.1. Fair Value Through Profit or Loss		
Investment in Equity Securities (Note 11.3.1)	65,239,199	62,665,261
Investments in Gold	110,028,750	51,750,000
	175,267,949	114,415,261
11.2. Available-For-Sale		
Unit Trust-Candor Income Fund	39,542,958	34,161,002
	39,542,958	34,161,002
11.3. Loans and Receivable		
Investment in Repurchase Agreements	95,086,651	60,612,070
Fixed Term Investments	2,725,103,092	2,216,058,654
	2,820,189,743	2,276,670,724

NOTES TO THE FINANCIAL STATEMENTS

11.3.1. Investment in Equity Securities

	2023		2022	
	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.
At Fair Value Through Profit or Loss				
Tokyo Cement Company Lanka PLC	269,800	10,252,400	90,000	2,340,000
Teejay Lanka PLC	250,000	9,075,000	293,000	9,288,100
Dialog Telekom PLC	860,000	7,740,000	960,000	8,160,000
Hemas Holdings PLC	100,000	6,670,000	100,000	5,640,000
Chevron Lubricants Lanka PLC	69,995	6,320,549	63,995	6,175,518
Ceylon Grain Elevators PLC	35,681	5,655,439	43,141	3,472,851
Lanka Wall Tile PLC	76,613	3,233,069	225,000	11,587,500
Expolanka Holdings PLC	13,668	1,957,941	35,668	6,500,493
ACL Cables PLC	65,000	4,472,000	-	-
Bairaha Farms PLC	22,973	4,261,492	-	-
Kelani Valley Plantations PLC	31,856	2,312,746	-	-
Sri Lanka Telecom PLC	18,019	1,673,965	-	-
Amana Bank PLC	702,000	1,614,600	-	-
Hayleys MGT Knitting Mills PLC (Hayleys Fabric PLC)	-	-	250,000	5,650,000
Lanka Milk Foods (CWE) PLC	-	-	30,000	3,712,500
Lanka Tiles PLC	-	-	3,000	138,300
	2,515,605	65,239,199	2,093,804	62,665,261

12. Cash and Cash Equivalents in Statement of Cash Flows

12.1. Components of Cash and Cash Equivalents

Year ended 31 December 2023	2023	2022
	Rs.	Rs.
Cash and Bank Balances	38,933,558	46,507,026
Cash and Bank Balances - Unit Linked	13,609,555	15,841,002
Investments in Government Securities	290,664,368	52,207,212
	343,207,481	114,555,240

13. Insurance Contract Liabilities

	2023 Rs.	2022 Rs.
Insurance Contract Liability	3,204,045,891	2,707,180,858
Surplus of the Fund	70,649,217	123,092,039
Total Insurance Contract Liability (Note 13.1, Note 13.2)	3,274,695,108	2,830,272,897
13.1. Insurance Contract Liabilities - Family Takaful Fund		
Participant Investment Fund (PIF)	208,445,775	268,062,321
Participant Tabarru Fund (PTF) & Group Fund (GF)	90,463,219	83,700,266
Unearned Premium - Group Family Takaful	5,442,494	4,930,629
	304,351,488	356,693,216
13.2. Insurance Contract Liabilities - Unit Linked		
Unit Fund - Unit Linked	2,900,735,476	2,397,614,669
Participant Tabarru Fund & Group Fund - Unit Linked	69,608,144	75,965,012
	2,970,343,620	2,473,579,681
13.3. The movement in the Life Insurance Fund is as follows:		
Balance as at 1 January	2,830,272,897	2,547,079,285
Net Change in Contract Liabilities	444,422,211	283,193,611
Balance as at 31 December	3,274,695,108	2,830,272,897

13.3.1. Movement in Takaful Contract Liabilities

The movement of Takaful Contract Liabilities are summarized in the table below by measurement category.

	Takaful Contract Liabilities	
	Gross	Net
As at 31 December 2022	2,734,263,000	2,707,955,000
Reserve Unwinding	(4,261,000)	(3,223,000)
Experience variance	(14,962,000)	(10,799,000)
Change in valuation basis (Methodology)	-	-
Change in valuation basis (Assumptions)	8,836,000	9,012,000
New Business	20,321,000	18,431,000
Others	482,630,000	482,671,000
As at 31 December 2023	3,226,827,000	3,204,047,000

NOTES TO THE FINANCIAL STATEMENTS

13.3.2. Movement in Operation Fund

The movement of the Operation Fund is summarized in the table below by measurement category.

	Takaful Contract Liabilities	
	Gross	Net
As at 31 December 2022	14,176,000	14,176,000
Reserve Unwinding	(2,865,000)	(2,865,000)
Experience variance	(2,125,000)	(2,125,000)
Change in valuation basis (Methodology)		-
Change in valuation basis (Assumptions)	2,507,000	2,507,000
New Business	521,000	521,000
Others	269,000	269,000
As at 31 December 2023	12,483,000	12,483,000

13.4. The insurance provision has been based upon the following assumptions and other information.

13.4.1. Actuarial Assumptions

Valuation Interest Rate

For Participant Tabarru Fund (PTF) of Family Takaful and Unit Linked business, the company has chosen Valuation Interest Rates of 5.6%p.a. and 9.4%p.a. respectively, which is net of Mudharaba sharing of investment returns with the Takaful Operator. For Mortgage Fund, Valuation Interest Rate of 7.9%p.a. is used which is based on the average of the last 5 years yield of the fund whereas for the Takaful Operator's Fund, Valuation Interest Rate equivalent to the risk-free yield is assumed.

Mortality and Morbidity Assumption

The Company has used the standard table SLA07/09 based on the Sri Lanka Assured Lives Mortality Study Report 2013 from Munich Re to calculate the best estimate assumptions for mortality due to insufficient in-house mortality and morbidity experience. The Total Permanent Disability (TPD) rates are assumed to be 10% of mortality rates and other morbidity rates are assumed as Retakaful rates. The risk margin loading factors assumed for mortality and morbidity are +/- 10% and +/- 20% respectively.

Lapse Assumption

Lapse rate assumptions are based on a combination of the company's experience for early durations as well as industry experience in Sri Lanka. The company has used different lapse assumptions for each product to suit the specific nature of the product and business. A different lapse rate assumption has been used for single contribution as they are likely to exhibit different lapse experiences. The risk margin loading factor assumed for lapses is +/-20% for both regular and single contribution plans.

Expense Assumption

The company performed the expense study internally where the expenses are allocated to acquisition and maintenance expenses as well as variable and fixed expenses based on the best representation of actual cost. The variable expenses are linked to contribution amount whereas the fixed expenses are expressed as a per policy expense. Further, the maintenance expenses assumptions were derived assuming that 50.8% of the variable expenses and 15.3% of the fixed expenses will be charged to the PTF for Family Takaful and Unit - Linked business. The risk margin loading factor assumed for expenses is +10%.

Bonus Assumption

No guarantees apply to any of the Takaful funds, and all funds except the unit fund and the mortgage fund are subject to sharing of investment income between the certificate holders and the Takaful Operator.

13.4.2. Other Information

The valuation of the Insurance Provisions (Family Takaful Fund), as at 31 December 2023 was made by Mr. Zainal Abidin Mohd. Kassim (FIA) for and on behalf of Actuarial Partners Consulting Sdn Bhd, Malaysia.

In the opinion of the consultant actuary, the provision is adequate to cover the liabilities pertaining to Long Term Insurance (Family Takaful) Fund. It is not required to perform a valuation on the Participating Investment Fund since it represents just the accumulation of investments made by the policy holders, with no guaranteed returns.

13.5. Liability Adequacy Testing (LAT)

A Liability Adequacy Test ("LAT") for Life Insurance contract Liability was carried out by Mr. Zainal Abidin Mohd. Kassim (FIA) for and on behalf of Actuarial Partners Consulting Sdn Bhd, Malaysia as at 31 December 2023 as required by SLFRS 4 - Insurance Contracts. According to the Consultant Actuary's report, assets are sufficiently adequate as compared to the sum of the discounted cash flow reserves and any further additional reserves as at 31 December 2023.

14. Employee Benefits

Year ended 31 December 2023	2023 Rs.	2022 Rs.
Employee Benefits - Gratuity		
At beginning of the year	10,820,935	13,614,072
Net Benefit Expense (Note 14.1)	2,770,050	(120,145)
	13,590,985	13,493,927
Payments during the year	(894,053)	(2,672,992)
At end of the year	12,696,932	10,820,935
14.1. Net Benefit Expense		
Included in Statement of Comprehensive Income		
Interest Cost	2,066,798	1,388,635
Current Service Cost	1,521,868	1,804,065
Gain / Loss (due to change in assumptions)	-	(2,436,368)
	3,588,666	756,332
Included in Other Comprehensive Income		
Actuarial Gain on Obligations	(818,616)	(876,477)
	(818,616)	(876,477)
Net Benefit Expense	2,770,050	(120,145)

The gratuity liability was actuarially valued under the Projected Unit Credit Cost method by Mr. Piyal S. Goonetilleke (Fellow of the Society of Actuaries - USA) in 2023 as requires by LKAS 19, Employee Benefits.

Principal actuarial assumptions used :

	2023	2022
a) Discount Rate % per Annum	13.8	19.1
b) Salary Increase % per Annum	5	9.5
c) Incidence of Withdrawals	5	8
d) Expected Average Future Working Life of the Active Participants	5.4 Years	5.3 Years

NOTES TO THE FINANCIAL STATEMENTS

Demographic Assumption

	2023	2022
e) Retirement age	60 Years	60 Years
f) Mortality rates	GA 1983 Mortality Table	GA 1983 Mortality Table

The liability is not externally funded.

14.2. Sensitivity

Reasonably possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant, would have affected the defined benefit obligation by the amounts shown below.

	31 December 2023		31 December 2022	
	Increase	Decrease	Increase	Decrease
Discount rate (1% movement)	(428,094)	466,750	(349,131)	378,893
Future salary growth (1% movement)	500,295	(464,706)	408,295	(380,640)

Although the analysis does not take account of the full distribution of cash flows expected under the plan, it does provide an approximation of the sensitivity of the assumptions shown.

15. Subordinated Debt

As at 31st December	2023 Rs.	2022 Rs.
Unsecured Subordinated Debt	108,532,396	122,612,346
	108,532,396	122,612,346

15.1. Subordinated Debt

	2023			
	Amount USD	Amount Rs.	Profit Rate	Maturity Date
Subordinated Debt	175,000	56,696,028	6.0%	30 December 2023
Subordinated Debt	110,000	35,637,503	6.0%	20 March 2024
Subordinated Debt	50,000	16,198,865	6.0%	24 June 2024
		108,532,396		

15.2. Subordinated Debt

	2022			
	Amount USD	Amount Rs.	Profit Rate	Maturity Date
Subordinated Debt	175,000	64,051,225	6.0%	30 December 2023
Subordinated Debt	110,000	40,260,770	6.0%	20 March 2024
Subordinated Debt	50,000	18,300,350	6.0%	24 June 2024
		122,612,346		

16. Other Liabilities - Unit Linked

Year ended 31 December 2023	2023	2022
	Rs.	Rs.
Financial Liabilities (Note 16.1)	113,248,441	56,654,969
Non - Financial Liabilities (Note 16.2)	73,005,298	62,275,368
	186,253,739	118,930,337
16.1. Financial Liabilities		
Retakaful Payable	113,248,441	56,654,969
16.2. Non - Financial Liabilities		
Advances	68,044,581	52,281,182
Other Creditors	4,960,717	9,994,187
	73,005,298	62,275,368

17. Other Liabilities

Year ended 31 December 2023	2023	2022
	Rs.	Rs.
Financial Liabilities (Note 17.1)	58,438,025	83,228,525
Non - Financial Liabilities (Note 17.2)	74,831,182	98,019,971
	133,269,207	181,248,496
17.1. Financial Liabilities		
Commission Payable	27,568,297	22,645,423
Retakaful Payable	30,869,728	49,831,071
Amount Due to a Related Party - Amana Takaful PLC	-	10,752,031
	58,438,025	83,228,525
17.2. Non - Financial Liabilities		
Accrued Liabilities	19,097,180	19,247,734
Other Creditors	55,734,002	78,772,237
	74,831,182	98,019,971

NOTES TO THE FINANCIAL STATEMENTS

18. Lease Liability

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the Ijarah rate implicit in the lease or, if that rate can not be readily determined, the Group's incremental borrowing rate. The movement of Lease creditor for the period is as follows,

	2023		2022
	Property Rs.	Total Rs.	Rs.
Opening lease Creditor as at 01st January	13,039,310	13,039,310	14,209,487
Addition	7,977,707	7,977,707	4,956,305
Expense recognised in Profit or Loss	2,237,596	2,237,596	1,201,018
Settlement through lease payment	(9,567,600)	(9,567,600)	(7,327,500)
Lease Liability	13,687,013	13,687,013	13,039,310

	1 Year or less Rs.	2-5 Years Rs.	Total Rs.
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Maturity Analysis

Gross Liability	7,603,000	9,754,500	17,357,500
Unamortised Profits	(1,675,451)	(1,995,036)	(3,670,487)
Net Liability	5,927,549	7,759,464	13,687,013

19. Stated Capital

	2023	2022
Fully Paid Ordinary Shares -Voting (Rs.)	500,000,000	500,000,000
No of Ordinary Shares - Voting	50,000,000	50,000,000

All issued shares carry equal voting rights. The holders of ordinary shares are entitled to receive dividends as declared from time to time, and are entitled to one vote per share at meetings of the Company.

20. Other Reserves

Reserves consists of the following :

20.1. Available For Sale Reserve

The Available For Sale Reserve comprises the cumulative net change in the fair value of Available For Sale financial assets until the assets are derecognized or impaired.

20.2. Life Policyholders' Reserve Fund

The Life Policyholder Reserve Fund includes the fair value changes recorded under Other Comprehensive Income in respect of Available For Sale financial assets related to Family Takaful Fund.

20.3. Revaluation Reserve

The Revaluation Reserve relates to the revaluation of motor vehicles under property, plant and equipment.

21. Gross Written Contribution (Premium)

Year ended 31 December 2023	2023	2022
	Rs.	Rs.
Unit Linked	1,082,962,109	998,130,229
Family Takaful	23,216,117	30,945,389
Mortgage and Group Family Takaful	44,478,131	31,701,961
	1,150,656,357	1,060,777,579

22. Income From Investments

Year ended 31 December 2023	2023	2022
	Rs.	Rs.
Investment Income (Note 22.1)	614,921,866	383,418,592
Unrealised Capital Gain- Fair Value Through Profit or Loss Investments	12,104,189	1,602,770
Net Realised Capital (Losses) or Gain - Fair Value Through Profit or Loss Investments	(4,810,626)	21,819,755
	622,215,429	406,841,117

22.1. Investment Income

Year ended 31 December 2023	2023	2022
	Rs.	Rs.
Dividend Income	3,140,748	5,096,982
Income from Mudharaba/ Fixed Term Investments	560,434,193	342,652,563
Income from investment in Government Securities	51,346,925	35,669,046
	614,921,866	383,418,592

23. Other Income

Year ended 31 December 2023	2023	2022
	Rs.	Rs.
Fund Management Fee Income	30,940,123	25,781,187
Fees & Charges	10,495,251	8,515,272
Rental Income	4,000,500	4,200,000
Exchange Gain	2,657,190	1,890,840
Net Change in Fair value of Investment Property	450,000	3,050,000
	48,543,064	43,437,299

24. Takaful (Insurance) Claims and Benefits (Net)

Year ended 31 December 2023	2023	2022
	Rs.	Rs.
Claims Incurred	52,599,449	60,637,441
Surrenders	377,185,938	360,385,986
Policy Maturities	100,033,512	68,914,311
Interim Payments/Part withdrawals	36,774,447	28,831,043
Long Term Insurance Claims & Benefits	566,593,346	518,768,780

NOTES TO THE FINANCIAL STATEMENTS

25. Other Operating and Administration Expenses

Year ended 31 December 2023	2023	2022
	Rs.	Rs.
Staff Expenses (Note 25.1)	277,393,295	236,432,912
Administration & Establishment Expenses	204,345,704	157,978,480
Selling Expenses	39,087,036	23,270,116
Depreciation (Note 05)	8,311,479	9,067,978
Depreciation ROU (Note 06)	7,541,547	6,253,193
Consultancy Fees	2,148,087	1,728,147
	538,827,148	434,730,828

25.1. Staff Expenses

Year ended 31 December 2023	2023	2022
	Rs.	Rs.
Wages, Salaries, Travel & Bonuses	244,522,051	214,611,380
Contribution to defined contribution plans - EPF & ETF	10,390,925	9,079,684
Staff welfare	7,554,584	4,316,313
Staff training	5,437,220	3,377,571
Medical claims	5,899,849	4,291,633
Employee Benefit/Gratuity (Note 14.1)	3,588,666	756,332
	277,393,295	236,432,912

26. Finance Cost

Year ended 31 December 2023	2023	2022
	Rs.	Rs.
Extended Wakala Profit	6,880,451	9,137,001
Profit Mark up on Lease (Ijara) Facility	2,119,929	115,800
	9,000,380	9,252,801

27. Profit/Loss From Operations for the Year is stated after charging the following :

Year ended 31 December 2023	2023	2022
	Rs.	Rs.
Directors' Emoluments - Executive	-	-
- Non - Executive	5,512,100	3,549,525
Auditors' Remuneration - Audit	2,284,590	2,022,720
- Audit Related Other	501,308	455,735
- Non - Audit	666,889	520,136
Depreciation	15,853,025	15,490,142
Amortisation of Intangibles	1,541,358	1,446,263

28. Income Tax Expense

Amana Takaful Life PLC is liable for income tax at 30% on the taxable income for the year of assessment 2023/2024 (2022/2023 - 30%).

28.1. Tax Reconciliation Statement

Year ended 31 December 2023	2023 Rs.	2022 Rs.
Investment Income of the Share Holder Fund	74,007,438	40,099,096
Surplus Distributed to Shareholders from Life Insurance Policy Holders	Nil	Nil
Surplus Distributed to Policy Holders	Nil	Nil
Expenses relating to Investment Income of the Share Holder Fund	(21,277,613)	(9,916,260)
Loss Brought forward - 100% of below	(52,729,825)	(30,182,836)
Assessable/Taxable Income	-	-

Unrecognised deferred tax asset

Deferred Tax Asset / (Liability) is attributable to the following;

	2023		2022	
	Temporary Difference Rs.	Tax Effect Rs.	Temporary Difference Rs.	Tax Effect Rs.
On Retirement Benefit Obligations	12,696,932	3,809,080	10,820,935	3,246,281
On Life Policyholders' Reserve Deficit	(35,044,545)	(10,513,363)	(19,490,650)	(5,847,195)
Accumulated Tax losses	756,254,617	226,876,385	808,984,442	242,695,333
	733,907,004	220,172,102	800,314,727	240,094,418

Deferred tax asset of Rs. 220,172,101 (2022: Rs. 240,094,418) as at 31 December 2023 arising out of the above temporary differences has not been recognised since it is not probable that future taxable profits will be available against which the company can utilise the benefits therefrom.

28.2 Income Tax Assessment Relating to Years of Assessment 2015/2016, 2016/2017, 2017/2018 & 2019/2020

The Department of Inland Revenue has raised an assessment for the following years of assessment

- ✦ Year of Assessment 2015/2016: assessing the Life Insurance business to pay an income tax liability of 26,552,513 and the company has lodged a valid appeal against the said assessment.
- ✦ Year of Assessment 2016/2017: assessing the Life Insurance business to pay an income tax liability of 42,250,180 and the company has lodged a valid appeal against the said assessment.
- ✦ Year of Assessment 2017/2018: assessing the Life Insurance business to pay an income tax liability of 51,028,443 and the company has lodged a valid appeal against the said assessment.
- ✦ Year of Assessment 2019/2020: assessing the Life Insurance business to pay an income tax liability of 4,673,577 and the company has lodged a valid appeal against the said assessment.

NOTES TO THE FINANCIAL STATEMENTS

29. Earnings Per Share

29.1. Basic Earnings Per Share is calculated by dividing the profit for the year attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding during the year.

29.2. The following reflect the income and share data used in the Basic Earnings Per Share computations.

Year ended 31 December 2023	2023	2022
	Rs.	Rs.
Amount used as the Numerator:		
Profit for the year	50,319,475	54,090,731
Number of Ordinary Shares used as Denominator:		
Weighted Average Number of Ordinary Shares in Issue	50,000,000	50,000,000
Earnings Per Share	1.01	1.08

29.3. There were no potential dilutive ordinary shares outstanding at any time during the year. Therefore, Diluted Earning Per Share is same as Basic Earnings Per Share shown above.

30. Related Party Disclosures

The Company carries out transactions in the ordinary course of its business with parties who are defined as related parties in Sri Lanka Accounting Standard (LKAS) 24 - "Related Party Disclosures". Transactions with related parties were made on the basis of the price lists in force with non-related parties, but subject to approved discounts. Outstanding balances with related parties as at the reporting date are unsecured and interest free. Settlement will take place in cash. Such outstanding balances have been included under respective assets and liabilities. These transactions are reviewed by related party transaction committee on frequent basis. Details of related party transactions are reported below :

The Company carried out following transactions with related parties in the ordinary course of its business on an arm's length basis at commercial rates during the year.

(A) Transactions and Outstanding Balances with the Related Companies

Relationship	Nature of Transactions and Outstanding Balances	2023	2022
		Rs.	Rs.
Parent	Shared Cost	83,837,099	69,692,229
	Takaful Premium	867,782	9,118,986
	Takaful Premium Received	771,221	634,679
	Shared Cost Settlements	94,589,130	58,940,199
	Current Account Balance (Net)	-	10,752,031

Shared Cost refers to the value of expenses paid by the Parent Company on behalf of Amana Takaful Life PLC on the shared cost as reimbursements. The subsequent settlement by Amana Takaful Life PLC is recorded as Shared Cost Settlements.

(B) Compensation of Key Management Personnel

According to Sri Lanka Accounting Standard (LKAS) 24 - "Related Party Disclosure", Key Management Personnel (KMP) are those having authority and responsibility for planning, directing and controlling the activities of the entity. Accordingly, the Directors (including Executive and Non-Executive Directors) of the Company and its parent have been classified as Key Management Personnel of the Company.

The Company carries out transactions with KMPs & their close family members in the ordinary course of its business on an arms length basis at commercial rates.

The Company has made following payments to key management personnel during the year.

Year ended 31 December 2023	2023 Rs.	2022 Rs.
Salary and other short term benefits	15,756,728	14,601,153
Contributions made by the company to EPF And ETF	-	341,531
Non cash benefits	1,320,000	1,140,000
	17,076,728	16,082,685

31. Commitments and Contingencies

31.1. Commitments

The Company does not have significant capital commitments as at the reporting date.

31.2. Contingencies

The Company does not have significant contingencies as at the reporting date.

32. Events Occurring After the Reporting Period

Accounting policy

Events after the reporting period are those events, favourable and unfavourable that occur between the reporting date and the date when the financial statements are authorised for issue.

All material post reporting date events have been considered and where appropriate, adjustments or disclosures have been made in the respective notes to the financial statements.

There have been no material events occurring after the reporting date that require adjustments to or disclosure in the financial statements.

33. Assets Pledged

Nature of Assets	Nature of Liability	Included Under	Carrying Amount Pledge	
			2023	2022
Fixed Term Investments/ Mudharaba	Bank Guarantee for Tax Appeal Commission	Financial Investments	1,909,629	1,909,629
Fixed Term Investments/ Mudharaba	Bank Guarantee for Tax Appeal Commission	Financial Investments	-	1,600,563

NOTES TO THE FINANCIAL STATEMENTS

34. Risk Management Control

34.1. Overview

All entities face uncertainty and the challenge for the Company is to determine how much uncertainty to accept as it strives to grow stakeholder value. Uncertainty presents both risk and opportunity, with the potential to erode or enhance value. Primarily, risk management framework enables management to effectively deal with uncertainty and associated risk and opportunity, enhancing the capacity to build value.

34.2. Risk Management Framework

Amana Takaful Life PLC risk management framework forms an integral part of the management and Board processes and decision-making framework across the Company. The Company has a robust Enterprise Risk Management Framework to mitigate the identified risks exposed at multiple levels of the operation. We believe, while having the Governance practices and the Standard Operating Procedures (SOP's), having the right people at the right place will mitigate more than half the risks.

However, the Board of Directors has the overall responsibility for the establishment and oversight of the Company's risk management framework and thus, their approval is necessary for the Risk management Strategies. The Company's Risk Management Framework categorized into four lines of defense as follows:

1. **Front Line People** - Risk awareness of the people in the front line is the first line of defense.
2. **Policies and Procedures** - the Standard Operating Procedures will mitigate the risks at operational level.
3. **Key Personnel** - Appointing key personnel at the key positions will assist mitigating through right decision making and approval controls at senior management level.
4. **Governance** - the governance practices to mitigate the risks at Board level.

The Board has appointed a Subcommittee (Board Risk Committee) to monitor closely the affairs of Risk Management of the company.

This section discusses the salient features of the risks exposed by the Company in terms of financial instruments and other areas as an insurance Company. The Financial instruments of the Company are exposed to the following Risks.

1. Financial Risk
2. Credit Risk
3. Market Risk
4. Insurance Risk
5. Liquidity Risk

34.3. Financial Risk

34.3.1. Capital Management

a. Objectives and policies

The Company has established the following capital management objectives, policies and approaches to manage the risks that affect its capital position:

- ❖ Optimize capital utilization within the regulatory guidelines.
- ❖ To maintain the required level of solvency of the Company, thereby providing a degree of security to policyholders.
- ❖ To allocate capital efficiently and support the development of business by ensuring that returns on capital employed meets the requirements of its shareholders, policyholders and other stakeholders.
- ❖ To retain financial flexibility by maintaining strong liquidity
- ❖ To align the profile of assets and liabilities taking account of risks inherent in the business

The Company currently has stated capital worth Rs 500Mn which is the minimum regulatory requirement of the Insurance Regulatory Commission of Sri Lanka (IRCSL). Operations of the Company are also subject to statutory requirements of the IRCSL (Capital, investments, solvency etc.,) of which adaptations are made to internal processes from time to time as and when regulations are amended. Such regulations not only prescribe approval and monitoring of activities, but also impose certain restrictive provisions on events such as capital adequacy and solvency to minimize the risk of default and insolvency on the part of the insurance companies to meet unforeseen liabilities.

b. Approach to capital management

Capitals of all investments are maintained strictly within the investment guidelines of the Insurance Regulatory Commission of Sri Lanka (IRCSL). This primarily helps the Company to maintain the required levels of solvency at all the times at different funds. In meeting the objectives mentioned above, the Capital management and asset allocation decisions are reviewed and approved by the Executive Committee and the Board Investment Committee which meet regularly on a monthly basis. The Board Investment Committee operates under clear terms of reference to thoroughly analyze the new investment proposals, review the past performance and provide guidance in terms of future investments and movements of assets.

34.4. Credit Risk

Credit risk is the risk that one party to a financial instrument will cause a financial loss to the other party by failing to discharge an obligation.

How credit risk could arise

1. Premium Receivable
2. Re-Insurance Receivable
3. Financial Investments
4. Bank Balances
5. Other Financial Assets

The following policies and procedures are in place to mitigate the Company's exposure to credit risk:

- ✦ The Company has a stringent credit policy and a detailed SOP outlining the authority and approval limits to manage credit granted to customers.
- ✦ All Re-insurers are selected based on the ratings as required by IRCSL.
- ✦ The investment committee evaluates the exposure and the new investments in instruments in order to reduce the risks.
- ✦ The executive committee regularly reviews the credit position of the company i.e. out-standings and over-dues. In addition the company also ensures that there are sufficient provisions created in the case of doubtful debts.

NOTES TO THE FINANCIAL STATEMENTS

34.4.1. Credit Exposure

The Company's maximum exposure to credit risk for the components of the statement of financial position at 31 December 2023 is the carrying amounts of respective financial instruments.

Year ended 31 December 2023	2023	2022
	Rs.	Rs.
Financial Assets		
Fair Value through Profit or Loss		
Investment in Equity Securities - Unit Linked	65,239,199	62,665,261
Investments in Gold	125,126,250	159,750,000
Investments in Gold - Unit Linked	110,028,750	51,750,000
Available for Sale Financial Assets		
Unit Trust	79,685,457	63,013,518
Unit Trust - Unit Linked	39,542,958	34,161,002
Loans & Receivables		
Mudhrabha Investments	521,158,449	591,576,344
Repurchase Agreements	195,672,507	235,293,182
Mudhrabha Investments - Unit Linked	2,725,103,092	2,216,058,654
Repurchase Agreements - Unit Linked	95,086,651	60,612,070
Other Financial Assets		
Retakaful (Reinsurance) Receivables	32,720,572	-
Contribution (Premium) Receivables	34,320,741	37,975,619
Other Assets	37,549,031	21,797,404
Cash and Cash Equivalents	38,933,558	46,507,026
Cash and Cash Equivalents - Unit Linked	13,609,555	15,841,002
Total Financial Assets	4,113,776,769	3,597,001,081

34.4.1. Credit Exposure

	Neither Past due nor Impaired Rs.	Past due but not Impaired Rs.	Individually Impaired Rs.	As at 31 December 2023 Rs.
Financial Assets				
Fair Value through Profit or Loss				
Investment in Equity Securities-Unit Linked	65,239,199	-	-	65,239,199
Investments in Gold	125,126,250			125,126,250
Investments in Gold - Unit Linked	110,028,750			110,028,750
Available-for-Sale Financial Investments				
Unit Trust	79,685,457	-	-	79,685,457
Unit Trust - Unit Linked	39,542,958			39,542,958
Loans & Receivables				
Mudhrabha Investments	521,158,449	-	-	521,158,449
Repurchase Agreements	195,672,507	-	-	195,672,507
Mudhrabha Investments - Unit Linked	2,725,103,092	-	-	2,725,103,092
Repurchase Agreements - Unit Linked	95,086,651	-	-	95,086,651
Other Assets Exposed to Credit Risk				
Retakaful (Reinsurance) Receivables	32,720,572	-	-	32,720,572
Contribution (Premium) Receivables	34,320,741	-	-	34,320,741
Other Assets	37,549,031	-	-	37,549,031
Cash and Cash Equivalents	38,933,558	-	-	38,933,558
Cash and Cash Equivalents - Unit Linked	13,609,555	-	-	13,609,555
Total Credit Exposure	4,113,776,769	-	-	4,113,776,769

NOTES TO THE FINANCIAL STATEMENTS

	Neither Past due nor Impaired Rs.	Past due but not Impaired Rs.	Individually Impaired Rs.	As at 31 December 2022 Rs.
Financial Assets				
Fair Value through Profit or Loss				
Investment in Equity Securities-Unit Linked	62,665,261	-	-	62,665,261
Investments in Gold	159,750,000			159,750,000
Investments in Gold - Unit Linked	51,750,000			51,750,000
Available-for-Sale Financial Investments				
Unit Trust	63,013,518	-	-	63,013,518
Unit Trust-Unit Linked	34,161,002			34,161,002
Loans & Receivables				
Mudhrabha Investments	591,576,344	-	-	591,576,344
Repurchase Agreements	235,293,182	-	-	235,293,182
Mudhrabha Investments - Unit Linked	2,216,058,654	-	-	2,216,058,654
Repurchase Agreements - Unit Linked	60,612,070	-	-	60,612,070
Other Assets Exposed to Credit Risk				
Contribution (Premium) Receivable	37,975,619	-	-	37,975,619
Other Assets	21,797,404	-	-	21,797,404
Cash and Cash Equivalents	46,507,026	-	-	46,507,026
Cash and Cash Equivalents - Unit Linked	15,841,002	-	-	15,841,002
Total Credit Exposure	3,597,001,081	-	-	3,597,001,081

34.5. Market Risk

Market risk involves all the fluctuations in the demand and supply forces in the capital and insurance markets for the company. The capital market forces determine interest rates, equity prices, yield on other investment assets, while the market forces in the insurance market determines the net premiums and gross premium values. Further, prices of goods and services in general i.e. inflation, determines the cost of administration.

34.5.1. Equity Risk

Listed equity investments are prone to market risk arising from uncertainties faced in the future values of the securities. In order to diversify its risk the company has a diversified investment policy based on fundamental analysis which has helped balance the uncertainty faced. It is also notable that the company invests only in sound fundamental value giving investments to the company greater security in its invested equity securities.

	Equity Exposure			
	2023		2022	
Unitized Fund	Exposure (Rs.)	Sector Weight	Exposure (Rs.)	Sector Weight
Capital Goods	14,375,069	22%	17,365,800	28%
Consumer Durables & Apparel	9,075,000	14%	14,938,100	24%
Food, Beverages & Tobacco	12,229,676	19%	7,185,351	11%
Materials	16,572,949	25%	8,515,518	14%
Telecommunication Services	9,413,965	14%	8,160,000	13%
Transportation	1,957,941	3%	6,500,493	10%
Bank	1,614,600	2%		
	65,239,199	100%	62,665,261	100%

Sensitivity Analysis of Equity Risk

	Type of Classification	2023		2022	
		Rs.		Rs.	
		10% Decline	10% Increase	10% Decline	10% Increase
Non-Unitized Fund	FVTPL	-	-	-	-
	AFS				
Unitized Fund	FVTPL	(6,523,920)	6,523,920	(6,266,526)	6,266,526
Net impact on profit before tax	FVTPL	-	-	-	-

34.5.2. Currency Risk

Currency risk is the risk of loss resulting from changes in exchange rates. The company's principle operation is based in Sri Lanka; therefore it is not materially exposed to the financial impact at an operational level arising from changes in the exchange rates of various currencies.

The company has raised a cumulative subordinated debt in USD for a value of USD 335,000. This funds are reinvested in USD based financial instruments thereby mitigating currency risk exposure.

34.5.3. Interest rate risk

Interest rate risk is the risk that the value or future cash flows of a financial instrument will fluctuate because of changes in the market interest rates. Floating rate instruments expose the company to cash flow interest risk, whereas fixed interest rate instruments expose the company to fair value interest risk.

The Company invests in Treasury Bills primarily to meet the mandatory requirement of the investment Insurance Regulatory Commission of Sri Lanka and to park the cash inflow within the admissible assets category until a suitable option is identified within the available time space.

NOTES TO THE FINANCIAL STATEMENTS

34.6. Insurance Risk

Being an insurance Company, risks related to the insurance business i.e. Insurance Risk, becomes primary in the list. Insurance is all about managing risks on behalf of the customers. In that context, we have identified the following three major risk areas under this Category.

- ❖ Underwriting Risks
- ❖ Claims Risks
- ❖ Re-Insurance Risk

In addition to the above Life insurance is specifically subject to the following risks

1. **Mortality risk** – risk of loss arising due to policyholder death experience being different than expected.
2. **Morbidity risk** – risk of loss arising due to policyholder health experience being different than expected
3. **Investment return risk** – risk of loss arising from actual returns being different than expected
4. **Expense risk** – risk of loss arising from expense experience being different than expected
5. **Policyholder decision risk** – risk of loss arising due to policyholder experiences (lapses and surrenders) being different than expected.

In order to mitigate such risk the company has adopted various strategies. The company strategy is driven by the comprehensive screening of policy holders in order to ascertain current medical status, family medical history the key been the comprehensive screening of participants. Further the company ensures that the overall risk is reduced by diversifying the product portfolio across widespread geographical and industry wide segments.

The company also rejects the payment of fraudulent claims once fully exhausting its investigative capacity. The insurance risk described above is also affected by the contract holder's right to pay reduced premiums or no future premiums, to terminate the contract completely. As a result, the amount of insurance risk is also subject to contract holder behavior.

34.6.1. Under-writing Risks

In insurance, underwriting risk may either arise from an inaccurate assessment of the risks entailed in writing an insurance policy, or from factors wholly out of the underwriter's control. As a result, the policy may cost the insurer much more than it has earned in premiums.

Management Strategy

- i. **Price** - The Company has strict pricing mechanisms which need to be adhered in respect of various classes of products. Pricing is based on the Actuarial Valuation of the product plan done by Actuarial Partners.
- ii. **Exposure** - The Company fully ensures that the company does not underwrite risk which does not suit its risk profile and further ensures all high volume risks are re-insured.
- iii. **Personnel** - The Company ensures that all Underwriting personnel in Life are adequately trained. Further all staff inclusive of underwriting staff have been given specific Key Performance Indicators (KPI's) with regard to revenue and profitability of product segments.

Further it should be noted that the company monthly monitors product profitability of all main classes of insurance.

34.6.2. Claims Risk

The key risk facing insurance companies is the claims risk, where an extremely high amount of withdrawals i.e. a significantly high surrender ratio in comparison to the premium, could drastically affect company performance.

Sensitivities

The sensitivity analysis below has been performed for reasonably possible movements in key assumptions with all other assumptions held constant, showing the impact on gross and net liabilities. The correlation of assumptions will have a significant effect in determining the ultimate claims liabilities, but to demonstrate the impact due to changes in assumptions, assumptions had to be changed on an individual basis. It should be noted that movements in these assumptions are non-linear. Sensitivity information will also vary according to the current economic assumptions.

Impact on Takaful Contract Liabilities

	Change in Assumptions %	Gross LKR'000	Net LKR'000	Underwriting Deficit/ Surplus LKR'000
31st December 2023				
Mortality/morbidity	+10%	12,747	4,845	4,845
Mortality/morbidity	-10%	(12,744)	(4,826)	(4,826)
Lapse and surrender rates	-10%	3,934	3,802	3,802
Discount rate	-1%	3,474	2,769	2,769
Expenses	+10%	8,469	8,446	8,446
Unit Fund Investment Return	-1%	(1,159)	(1,121)	(1,121)

Impact on Operators Fund

	Change in Assumptions %	Gross LKR'000	Net LKR'000	(Loss)/Profit Before Taxation LKR'000
31st December 2023				
Mortality/morbidity	+10%	-11	-11	-11
Mortality/morbidity	-10%	11	11	11
Lapse and surrender rates	-10%	134	134	134
Discount rate	-1%	387	387	387
Expenses	+10%	1,568	1,568	1,568
Unit Fund Investment Return	-1%	-	-	-

Management Strategy

Countenance of adverse risk of the same is in effect with strict claims management with proper policy documentation at underwriting level and thorough inspection at claims level been fully emphasized in Key Performance indicators of all staff levels.

34.6.3. Re-Insurance Risk

Insurance companies in events where sum insured is extremely high in comparison to premium earned decide on reinsuring the policy with another insurer in order to mitigate/share its loss in the case of disaster. The risk borne would add up to the premium foregone in the event that disaster does not occur to the said policy.

NOTES TO THE FINANCIAL STATEMENTS

Management Strategy

The Board Risk Committee annually reviews the list of reinsurers to ensure that the company's exposure is hedged to maximum effect whilst periodically monitoring the financial status and condition of the same. The company employs pre-agreed treaty insurance agreements to hedge against day to day insurance exposure whilst engages in facultative insurance to hedge against extra-ordinary insurance risks in the line of day to day business.

34.6. Insurance Risk

34.6.3. Re-Insurance Risk

Class of business	Name of the reinsurer	Reinsurers Country of origin	Name of the regulatory authority which approval obtained to transact reinsurance business	License validity period of the reinsurer	Rating			
					Financial Strength	Credit	Rating Agency	
Life								
1. Long Term Takaful Plans (Endowments)	1. Munich Re	Malaysia	Negara Malaysia (BNM)	Yearly Renewal Unlimited	AA- (Stable)	AA- (Stable)	S&P	2023-08-16
	2. Hanover Re	Bahrain	Central Bank of Bahrain	Yearly Renewal Unlimited	A+ (Stable)	A+ (Stable)	S&P	2023-07-27
Other								
1. All family Takaful Policies (CAT Cover)	Hanover Re	Bahrain	Central Bank of Bahrain	Yearly Renewal Unlimited	AA- (Stable)	AA- (Stable)	S&P	2023-07-27
2. Unit Link Takaful	Hanover Re	Bahrain	Central Bank of Bahrain	Yearly Renewal Unlimited	AA- (Stable)	AA- (Stable)	S&P	2023-07-27
3. Group Family	Munich Re	Malaysia	Negara Malaysia (BNM)	Yearly Renewal Unlimited	AA- (Stable)	AA- (Stable)	S&P	2023-08-16
4. Credit & Mortgage Takaful	1. Munich Re	Malaysia	Negara Malaysia (BNM)	Yearly Renewal Unlimited	AA- (Stable)	AA- (Stable)	S&P	2023-08-16
	2. Score Global Life SE	Malaysia	Labuan FSA	Yearly Renewal Unlimited	A+ (Stable)	A+ (Stable)	S&P	2022-11-17

34.7. Liquidity Risk

Liquidity risk is when a possibility arises that an entity will encounter difficulty in meeting obligations associated with financial instruments. The company has a standard set of guidelines set up by an Investment policy under the purview of the Investment committee which is followed in accordance with the IRCSL guidelines.

The following policies and procedures are in place to mitigate the company's exposure to liquidity risk:

- ❖ The company maintains a diverse maturity profile in its assets, in order to ensure sufficient funding available to meet insurance and investment contracts obligations.
- ❖ The investment committee regularly reviews the liquidity levels and takes appropriate action to improve the liquidity whilst ensuring maximum possible yield and efficiency in investments.
- ❖ Efficient forecasting of future commitments and making investments to meet the payouts to mitigate any possible liquidity concerns.

Maturity profile of Company investments based on remaining maturity is given below.

Maturity Analysis 2023	Within 1 Month	1-3 Months	3 Months to 1 Year	1 - 5 Years	No stated maturity	Total
Financial Assets						
Investments in Equity Securities	-	-	65,239,199	-	-	65,239,199
Investments in Gold	-	-	-	-	235,155,000	235,155,000
Repurchase Agreements	-	277,119,819	12,139,339	-	-	289,259,159
Unit Trust	-	-	-	-	119,228,415	119,228,415
Mudharaba Investments	-	12,110,466	1,224,750,633	2,011,671,817	-	3,248,532,915
Retakaful (Reinsurance) Receivables	-	-	32,720,572	-	-	32,720,572
Contribution (Premium) Receivables	33,258,454	4,428	1,058,198	-	-	34,321,080
Other Assets	-	-	61,600,005	-	-	61,600,005
Cash and Bank Balances	38,933,558	-	-	-	-	38,933,558
Cash and Bank Balances - Unit Linked	13,609,555	-	-	-	-	13,609,555
	85,801,567	289,234,713	1,397,507,944	2,011,671,817	354,383,415	4,138,599,456
Financial Liabilities						
Finance Lease Liability	554,718	1,594,681	3,778,150	7,759,464	-	13,687,013
Subordinated Debt	56,696,028	35,637,503	16,198,865	-	-	108,532,396
Other Liabilities		-	58,438,025	-	-	58,438,025
Other Liabilities - Unit Linked		-	113,248,441	-	-	113,248,441
	57,250,745	37,232,184	191,663,481	7,759,464	-	293,905,874

NOTES TO THE FINANCIAL STATEMENTS

Maturity Analysis 2022	Within 1 Month	1-3 Months	3 Months to 1 Year	1 - 5 Years	No stated maturity	Total
Financial Assets						
Investments in Equity Securities	-	-	62,665,261	-	-	62,665,261
Investments in Gold	-	-	-	-	211,500,000	211,500,000
Repurchase Agreements	-	52,535,861	243,634,870	-	-	296,170,731
Unit Trust	-	-	-	-	97,174,520	97,174,520
Mudharaba Investments	-	138,778,247	1,138,009,410	1,530,847,340	-	2,807,634,998
Contribution (Premium) Receivables	-	-	37,975,619	-	-	37,975,619
Other Assets	-	-	41,257,953	-	-	41,257,953
Cash and Bank Balances	46,507,026	-	-	-	-	46,507,026
Cash and Bank Balances - Unit Linked	15,841,002	-	-	-	-	15,841,002
	62,348,027	191,314,108	1,523,543,113	1,530,847,340	308,674,520	3,616,727,109
Financial Liabilities						
Finance Lease Liability	537,156	1,618,989	3,273,075	7,610,090	-	13,039,309
Subordinated Debt	-	-	-	122,612,346	-	122,612,346
Other Liabilities	-	-	83,228,525	-	-	83,228,525
Other Liabilities - Unit Linked	-	-	56,654,969	-	-	56,654,969
	537,156	1,618,989	143,156,569	130,222,436	-	275,535,149

31st December 2023

Industry Analysis	Financial Services	Asset Management	Government	Materials	Telecommunication	Consumer Durables & Apparels	Others	Total
Assets								
Fair value through profit or loss								
Investments in equity securities	-	-	-	-	-	-	-	-
Investments in equity securities-Unit Linked	-	-	-	16,572,949	9,413,965	9,075,000	30,177,285	65,239,199
Investments in Gold	-	-	-	-	-	-	235,155,000	235,155,000
Available-for-sale financial investments								
Unit Trust	-	119,228,415	-	-	-	-	-	119,228,415
Loan and Receivables								
Repurchase Agreements	-	-	195,937,986	-	-	-	-	195,937,986
Repurchase Agreements-Unit Linked	-	-	95,086,651	-	-	-	-	95,086,651
Mudharaba investments	521,158,449	-	-	-	-	-	-	521,158,449
Mudharaba investments-Unit Linked	2,725,103,092	-	-	-	-	-	-	2,725,103,092
Investment in Commercial Papers	-	-	-	-	-	-	-	-
	3,246,261,542	119,228,415	291,024,637	16,572,949	9,413,965	9,075,000	265,332,285	3,956,908,792

NOTES TO THE FINANCIAL STATEMENTS

31st December 2022

Industry Analysis	Financial Services	Asset Management	Government	Materials	Telecommunication	Consumer Durables & Apparels	Others	Total
Assets								
Fair value through profit or loss								
Investments in equity securities	-	-	-	-	-	-	-	-
Investments in equity securities-Unit Linked	-	-	-	8,515,518	8,160,000	14,938,100	31,051,644	62,665,261
Investments in Gold	-	-	-	-	-	-	211,500,000	211,500,000
Available-for-sale financial investments								
Unit Trust	-	97,174,520	-	-	-	-	-	97,174,520
Loan and Receivables								
Repurchase Agreements	-	-	235,558,661	-	-	-	-	235,558,661
Repurchase Agreements - Unit Linked	-	-	60,612,070	-	-	-	-	60,612,070
Mudharaba investments	591,576,344	-	-	-	-	-	-	591,576,344
Mudharaba investments - Unit Linked	2,216,058,654	-	-	-	-	-	-	2,216,058,654
Investment in Commercial Papers	-	-	-	-	-	-	-	-
	2,807,634,998	97,174,520	296,170,731	8,515,518	8,160,000	14,938,100	242,551,644	3,475,145,510

Supplementary Information



GROUP VALUE ADDED STATEMENT

	2023 Rs. Mn	2022 Rs. Mn
Net earned contribution (Premium)	1,094	1,003
Investment & Other Income	671	450
Net Claims Benefits	(567)	(519)
Cost of External Services	(257)	(194)
Total Value Added	941	740
To employees as Salaries and other benefits	277	236
To intermediaries as commission	152	149
To the government as taxes	-	-
Increase/Decrease in Family (Long Term Insurance) Fund	446	286
Retained With the business		
- Depreciation	16	15
- In Reserves	50	54
	941	740

SHARE INFORMATION

1. Analysis of the Distribution of Shareholders as at 31st December 2023

Shareholding	Resident			Non-Resident			Total	
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares
1 - 1,000	937	185,450	0.37%	3	128	-	940	185,578
1,001 - 10,000	104	399,822	0.80%	1	2,500	0.01%	105	402,322
10,001 - 100,000	18	459,810	0.92%	1	16,324	0.03%	19	476,134
100,001 - 1,000,000	-	-	-	-	-	-	-	-
Over 1,000,000	3	48,935,966	97.87%	-	-	-	3	48,935,966
	1,062	49,981,048	99.96%	5	18,952	0.04%	1,067	50,000,000

2.1 Top 25 Shareholders as at 31st December 2023

	No. of Shares	%
AMANA TAKAFUL PLC	41,150,000	82.30
SEYLAN BANK PLC/SENTHILVERL HOLDINGS (PVT) LTD	5,785,966	11.57
ABERDEEN HOLDINGS (PRIVATE) LIMITED	2,000,000	4.00
DR. THIRUGNANASAMBANDAR SENTHILVERL	100,000	0.20
MR. ABDUL AZEES MOHAMED ANAS	49,100	0.10
MR. MOHAMED SAHABDEEN MOHAMED IKRAM	31,900	0.06
MRS. PATTINIDEVA ASOKA SWARNA KANTHIE BERUWALAGE	25,059	0.05
MR. MOHAMED ZIYAD MOHAMED NIHAZ	25,000	0.05
MR. MOHAMED NIZAMDEEN MOHAMED NAZIR	24,600	0.05
MR. MUHAMMADU MUYEES MOHAMMADU ABDUL CADER	24,600	0.05
MISS LAKSHI SANDAMALI JAYAWILA	19,700	0.04
MRS. MANCHANAYAKA APPUHAMILAGE NANDANIE SOMALATHA MANCHANAYAKA	19,700	0.04
MR. MOHAMED RIZAM MOHAMED ISMAIL	19,700	0.04
MRS. WANIGANETTI VIDANARALALAGE DONA SOMAWATHI	19,700	0.04
MR. HETTI ARACHCHIGE SHANAKA SAMEWA RODRIGO	18,694	0.04
MR. ABDUL RAZZAK MOHAMED RIYAZ	16,500	0.03
DR. GAYAN SURENDRAJITH PERERA	16,324	0.03
MR. DILKITH HANSIRA LANKA JAYAWILA	16,044	0.03
MR. IQRAM SANKYLAM CUTTILAN	14,800	0.03
HAMEEDIA STORES (PVT) LTD	12,045	0.02
MRS. EPA RANASINGHE IMIYA APPUHAMILAGE ANOJA RANASINGHE	11,580	0.02
MISS. MOHAMED ZAROOK FATHIMA SHAFRINA	11,088	0.02
MR. SADAKATH RAHIM NIZAR	10,000	0.02
MR. FAYAS AHMED MOHAMED ANWER	9,900	0.02
MR. MUHAMMADU ALEEM SHARIFDEEN	9,900	0.02
	49,441,900	98.88
Others	558,100	1.12
Total	50,000,000	100.00

SHARE INFORMATION

2.1 Top 20 Shareholders as at 31st December 2022

	No. of Shares	%
AMANA TAKAFUL PLC	41,150,000	82.3
SEYLAN BANK PLC/SENTHILVERL HOLDINGS (PVT) LTD	3,879,974	7.76
ABERDEEN HOLDINGS (PRIVATE) LIMITED	3,563,555	7.13
SAMPATH BANK PLC/ DR.T.SENTHILVERL	335,686	0.67
MR. ABDUL AZEES MOHAMED ANAS	49,100	0.1
MR. MOHAMED SALMAN FARIS UVAIS	39,978	0.08
MR. AHAMAD MOHAMED SUBAIR	34,400	0.07
MR. MOHAMED SAHABDEEN MOHAMED IKRAM	31,900	0.06
MR. RAVINDRA ERLE RAMBUKWELLE	28,490	0.06
MRS. PATTINIDEVA ASOKA SWARNA KANTHIE BERUWALAGE	25,059	0.05
MR. MOHAMED ZIYAD MOHAMED NIHAZ	25,000	0.05
MR. MOHAMED NIZAMDEEN MOHAMED NAZIR	24,600	0.05
MR. MUHAMMADU MUYEES MOHAMMADU ABDUL CADER	24,600	0.05
MISS LAKSHI SANDAMALI JAYAWILA	19,700	0.04
MRS. MANCHANAYAKA APPUHAMILLAGE NANDANIE SOMALATHA MANCHANAYAKA	19,700	0.04
MR. MOHAMED RIZAM MOHAMED ISMAIL	19,700	0.04
MRS. WANIGANETTI VIDANARALALAGE DONA SOMAWATHI	19,700	0.04
MR. HETTI ARACHCHIGE SHANAKA SAMEWA RODRIGO	19,079	0.04
MR. ABDUL RAZZAK MOHAMED RIYAZ	16,500	0.03
DR. GAYAN SURENDRAJITH PERERA	16,324	0.03
MR. DILKITH HANSIRA LANKA JAYAWILA	16,094	0.03
MR. IQRAM SANKYLAM CUTTILAN	14,800	0.03
HAMEEDIA STORES (PVT) LTD	12,045	0.02
	49,385,984	98.77
Others	614,016	1.23
Total	50,000,000	100.00

Public Shareholding	31.12.2023	31.12.2022
Float Adjusted Market Capitalisation (Rs.)*	193,170,000	167,051,662
Percentage of Shares held by the Public	13.70%	10.57%
Number of Public Shareholders	1065	1066

The Company Complies with the minimum public shareholding required under option 02 of section 7.13.1 (b) of the Listing Rules. * Float Adjusted Market Capitalisation = Market Capitalisation X Public Holding Percentage

3. Investor Ratios

	Company	
	2023	2022
	Rs.	Rs.
Earnings/(Loss) per Share	1.01	1.08
Net Assets per Share	12.21	10.88

4. Market Value of Shares

	Company	
	2023	2022
	Rs.	Rs.
Highest Value	48.20	48.20
Lowest Value	19.00	16.10
Year End Value	28.20	31.60

TEN YEAR SUMMARY

Amana Takaful Life PLC/Long Term (Family Takaful) Insurance Business

Statement of Income for the year ended	31.12.2023	31.12.2022	31.12.2021	31.12.2020	31.12.2019	31.12.2018	31.12.2017	31.12.2016	31.12.2015	31.12.2014
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Gross Written Contribution (Premium)	1,150,656	1,060,778	929,830	767,232	851,293	827,948	792,174	820,726	928,294	679,029
Net Earned Contribution (Premium)	1,093,687	1,003,241	881,719	742,753	820,513	806,062	765,036	806,057	908,064	665,250
Income from Investments and Other Income	670,758	450,278	262,714	289,996	320,226	217,327	269,068	222,789	130,203	136,988
Net Claims Incurred	(566,593)	(518,769)	(427,036)	(447,220)	(591,895)	(543,446)	(423,475)	(320,181)	(207,572)	(161,238)
Net Commission Incurred	(152,310)	(149,282)	(135,022)	(103,132)	(117,898)	(105,825)	(97,198)	(108,237)	(97,322)	(73,711)
Expenses	(549,369)	(445,429)	(388,784)	(376,923)	(432,781)	(474,056)	(422,303)	(263,688)	(232,484)	(220,458)
Change in Family Takaful (Long Term Insurance) Fund	(445,854)	(285,948)	(184,031)	(140,186)	(27,284)	36,961	(40,536)	(301,048)	(482,827)	(346,831)
Profit/(Loss) Before Taxation	50,319	54,091	9,559	(34,712)	(29,118)	(62,976)	50,592	35,691	18,064	-
Income Tax Expenses	-	-	-	-	-	(760)	-	-	-	-
Net Profit/(Loss) for the year	50,319	54,091	9,559	(34,712)	(29,118)	(62,976)	49,832	35,691	18,064	-
Basic Earnings/(Loss) Per Share (Rs.)	1.01	1.08	0.19	(0.69)	(0.58)	(1.26)	0.10	0.07	0.04	-

Amana Takaful Life PLC/Long Term (Family Takaful) Insurance Business

Statement of Financial Position as at	31.12.2023	31.12.2022	31.12.2021	31.12.2020	31.12.2019	31.12.2018	31.12.2017	31.12.2016	31.12.2015	31.12.2014
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Assets										
Financial Assets	921,643	1,049,633	880,304	859,267	816,350	875,165	1,040,576	1,018,398	1,089,313	590,099
Investment Property & Other Investments	151,000	150,550	147,500	147,500	147,500	144,929	-	-	-	43,683
Financial Assets - Unit Linked	3,035,001	2,425,247	2,121,645	1,907,620	1,716,210	1,621,208	1,526,679	1,473,332	1,092,154	637,572
Retakaful (Reinsurance) Receivables	32,721	-	-	11,449	-	-	-	-	-	-
Intangible Assets	19,049	20,456	17,420	18,363	19,659	20,955	22,250	23,549	18,408	-
Property, Plant and Equipment	19,374	21,318	25,769	15,347	20,110	28,704	21,165	17,467	14,932	-
Right Of Use Asset	12,391	11,954	13,251	20,839	16,064	-	-	-	-	-
Other Assets	134,854	125,740	134,780	116,593	150,398	178,459	191,588	102,661	142,504	64,612
Other Assets - Unit Linked	13,610	15,841	9,583	2,244	38,197	8,155	7,370	72,193	46,639	95,837
Total Assets	4,339,642	3,820,740	3,350,252	3,099,222	2,924,488	2,877,575	2,809,628	2,707,599	2,403,951	1,431,804
Liabilities										
Family Takaful Fund Balance (Insurance Provision - Long Term)	304,351	356,693	397,381	445,782	471,280	534,967	580,710	559,914	574,711	551,211
Family Takaful Fund (Insurance Provision -Long Term)-Unit Linked	2,970,344	2,473,579	2,149,698	1,913,107	1,747,560	1,660,124	1,525,136	1,504,145	1,191,795	730,799
Subordinated Debt	108,532	122,612	88,005	83,375	81,417	32,051	-	-	-	-
Other Liabilities	159,653	205,108	151,204	123,420	85,391	83,420	78,149	69,708	82,414	129,678
Other Liabilities -Unit Linked	186,254	118,930	80,207	74,379	50,987	51,286	51,845	50,316	39,437	20,116
Total Liabilities	3,729,134	3,276,924	2,866,495	2,640,063	2,436,635	2,361,849	2,235,840	2,184,082	1,888,357	1,431,804
Shareholders' Equity										
Equity Attributable to Equity Holders of the Parent										
Stated Capital	500,000	500,000	500,000	500,000	500,000	500,000	500,000	500,000	500,000	-
Other Reserves	47,043	31,489	26,398	11,545	6,710	3,431	(1,545)	(2,669)	2,169	-
Revenue Reserves	63,464	12,326	(42,641)	(52,386)	(18,857)	12,295	75,333	26,186	13,424	-
Total Equity	610,507	543,816	483,757	459,160	487,853	515,726	573,788	523,517	515,594	-
Total Equity and Liabilities	4,339,642	3,820,740	3,350,252	3,099,222	2,924,488	2,877,575	2,809,628	2,707,599	2,403,951	1,431,804

GEOGRAPHIC LOCATIONS

1 Akkaraipattu

Main Street, Akkaraipattu 02

2 Anuradhapura

521/22, Maithripala Senanayake,
Mawatha, Anuradhapura.

3 Batticaloa

32, Bar Road, Batticaloa

4 Dehiwela

3/3/1, Station Road, Dehiwela

5 Galle

41, Sri Devamiththa Mawatha, Galle.

6 Gampola

134 A, 1st Floor, Kandy Road,
Gampola.

7 Head Office

660-1/1, Galle Road, Colombo-03

8 Kaduruwela

379 A, Main Street, Kaduruwela.

9 Kalmunai

32, Main Street, Kalmunai.

10 Kalutara

558A/2, Galle Road, Kalutara South

11 Kandy

7/1/1, Katugastota Road, Kandy.
(Wattaram Thanna Junction)

12 Kattankudy

287/C, Main Street, Kattankudy-01

13 Kinniya

124, Main Street, Kinniya-05

14 Kurunegala

7, South Circular Road, Kurunegala.

15 Maradana

544/3/1, 3rd Floor, 2nd Division,
Maradana Colombo 10

16 Matale

95/1/1, Dharmapala
Mawatha, Matale.

17 Matara

36/1, 1st floor, St. Thomas Mawatha,
Matara.

18 Mawanella

207, New Kandy Road, Mawanella.

19 Muthur

253/4, Main Street, Muthur-01

20 Negombo

No: 139/A, St. Joseph Street,
Negombo.

21 Pettah

51 and 53, Bankshall Street,
Colombo-11.

22 Puttalam

126, Mannar Road, Puttalam

23 Rathnapura

310/1, 1st Floor, Main Road,
Kudukalwatta, Rathnapura.

24 Trincomalee

319/2, Court Road, Trincomalee.

25 Vavuniya

41, 02nd Cross Street, Vavuniya
South, Vavuniya

26 Welimada

17, Haputale Road, Welimada

27 Wellampitiya

01, Megoda Kollonnawa,
Wellampitiya



GLOSSARY

Acquisition Expenses – General Takaful (Insurance)

All expenses which vary with and are primarily related to the acquisition of the new insurance contracts and the renewal of existing insurance contracts.

Acquisition Expenses – Family Takaful (Life)

All expenses which vary with and are primarily related to the acquisition of new insurance contracts.

Actuary

An expert concerned with the application of probability and statistical theory to problems of insurance, investment, financial management and demography.

Claims

The amount payable under a contract of insurance arising from the occurrence of an insured event, such as, the destruction or damage of property and related death or injuries, the incurring of hospital or medical bills, death or disability of the insured, the maturity of an endowment policy and the amount payable on the surrender of a policy.

Claims Incurred

The aggregate of all claims paid during the accounting period together with attributable claims handling expenses, where appropriate, adjusted by the claims outstanding provisions at the beginning and the end of the accounting period.

Claims Incurred But Not Reported (Ibnr)

A reserve to cover the expected cost of losses that have occurred by the balance sheet date but have not yet been reported to the insurer.

Claim Outstanding – General Takaful (Insurance) Business

The amount provided to cover the estimated ultimate cost of settling claims arising out of events which have occurred by the balance sheet date including claims handling expenses, less amounts already paid in respect of those claims.

Commissions

A payment made to intermediaries in return for selling and servicing an insurer's products.

Earned Premium

Written premium adjusted by the unearned premium provisions at the beginning and the end of the accounting period.

General Insurance Business (General Takaful)

Insurance business falling within the classes of insurance specified as General Insurance Business, under the Regulation of Insurance Industry Act No. 43 of 2000.

Ijara – (Leasing)

A contract under which, the Bank buys and leases out equipment required by its client for a rental fee. The duration of the lease and rental fees are agreed in advance. Ownership of the equipment remains with the Bank and only the usufruct is transferred to the client. The client is gifted the item at the end of the lease period based on a separate understanding taken by the Bank to gift the asset subject to certain conditions.

Insurance Provision – Family Takaful (Long Term)

The fund or funds to be maintained by an insurer in respect of its Long Term Insurance business in accordance with the Regulation of Insurance Industry Act No. 43 of 2000.

Insurance Provision – General Takaful (Insurance)

This includes net unearned premium, provisions for unexpired risks, outstanding claims reserve and IBNR reserve.

Life Insurance Business (Family Takaful)

Insurance business falling within the classes of insurance specified as Long Term Insurance, under the Regulation of Insurance Act No. 43, 2000

Mudharaba

This is an agreement made between two parties. The Investor, who provides 100% of the capital for the project and the Mudharib manages the entire project using his entrepreneurial skills. The Investor has no control over the management of the project. Profits arising from the project are distributed according to a predetermined ratio. Losses are borne by the provider of the capital.

Net Earned Premium

Gross written premium adjusted for the reinsurance incurred and for the increase or decrease in unearned premium.

Premium (Contribution)

The consideration payable by the insured for an insurance contract.

Retakaful (Reinsurance)

Transfer of all or part of the risk assumed by an insurer under one or more insurance to another insurer, called the re-insurer.

Risk-Based Capital

A "Risk Based" approach to assess the Capital Adequacy, determined as per Solvency Margin (Risk-Based Capital) Rules 2015.

GLOSSARY

Shari'ah

Is the code of law for the Islamic way of life which has been derived from the Quran and the Sunnah (The Practice of the holy Prophet Muhammad – Peace be upon him).

Shari'ah Advisory Council (SAC)

This comprises of Shari'ah Scholars or/ and well versed personnel in Shari'ah, which ensures Shari'ah compliance in the operations of the Company. The SAC advises the Company on all Shari'ah matters in its business activities and involves in endorsing and validating relevant documentation, such as products manuals, policy terms and conditions, marketing materials, sales illustrations, etc.

Solvency Margin – Family Takaful (Life)

The difference between the value of assets and the value of liabilities, required to be maintained by the insurer who carries on Long-Term Insurance business, determined as per Solvency Margin (Long-Term Insurance) Rules, 2002.

Solvency Margin – General Takaful (Insurance)

The difference between the value of the assets and the value of the liabilities required to be maintained by the insurer who carries on general insurance business as per Solvency Margin (General insurance) Rules, 2004.

Surrender

The act of canceling of an insurance contract before it reaches its date of maturity.

Takaful

Is an Arabic word, which means "guaranteeing each other". It is a system of risk management based on the principle of mutual assistance (TA-AWUN) and contributions (Tabarru) where the risk is shared collectively by the Group voluntarily.

Underwriting

The process of selecting which risks an insurance company can cover, and deciding the premium and terms of acceptance.

Unearned Premium/Unearned Premium Reserve

It represents the portion of premium already entered in the accounts as due but which relates to a period of risk subsequent to the balance sheet date.

Written Premium

Total premium received or due from all insurance contracts during a period.

NOTICE OF MEETING

NOTICE IS HEREBY GIVEN that the 08th Annual General Meeting of Amana Takaful Life PLC will be held on 25th June 2024 at 10.30 a.m. at the Board Room of Amana Takaful Life PLC, No. 660-1/1, Galle Road, Colombo 03 via Audio/Video for the following purposes:

1. Receive and consider the Annual Report of the Board of Directors on the affairs of the Company for the year ended 31st December 2023 and the Report of the Auditors thereon.
2. Re-election of Mr. Pushpakumar Gunasekara appointed to the Board subsequent to the last Annual General Meeting in terms of Article 24 (2) of the Articles of Association of the Company.
3. Re-elect the following Directors by Rotation in terms of Article 24 (7) of Articles of Association of the Company.
 - a. Mr. M. H. S. Kassim.
 - b. Ms. Shehara De Silva.
 - c. Mr. S. M. Paranawithana.
4. Re-elect the following Directors in terms of section 211 of the Companies Act no 7 of 2007.

- a. Mr. Osman Kassim, who is over 70 years of age as a Director. Accordingly, the following resolution to be passed for this purpose, if thought fit.

IT IS HEREBY RESOLVED to re-elect Mr. Osman Kassim, who is over 70 years of age as a Director in terms of Section 211 of the Companies Act No. 7 of 2007 and it is specifically declared that the age limit of 70 years in terms of section 210 of the Companies Act shall not apply to the said Mr. Osman Kassim.

- b. Mr. Krishnamoorthi Ratnam Ravindran, who is over 70 years of age as a Director. Accordingly, the following resolution to be passed for this purpose, if thought fit.

IT IS HEREBY RESOLVED to re-elect Mr. Krishnamoorthi Ratnam Ravindran, who is over 70 years of age as a Director in terms of Section 211 of the Companies Act No. 7 of 2007 and it is specifically declared that the age limit of 70 years in terms of section 210 of the Companies Act shall not apply to the said Mr. Krishnamoorthi Ratnam Ravindran.

5. Re-appoint the retiring Auditors, M/s. Ernst & Young, Chartered Accountants for the ensuing year and authorize the Directors to determine their remuneration.

By Order of the Board,
AMANA TAKAFUL LIFE PLC



MANAGERS & SECRETARIES (PRIVATE) LTD.

Secretaries

15 May 2024
Colombo

Notes:

1. A member entitled to attend and vote at the above meeting is required to complete and submit a pre-registration form in order to ensure participation at the AGM of the Company. Only members of ATLL are entitled to take part at the AGM of ATLL.
2. A Pre-registration form is enclosed for this purpose to be completed by ATLL Shareholders only.
3. A member entitled to attend and vote at the above meeting is entitled to appoint a proxy to attend and vote in his/her behalf. A proxy need not be a member of the Company.
4. A form of proxy is enclosed for this purpose.
5. The instruments for registration and appointing a proxy must be completed and deposited at the Registered Office of the Company, No. 660, 1/1, Galle Road Colombo 3, or e-mailed to "agm.atlife@takaful.lk" not less than forty eight hours prior to the time appointed for holding the meeting.

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FORM OF PROXY

I/We the undersigned bearing

NIC No, of
being a member/members of Amana Takaful Life PLC, hereby appoint

Full name of proxy :

NIC of Proxy :

Address of Proxy :

Contact Numbers Land, Mobile

E-mail Address :

Failing him

1. Mr. A.S.Kassim	of Colombo or failing him	6. Mr. K. R. Ravindran	of Colombo or failing him
2. Mr. G. S. Rajapakse	of Colombo or failing him	7. Mrs. Shehara De Silva	of Colombo or failing her
3. Mr. O. Kassim	of Colombo or failing him	8. Mr. S. M. Paranawithana	of Colombo or failing him
4. Mr. M. H. S. Kassim	of Colombo or failing him	9. Mr. H. A. De Silva	of Colombo
5. Mr. S. Muhseen	of Colombo or failing him		

as my/our proxy to represent me/us and * to vote for me/us on my/our behalf at the Annual General Meeting to be held on 25th June 2024 at 10.30 a.m. Via Audio/video (Virtual AGM) and at any adjournment thereof and at every poll which may be taken in consequence thereof.

Please mark your preference with "X".

	For	Against	Abstained
1. Re-election of Director appointed subsequent to the last Annual General Meeting (i) Mr. Pushpakumar Gunasekara as a Director of the Company.	☐	☐	☐
2. Re-election of Directors in terms of Section 24 (7) of Articles of Association of the Company. (i) Mr. M. H. S. Kassim as a Director of the Company. (ii) Ms. Shehara De Silva as a Director of the Company. (iii) Mr. S. M. Paranawithana as a Director of the Company.	☐	☐	☐
3. Re- election of Directors in terms of Section 211 of the Companies Act No. 7 of 2007. (i) Mr. Osman Kassim as a Director of the Company. (ii) Mr. K. R. Ravindran as a Director of the Company	☐	☐	☐
4. Re-appointment of the retiring Auditors M/s. Ernst & Young, Chartered Accountants for the ensuing year and authorize Directors to determine their remuneration.	☐	☐	☐

As witness my/our hands this day of 2024

.....
Signature

INSTRUCTIONS AS TO COMPLETION

1. In order to appoint a proxy, this form shall in the case of an individual be signed by the shareholder or by his/her Attorney and in the case of a company/corporation, the form of proxy must be under its Common Seal, which should be affixed and attested in the manner prescribed by its Articles of Association.
2. The full name, NIC No. and address of the Proxy holder and of the Shareholder appointing the Proxy holder should be entered legibly in the form of proxy.
3. The duly completed form of proxy must be deposited at the Registered Office of the Company at No. 660, 1/1, Galle Road Colombo 3, or e-mailed to "agm.atlife@takaful.lk" not later than 48 hours prior to the time appointed for holding of the meeting.
4. In the case of a proxy signed by an Attorney, the relevant Power-of-Attorney or a certified copy thereof should also accompany the completed form of proxy and must be deposited at the Registered Office of the Company or email as above noted.

CORPORATE INFORMATION

Name Of The Company

Amana Takaful Life PLC

Legal Status

Public Quoted Company with Limited Liability incorporated in Sri Lanka on 10th July 2014.

Company Registration Number

PB 5202 PQ

Tax Payer Identification Number(TIN)

139052021

Stock Exchange Listing

The shares of the Company are listed in the Second Board of the Colombo Stock Exchange, Sri Lanka on 18th August 2016. Stock Exchange Code for Amana Takaful Life PLC shares is 'Amana Life'.

Directors

Osman Kassim – Chairman (Non-Independent)

Sharhan Muhseen - Deputy Chairman

Gehan Shivantha Rajapakse - CEO

Ammar Shafik Kassim

K Ravindran

Shehara De Silva

Hassan Kassim

Suresh Paranavitana

Prof. Asita De Silva

P Gunasekera (Appointed w.e.f. 8th May 2024)

Registered Office

No. 660 - 1/1, Galle Road,
Colombo 03, Sri Lanka

Auditors

Ernst & Young Chartered Accountants

Secretaries

Managers & Secretaries (Pvt) Ltd

Reinsurance Panel

Hannover Re

Munich Re

Score Re

Consultant Actuaries - Long-Term Insurance

Actuarial Partners Consulting Sdn Bhd
Suite 17.02 Kenanga International Jalan
Sultan Ismail 50250 Kuala Lumpur,
Malaysia

Shariah Advisory Council

Mufti M.I.M. Rizwe - Chairman

Mufti Shafique Ahmed Jakhura -
Member

Ash-Sheikh Murshid Mulaffar - Secretary

Executive Director / Chief Executive Officer

Mr. Gehan Shivantha Rajapakse

Principal Bankers

Amana Bank PLC

Pan Asia Bank

National Development Bank

Bank of Ceylon

Commercial Bank

Sampath Bank

Hatton National Bank

Nations Trust Bank

People's Bank

MCB Bank

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